Realmadrid

Management Report & Financial Statements

2021-2022



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2021-2022

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Realmadrid

Management Report & Financial Statements
2021-2022

CONSOLIDATED MANAGEMENT REPORT

For the year ended June 30, 2022.

The Consolidated Management Report for Real Madrid Club de Fútbol, including an analysis of its earnings performance in 2021-2022, is presented below.

KEY HIGHLIGHTS OF FY 2021/22

CORPORATE STRUCTURE

As a result of the Santiago Bernabéu Stadium's remodeling and the new scope for revenue growth it brings, Real Madrid decided to decentralize management and set up a wholly owned subsidiary, Real Madrid Estadio, S.L. to optimize the management of the business entailing the marketing and operation of the VIP area businesses, general seating capacity and the facilities on days when no matches are played. The subsidiary's object entails management of sports venues of any kind and it has been provided with all the material and human resources it needs.

Real Madrid Club de Fútbol, as parent, and Real Madrid Estadio, S.L., as subsidiary, constitute the group (the "Group") referred to in this consolidated management report. Any mention of the Club in this report regarding financial data should be understood as the Group.

PERFORMANCE

The first division football team won the Champions League -its fifth in the last eight years- La Liga and Spain's Super Cup trophies in the 2021/22 season. The first division basketball team won the Spanish Liga ACB, was EuroLeague runner up and Spain's Super Cup champion. These performance resulted in higher revenue, but also higher expenses, especially in terms of bonuses to sports personnel.

Execution of the stadium remodeling project proceeded as scheduled, taking cumulative investment as at June 30, 2022, to €538 million. In December 2021, expansion of works not included in the original remodeling project was agreed, especially the project for the automatic removal of the pitch, after taking out a 27-year €225 million loan carrying a fixed interest rate of 1.53%. As a result, the loan taken out to finance the stadium's remodeling totals €800 million, with maturity in July 2049 and carrying an average fixed interest rate of 2.23%.

During the current reporting period, an agreement was entered into with US investment firm Sixth Street, and Legends, company specialized in stadium management and premium experiences for sports organizations and organization of major events, with the objective of elevating the Santiago Bernabéu Stadium as a unique venue and a worldwide benchmark for leisure and entertainment. As part of the long-term partnership, Real Madrid will receive approximately €360 million to be invested across any of the Club's activities. Through this alliance, Sixth Street acquires the right to participate in the operation of certain new businesses of the Santiago Bernabéu Stadium for 20 years. In addition, Legends will contribute its experience and knowledge in the operation of large stadiums and leisure centers, allowing for the optimization of the management of the Santiago Bernabéu Stadium. The transformation of the Santiago Bernabéu Stadium will be a turning point in the history of Real Madrid. This alliance with Sixth Street and Legends, world leaders in their respective disciplines, will be fundamental in providing unique experiences in a stadium where multiple events can be hosted throughout the year. This agreement strengthens our goal of continuing to significantly increase the stadium's revenues from both sporting and other types of events.

The COVID-19-related health crisis continued to have a significant impact on revenue in 2021/22. However, the financial impact is gradually diminishing. Moreover, restrictions caused from remodeling works impacted stadium revenue. While the war in Ukraine has caused inflation to rise, its impact on revenue and expenses so far has been insignificant.

Against this backdrop, Club management remained focused on cost containment and actions to enhance performance and business development in all areas. Highlights include the unbudgeted capital gain realized during the year from the Sixth Street/Legends agreement. After recognizing provisions for liabilities and charges, the Club obtained a profit after tax in FY 2021/22 of €13 million.

With this performance, the Club managed to stay in the black in all three financial years affected by the pandemic, reporting a profit in both FY 2019/20 (€313 thousand after tax) and FY 2020/21 (€874 thousand after tax). It was one of only a handful of Europe's major clubs not to sustain losses in those two financial years; according to a UEFA study, cumulative operating losses of European clubs between FY 2019/20 and FY 2020/21 amounted to nearly €6 billion.

As a result, the Club's net equity as at June 30, 2022 reached €546 million, €14 million higher than at June 30, 2019, before the pandemic.

The Club's net debt excluding the stadium remodeling project at June 30, 2022, amounted to €-263 million. Rather than a debt, this actually represents net liquidity as the sum of cash and cash equivalents and receivables from transfers, exceeds the amounts payable on investments, bank borrowings, and advances. This net liquidity position is the result of a high cash balance, achieved thanks to investment and cost containment measures, as well as business development actions, the latter including the impact on cash for the year of the capital gain from the Sixth Street/Legends agreement.

FY 2019/20 AND FY 2020/21

The effects of the COVID-19 health crisis, which first cropped up in March 2020 and affected the latter part of FY 2019/20, extended throughout FY 2020/21, causing all matches to be played behind closed doors (i.e. without spectators). This resulted in lost revenue in all business lines. Stadium revenue was hit particularly hard, since there was no revenue from match attendance. Revenue from TV broadcasting rights (the Spanish football league and the UEFA Champions League) and from commercial activities (operation of the facilities, store sales and sponsorship revenue) was also affected.

Compared to pre-pandemic levels, the Club lost close to €300 million of revenue from March 2020 to June 30, 2021, not to mention the loss of any new revenue it could have obtained had there not been a pandemic.

This loss of revenue was only counterbalanced by implementing strict cost-saving measures in all areas: player transfers, wage cuts to first division football and basketball players and key executives, and reduction in operating expenses.
Thanks to these measures, the Club was able to offset the loss of revenue caused by the health crisis and remain profit-making both years.

FY 2021/22

The effects of the COVID-19-related health crisis were still felt in FY 2021/22 (from July 1, 2021, to June 30, 2022), but the financial impact began to gradually diminish.

Sports competitions and, accordingly, televised broadcasts are now proceeding to the established schedules. However, TV revenue from the UEFA and La Liga matches were affected by write-downs.

As of the start of the season, the health authorities allowed people to attend events at both outdoor stadiums and indoor pavilions. However, it imposed certain capacity restrictions, which varied over the course of the season in accordance with developments in the health situation. The season started in August 2021 with a 40% cap on attendance in stadiums, which rose to 100% by October, then fell to 75% in December before increasing again to 85% in February 2022 and finally back to 100% from April through to the end of the season. This enabled the Club to again obtain stadium revenue from season tickets and ticket sales for ordinary attendance and VIP boxes, although because of those restrictions, it was below pre-pandemic levels.

In the summer of 2021, the Club was unable to bring in revenue from the international tour of North America and Asia it held before the pandemic.

Operation of facilities and merchandising activities gradually recovered in line with trends in the health crisis and the economic situation.

For sponsorship revenue, the pandemic led to a decline in contract wins, but this year began with a gradual recovery, although prices and the pace of order intake felt the effects of the economic situation on several economic sectors.

As a result of the above, the economic impact of the COVID-19-induced loss of revenue in FY 2021/22 is estimated at nearly €90 million, which is high but considerably lower than in previous years.

Meanwhile, hefty losses sustained by most European clubs hindered player transfers considerably and caused prices to plunge. As a result, gains on player transfers recognized by the Club in 2021/22 were 40% lower than those of pre-pandemic levels.

Therefore, compared to pre-pandemic levels, the Club lost close to €400 million of revenue from its business lines between the start of the health crisis in March 2020 to June 30, 2022, not to mention the loss of any new revenue it could have obtained had there not been a pandemic and the reduction in capital gains on player transfers.

OPERATING INCOME

(before disposal of non-current assets)

Operating income in FY 2021/22 rose by 10%, or €69 million, from the year before to €722 million, as the economic impacts of the pandemic gradually wore off.

Those impacts were, however, still felt. Revenue in FY 2021/22 was lower than the level obtained four years ago (i.e. FY 2017/18) and €100 million below the pre-pandemic 2019/20 budget. Compared to pre-pandemic levels, the Club lost close to €400 million of revenue from March 2020 to 30 June 2022, not to mention the loss of any new revenue it could have obtained had there not been a pandemic.

This item includes revenue from the various business lines (stadium, international and friendly matches, broadcasting, and marketing), but excludes revenue from player transfers, which is recognized in the income statement under "Gains/(losses) on disposal of non-current assets".

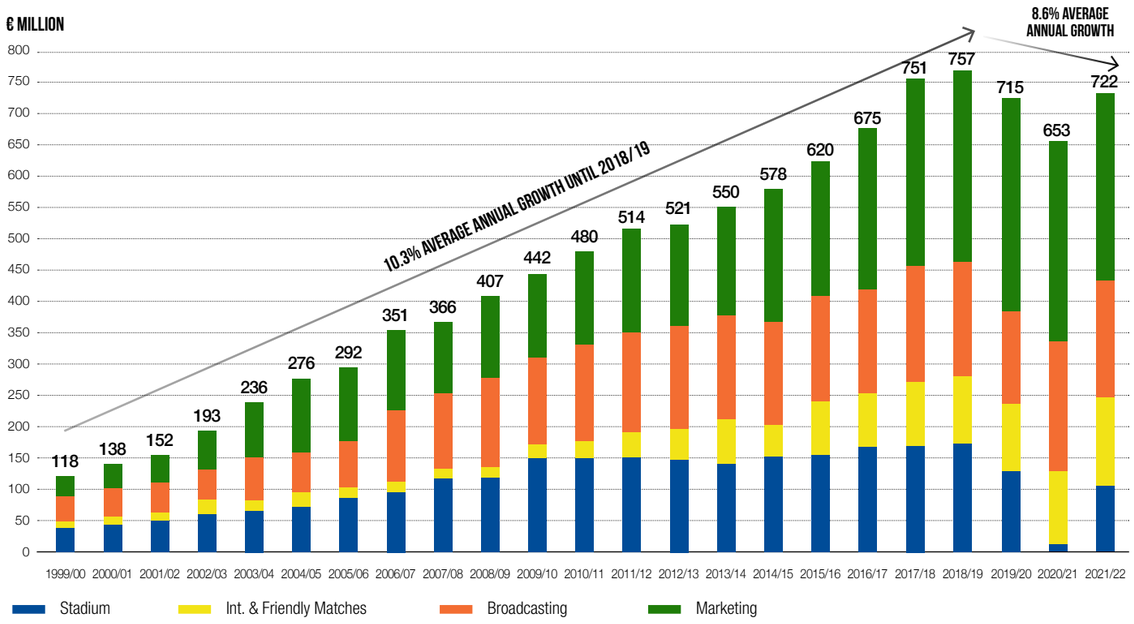
Regarding revenue from Club membership fees, ticket sales and season tickets, some revenue from season tickets was obtained in FY 2021/22 with the gradual lifting of restrictions on attendance. There was no revenue from season tickets in FY 2020/21 because spectators were not allowed at any time during the year. In FY 2019/20, the Club reimbursed ticket holders 25% of the annual amount since attendance to stadiums was suspended from mid-March. As a result, Club membership fees, ticket sales and season tickets accounted for 5.2% of total revenue in FY 2021/22 compared to 1.3% in FY 2020/21 and 6.1% in 2019/20 (16.5% in FY 2000, 9.7% in FY 2009 and 7.2% in FY 2018/19).

In the 2000-2019 period, before the pandemic, revenue grew at an average annual rate of 10.3%. Because of the pandemic and the lost revenue caused by the situation in 2019/20, 2020/21 and 2021/22, the pace of average annual growth in 2000-2022 declined to 8.6%.

Going forward, promoting the Club's brand through investment in top players and international expansion are still the principal ways in which the Club can remain competitive and maintain its status as a global benchmark in football.

OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)



BREAKDOWN OF OPERATING INCOME

(before disposal of non-current assets)

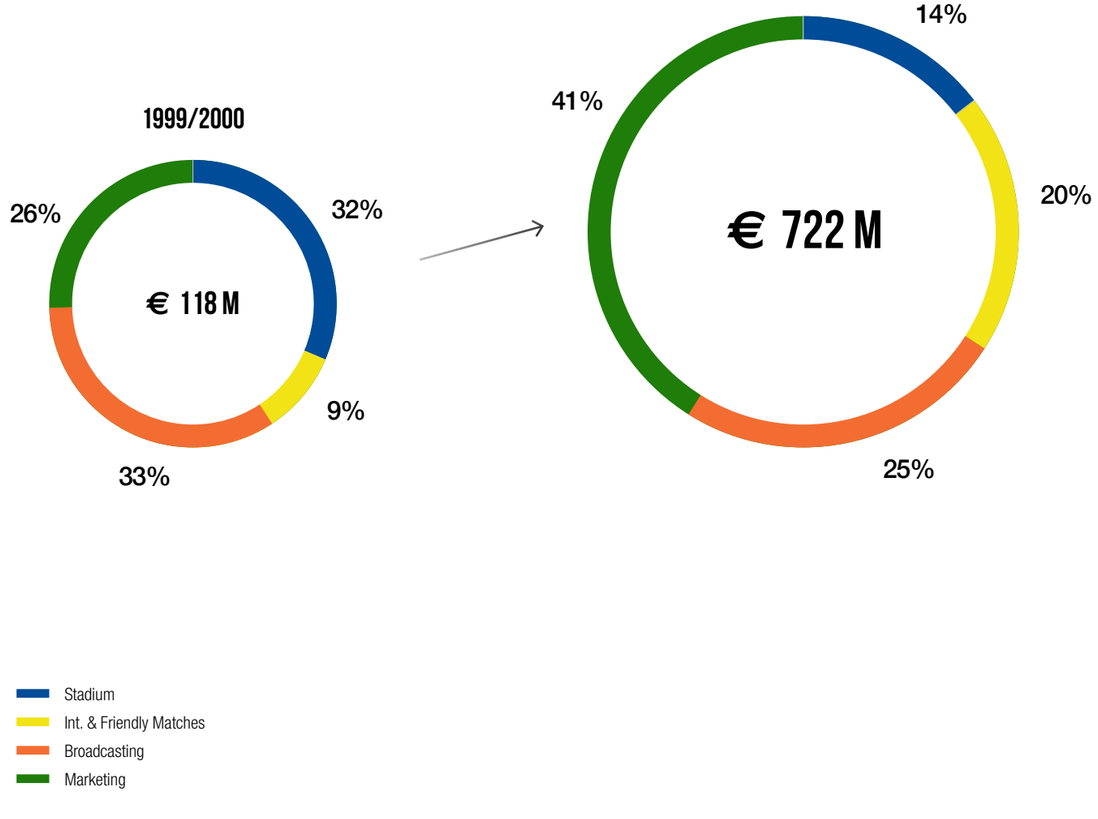
The Club enjoys a balanced revenue mix, barring the atypical situation these last couple of years affected by COVID-19, with the three largest lines (stadium, television and marketing) each making up around a third of the total.

The Club has gradually reduced the weight of television revenue (Spanish League -La Liga- and Champions League matches) and increased the weight of other revenue sources.

This diversified stream of recurring revenues lends financial stability to the Club, cushioning the impact of potential fluctuations in revenue caused by varying performance on the sporting front or by changes in the economic landscape.

BREAKDOWN OF OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)

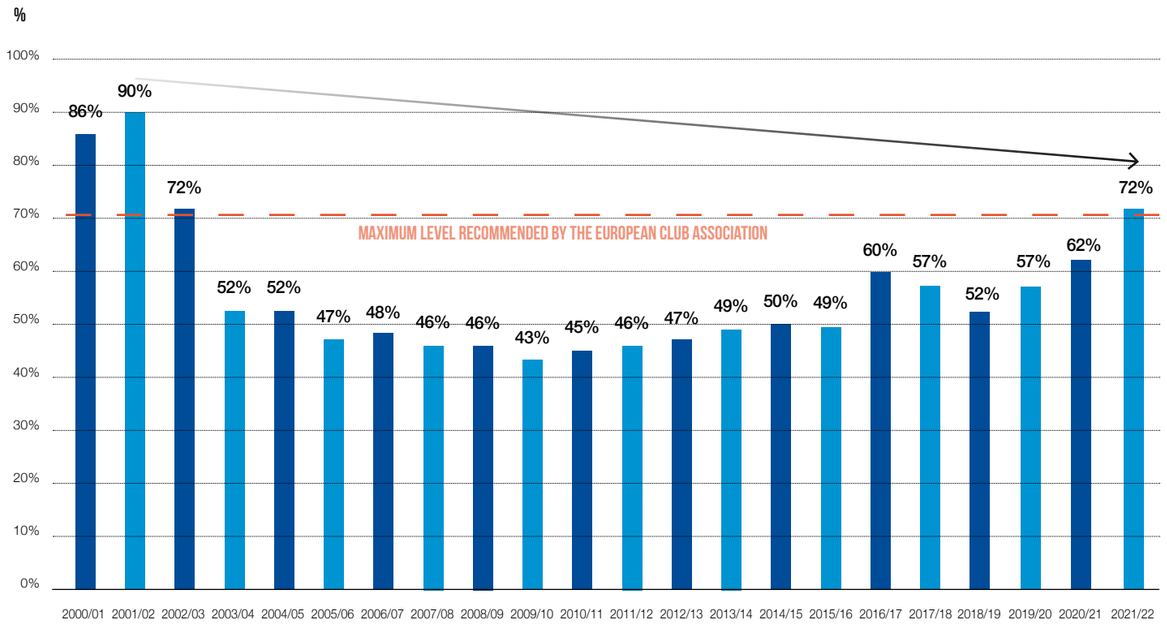


PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO

The efficiency ratio, calculated by dividing the Club's total personnel expenses by operating income (before disposal of non-current assets), is the most widely used indicator internationally to measure a football club's operational efficiency. The lower the ratio, the more efficient the Club.

The Club's efficiency ratio in FY 2021/22 was 72%. Adjusted for lost revenue caused by COVID-19 impacts, it would be 64%, and excluding the impact of sports titles and non-recurring expenses, it would be 59%. The efficiency ratio was 57% in FY 2019/20 and 62% in FY 2020/21, with both years also affected by COVID-19 impacts. This indicates that, despite the effects of COVID-19, the Club has been able to keep this ratio under control and within levels recommended by the European Club Association.

PERSONNEL EXPENSES/ OPERATING INCOME



OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)

Operating profit before depreciation and amortization, or EBITDA, is the Club's earnings from operating activities after subtracting personnel and other operating expenses from the revenue obtained by the business lines, including gains or losses on player transfers and disposals of other assets.

Player transfers among football clubs is hardly an exception, but rather part of the Club's standard practice so that it can renew staff, generating proceeds than can be used to self-finance part of the cost of new additions. Gains on player transfers before valuation adjustments in FY 2021/2022 amounted to €62 million, compared to an average of €104 million the two previous years; i.e. a 40% decline. This was the result of the hefty losses sustained by most European clubs, which hindered player transfers considerably and caused prices to plunge.

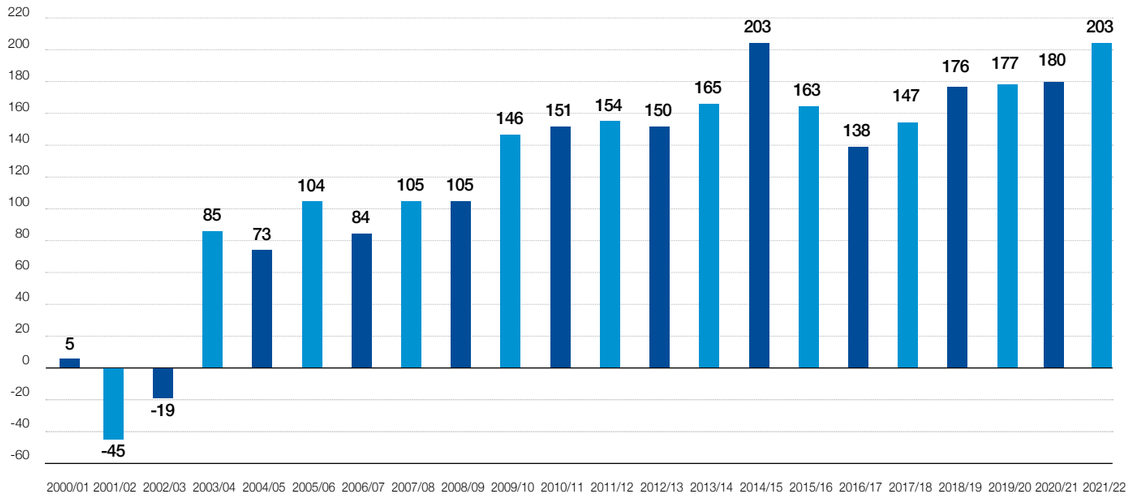
The COVID-19-related health crisis continued to have a significant impact on revenue in FY 2021/22. However, the financial impact is gradually diminishing. Moreover, restrictions caused from remodeling works impacted stadium revenue. Against this backdrop, Club management remained focused on cost containment and actions to enhance performance and business development in all areas. Highlights include the unbudgeted capital gain realized during the year from the Sixth Street/Legends agreement. After recognizing provisions for liabilities and charges, the Club obtained EBITDA in FY 2021/22 of €203 million (compared to €180 million in FY 2020/21 and €177 million in FY 2019/20).

Therefore, in the three years affected by COVID-19, despite lost revenue of nearly €400 million, EBITDA was higher than in FY 2018/19, before the onset of the pandemic. This is a testament to the Club's operational efficiency and ability to respond by taking measures to mitigate those losses.

The EBITDA performance in recent years is the result of a financial management that pursues profitability by combining efforts to boost revenue and rein in costs.

OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)

€ MILLION



INCOME STATEMENT: KEY HIGHLIGHTS

Operating income in FY 2021/22 rose by 10%, or €69 million, from the year before to €722 million, as the economic impacts of the pandemic gradually wore off.

Those impacts were, however, still felt. Revenue in FY 2021/22 was lower than the level obtained four years ago (i.e. FY 2017/18) and €100 million below the pre-pandemic 2019/20 budget. Compared to pre-pandemic levels, the Club lost close to €400 million of revenue from March 2020 to 30 June 2022, not to mention the loss of any new revenue it could have obtained had there not been a pandemic.

As explained, the COVID-19-related health crisis continued to have a significant impact on revenue during the year. Moreover, restrictions caused from remodeling works impacted stadium revenue. Against this backdrop, Club management remained focused on cost containment and actions to enhance performance and business development in all areas. Highlights include the unbudgeted capital gain realized during the year from the Sixth Street/Legends agreement. After recognizing provisions for liabilities and charges, the Club obtained EBITDA in FY 2021/22 of €203 million (compared to €180 million in FY 2020/21 and €177 million in FY 2019/20). Therefore, in the three years affected by COVID-19, despite lost revenue EBITDA was higher than in FY 2018/19, before the onset of the pandemic. This is a testament to the Club's operational efficiency and ability to respond by taking measures to mitigate those losses.

Net profit (i.e. after interest, tax, depreciation and amortization) was €13 million. Income tax expense is obtained by applying the nominal 25% tax rate to accounting profit adjusted for non-deductible expenses in accordance with tax legislation less the amount of applicable tax credits.

With this performance, the Club managed to stay in the black in all three financial years affected by the pandemic, reporting a profit in both FY 2019/20 (€313 thousand after tax) and FY 2020/21 (€874 thousand after tax). It was one of only a handful of Europe's major clubs not to sustain losses in those two financial years; according to a UEFA study, cumulative operating losses of European clubs between FY 2019/20 and FY 2020/21 amounted to nearly €6 billion.

The Club has been profit-making in the last 21 years, enabling it to build up equity of €546 million as at June 30, 2022.

INCOME STATEMENT: KEY HIGHLIGHTS

€ MILLION	2020/2021	2021/2022
OPERATING INCOME	**653**	**722**
OPERATING PROFIT before depreciation and amortizacion **(EBITDA)**	**180**	**203**
PROFIT AFTER TAX	**0.9**	**13**

TAX BALANCE: CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY

Real Madrid contributed €351.2 million directly to state and local taxes, and social security in FY 2021/22. The breakdown by item is as follows:

- €207.2 million paid in state and local income tax and social security, representing a cost of 29% of the Club's revenue; i.e. for every €100 of income, Real Madrid allocates €29 to tax and social security payments.
- €144.0 million in VAT paid to the tax authorities (difference between output VAT charged to customers and input VAT paid to suppliers), arising from Real Madrid's economic activity.

At June 30, 2022, Real Madrid was current on the payment of all its tax obligations, as always.

TAX BALANCE

AMOUNTS PAID DURING THE 2021/2022 FINANCIAL YEAR	€ THOUSAND
Personnel income tax withholding and non-resident income tax (deductions from staff remuneration and image rights)	193,199
INCOME TAX	-697
Property and other local taxes	4,405
SOCIAL SECURITY CONTRIBUTIONS (company)	8,440
SOCIAL SECURITY CONTRIBUTIONS (employee)	1,843
TOTAL COST OF TAXES AND SOCIAL SECURITY	**207,190**
% OF REVENUE	**29%**
NET VAT PAID	**143,987**
TOTAL CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY	**351,177**

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

Excluding the stadium remodeling project, the Club invested €124 million in FY 2021/22, of which €8 million went to the upgrade and development of facilities and the IT platform; and €116 million to sports personnel, which included the cost of new player acquisitions for the first division football team and the accrual of contingent costs arising from acquisitions made in prior periods.

Part of the investment in players was self-financed with proceeds from transfers, which amounted to €67 million. Net investment in sports personnel (acquisitions - transfers) was €48 million in FY 2021/22, compared to €77 the year before (no new acquisitions). Average annual net investment in the 2000-2022 period was €67 million.

In addition to investing in players, the Club allocated a significant amount to building and upgrading its facilities and for technological development. In the 2000-2022 period, Real Madrid invested:

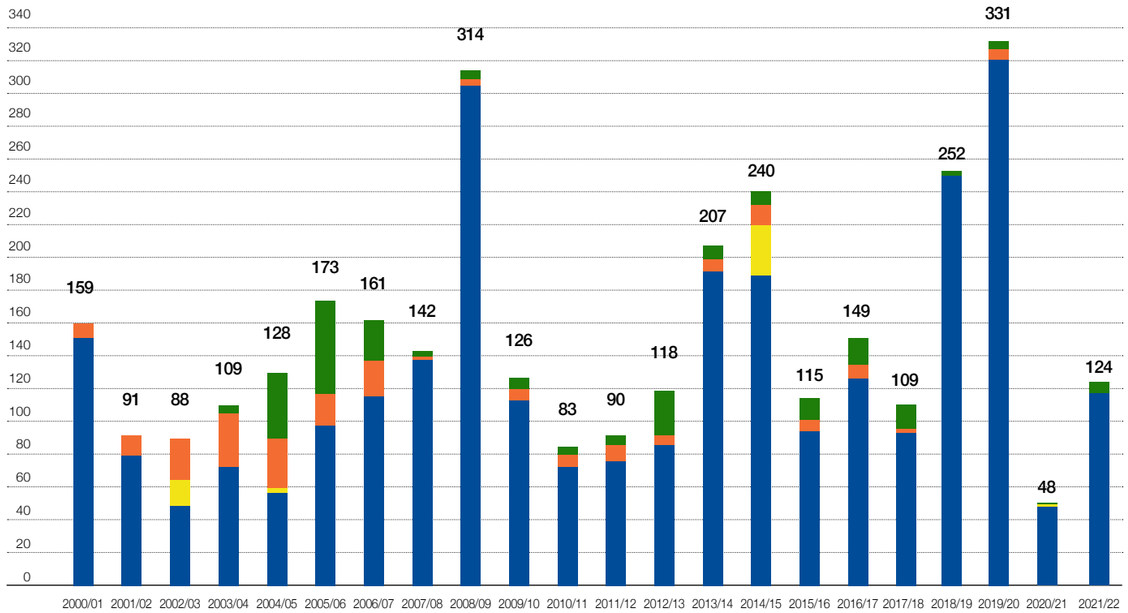
- €257 million on the stadium, modernizing the facilities and enhancing their quality and functionality for spectators, as well as providing the facilities with the resources and services to broaden the stadium's commercial offering and develop the Club's IT platform. All this investment has generated a considerable annual financial return. The amount does not include the stadium remodeling project, which is disclosed separately in another section of this report.

- €241 million on the construction of Real Madrid City, considered the largest sports complex ever built by a football club, with a total surface area of 120 hectares, 10 times bigger than the former complex. Ideally located in one of the fastest growing areas of Madrid and with excellent public transportation, Real Madrid City is a strategic enclave and a first-rate sports and entertainment center. Noteworthy in recent years is the marked improvement made to the installations, with the construction of the first-team and youth team residences -a Club goal for many years- and a basketball training arena and two new training fields. In 2018, construction was completed on the new office building where the Club's various operating departments work, which will pave the way for a greater integration and free up space in the stadium.

Overall, these investments have helped drive Real Madrid's economic growth, social development and sports successes.

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



DISPOSALS: INCOME FROM PLAYER TRANSFERS, €M

2000/01	2001/02	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22
67	11	6	40	24	43	36	33	56	102	20	14	41	102	114	28	54	108	124	139	121	67

Players · Stadium · Repurchase of Rights · Real Madrid Sport City

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months.

The remodeling work is being carried out without affecting the matches scheduled or the stadium's normal activities, barring the interruption of certain activities spectators caused by the COVID-19 pandemic since March 2020, which led to matches from then until June 30, 2021 being held at the Alfredo Di Stefano Stadium in the Sport City without spectators. In the 2021/22 season, after spectators were allowed back in, the matches were again held at the Santiago Bernabéu Stadium.

The new stadium will present an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field, protecting all seats.

The shopping center will be torn down and two new towers built on paseo de la Castellana to make the stadium safer and to make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform will remove architectural barriers and make room for nearly 1,000 new seats for people with various abilities.

Work will also be carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The current museum near the La Castellana will be much bigger, and a new interactive museum will be created and equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It will be a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology will be pioneering and an essential feature of this major reform, with a spectacular video scoreboard that will be one of the most emblematic features of the new Santiago Bernabéu Stadium. It will be a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

In addition, a large underground greenhouse will be built that was not included in the original project due to its complexity, which was technologically resolved subsequently. This greenhouse will allow for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized. Considering the technical characteristics of executing this project, it is expected to be completed around mid-2023.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed at extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via a new 27-year loan facility for up to €225 million, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024.

As a result, the loan taken out to finance the stadium's remodeling totals €800 million, with maturity in July 2049 and carrying an average fixed interest rate of 2.23%. As at June 30, 2022, the loan had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Club's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service), so it can carry out its normal activity with no impact from payment of the works.

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

€ MILLION	AT 06/30/2021	2021/2022
Investments	279	259
Cumulative		538
CASH AT JUNE 30	**144**	**348**
NET DEBT AT JUNE 30	**279**	**538**

In FY 2021/22, work was carried out according to schedule, while matches were being played in the Santiago Bernabéu Stadium.

Investment recognized in FY 2021/22 totaled €259 million, including the capitalized borrowing costs during the construction period. This took cumulative investment in the project as at June 30, 2022, to €538 million.

Regarding the loan, the year featured the third (€200 million in July 2021) and fourth (€225 million in May 2022) drawdowns. Therefore, as at June 30, 2022, the full €800 million of the loan had been drawn down.

Net debt arising from the stadium remodeling project at June 30, 2022, amounted to €538 million. This is the net balance between payables of €886 million (€800 million long-term loan and €86 million outstanding invoices payable) and the cash available from the project of €348 million.

With the additional works not included originally in the project, the Club will continue to execute works next year that are expected to be completed over the course of 2023.

CASH AND CASH EQUIVALENTS (EXCLUDING THE STADIUM REMODELING PROJECT)

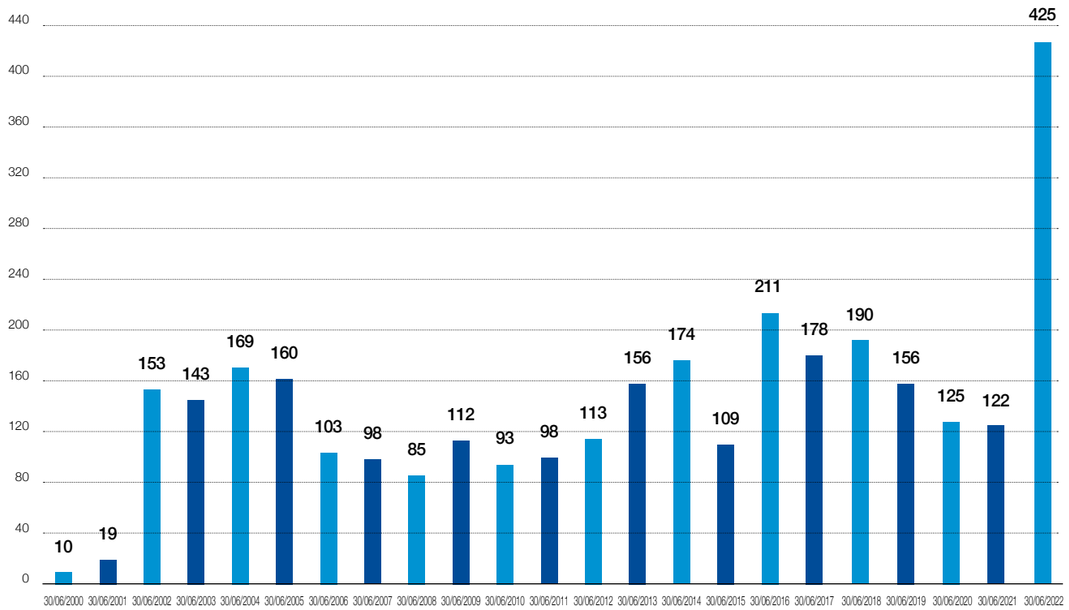
The cash balance as at June 30, 2022, excluding the stadium remodeling project, stood at €425 million.

This high cash balance was achieved thanks to investment and cost containment measures, as well as business development actions, the latter including the impact on cash for the year of the capital gain from the Sixth Street/ Legends agreement.

This shows that the Club managed to offset the impact on cash of the nearly €400 million of lost revenue caused by COVID-19 from March 2020 until now.

In addition to cash, as at June 30, 2022, the Club also had €354 million of undrawn credit facilities, which further strengthens it liquidity to comfortably meet its scheduled payment obligations.

CASH AND CASH EQUIVALENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)



WORKING CAPITAL (EXCLUDING THE STADIUM REMODELING PROJECT)

Working capital (i.e. the difference between current assets and current liabilities) at June 30, 2022, excluding the stadium remodeling project, stood at €79 million, be broken down into operating working capital (€-243 million), financial working capital (€389 million) and other working capital (available-for-sale assets, provisions and taxes amounting to €-67 million).

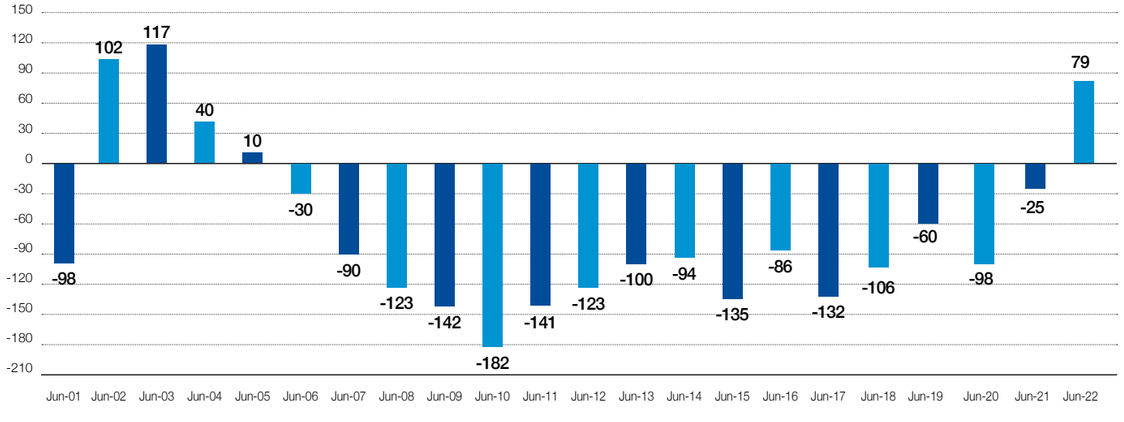
The Club's high cash level resulted in positive working capital. Barring certain moments of especially high cash, like this year, the Club's working capital is inherently negative as the nature of its operations leads to operating working capital with large creditor balances (between €-110 million and €-290 million for player registrations, net trade payables and upfront collection of membership fees and season tickets).

Significant efforts have been made in recent years to lower its negative working capital, which has gone from €-182 million in 2010 to €-25 million as at June 30, 2021, and finally a positive €79 as at June 30, 2022. The reduction in the working capital/revenue ratio is greater: -41% in 2010 compared to -4% in 2021 and 11% in 2022.

This negative working capital is recurring; i.e. rolled over each year due to the intrinsic nature of operations, as reflected in the trend in balances; figures are broadly similar from year to year, with occasional variations due to operating trends each season (e.g. sport achievement prizes).

WORKING CAPITAL

€ MILLION



CASH±SHORT TERM INVESTMENTS (€ MILLION)

Jun-01	Jun-02	Jun-03	Jun-04	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Jun-13	Jun-14	Jun-15	Jun-16	Jun-17	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22
19	153	143	169	160	103	98	85	112	93	98	154	156	174	109	211	178	190	156	125	122	425

These balances are rolled over and, therefore, present similar amounts at each year-end, so they do not represent debt, or a liquidity or business continuity problem.

Due to the large volume of transactions carried out by the Club at present, the only way to offset recurring negative working capital would be to have a large positive financial working capital through an extremely large balance of cash equivalents.

Such high cash balances relative to the size of the Club's balance sheet is not normal. It may occur at some points, like this year, because of certain management actions taken. This high cash balance allows the Club to meet its development requirements.

WORKING CAPITAL

€ MILLION	6/30/09	6/30/10	6/30/11	6/30/12	6/30/13	6/30/14	6/30/15	6/30/16	6/30/17	6/30/18	6/30/19	6/30/20	6/30/21	6/30/22
OPERATING WORKING CAPITAL														
Trade receivables + Inventories	32	58	71	66	54	46	57	67	108	103	90	163	103	148
Receivables from public administrations	4	1	1	1	1	1	7	0	0	0	0	0	0	0
Trade payables	-47	-74	-67	-75	-73	-63	-64	-66	-63	-63	-58	-35	-38	-62
Payables to public administrations	-7	-11	-15	-13	-15	-15	-22	-15	-27	-23	-26	-15	-23	-36
Salaries and wages payable (50% player registration, bonuses)	-50	-56	-71	-93	-82	-114	-104	-144	-197	-208	-149	-139	-135	-216
Accruals	-48	-66	-69	-67	-60	-58	-62	-64	-85	-96	-124	-80	-57	-79
Subtotal	**-116**	**-149**	**-151**	**-181**	**-176**	**-202**	**-189**	**-222**	**-265**	**-287**	**-267**	**-106**	**-150**	**-243**
Financial Working Capital														
Cash	112	93	98	113	156	174	109	211	178	190	156	125	122	425
Current investments	0	0	0	41	0	0	0	0	0	0	0	0	0	0
Player transfer receivables	13	34	28	21	24	36	58	53	20	52	79	44	83	35
Bank borrowings	-24	-48	-7	-43	-26	-16	0	0	0	-10	0	-52	-2	-38
Player transfer and other investments payable	-146	-115	-92	-74	-76	-91	-111	-131	-70	-55	-108	-128	-79	-33
Subtotal	**-45**	**-37**	**27**	**59**	**77**	**103**	**56**	**133**	**128**	**177**	**126**	**-10**	**124**	**389**
Other														
Available-for-sale financial assets	29	0	0	0	0	0	0	0	0	0	79	7	0	23
Provisions	-10	-1	-1	-1	-2	-2	-3	-1	-2	-2	-2	-2	-1	-71
Taxes	1	4	-17	0	1	7	1	5	7	6	4	13	2	-19
Subtotal	**20**	**4**	**-18**	**-1**	**-1**	**5**	**-2**	**4**	**5**	**4**	**81**	**18**	**1**	**-67**
TOTAL WORKING CAPITAL	**-142**	**-182**	**-141**	**-123**	**-100**	**-94**	**-135**	**-86**	**-132**	**-106**	**-60**	**-98**	**-25**	**79**

LIABILITIES AND GROSS DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club had total liabilities at June 30, 2022, excluding the stadium remodeling project, of €837 million (2021: €628 million). This, in addition to €546 million of equity (2021: €534 million) and the liabilities related to remodeling project of €886 million (2021: €424 million), of which €800 million is long-term finance (2021: €375 million) and €86 million of short and long-term invoices payables (2021: €49 million), gives a total balance sheet value of €2,269 million (2021: €1,585 million).

Liabilities comprise gross debt, trade payables (€277 million as at June 30, 2022, and €174 million as at June 30, 2021) and other liabilities, composed of provisions, accruals, and taxes (€354 million as at June 30, 2022, and €216 million as at June 30, 2021).

The Club's gross debt at June 30, 2022 excluding the stadium remodeling project, in accordance with Spanish GAAP, stood at €206 million, of which €153 million corresponded to bank borrowings and €53 million to debt relating to investments in players and facilities (2021: €237 million, of which €155 million of bank borrowings and €82 million of investments).

The Club's gross debt decreased by €31 million in FY 2021/22:

-Bank borrowings decreased by €2 million, following the start at the end of the year of repayments of the ICO-backed bank loans after the 2-year grace period. Repayments will be made regularly in coming years to maturity in 2026. These loans were taken out for €155 million in FY 2019/20 to make up for the impact on cash flow of lost income caused by COVID-19.

-Debt from investments decreased by €29 million, as payments made exceeded the addition of new outstanding amounts payable on new acquisitions during the year.

REAL MADRID LIABILITIES AT JUNE 30, 2021

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**81**	**156**	**237**
Trade and other payables	174		174
Financial liabilities	**256**	**156**	**412**
Provisions	1	31	32
Deferred taxes		33	33
Current tax	0		0
Public Administrations	23		23
Accruals	58	70	128
Total other liabilities	**82**	**134**	**216**
TOTAL LIABILITIES	**337**	**290**	**628**

REAL MADRID LIABILITIES AT JUNE 30, 2022

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**71**	**135**	**206**
Trade and other payables	277		277
Financial liabilities	**349**	**135**	**483**
Provisions	71	66	137
Deferred taxes		34	34
Current tax	19		19
Public Administrations	36		36
Accruals	81	47	128
Total other liabilities	**206**	**148**	**354**
TOTAL LIABILITIES	**554**	**283**	**837**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

Gross debt was discussed in the previous section.

However, the Club's key metric is its net debt; it does not make sense to discuss what one owes without factoring in what one owns.

Net debt is gross debt minus cash and cash equivalents, of €425 million at June 30, 2022 (2021: €122 million) and receivables from other clubs from player transfers (in keeping with a core principle of consistency, since gross debt includes amounts paid to other clubs for player acquisitions and as player acquisitions/sales are mirror sides of the business), of €91 million at June 30, 2022 (2021: €139 million), recognized in "Financial assets" in the balance sheet.

The Club includes as debt the balance of advances on income accruing in the future, which stood at €47 million at June 30, 2022 (2021: €70 million).

This left the Club's net debt as at June 30, 2022, at €-263 million (2021: €46 million), excluding the stadium remodeling project.

Net debt represents the external resources which, coupled with own funds, are used to fund the capital invested by the Club to carry out its activity.

NET DEBT AT JUNE 30, 2021

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	78	4	82
Player transfer receivables	-83	-56	-139
Net investments/transfers	**-5**	**-52**	**-57**
Bank borrowings	2	153	155
Cash	-122	0	-122
Cash advance	0	70	70
Subtotal other net debt	**-120**	**223**	**103**
TOTAL NET DEBT	**-125**	**171**	**46**

NET DEBT AT JUNE 30, 2022

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	32	20	53
Player transfer receivables	-35	-56	-91
Net investments/transfers	**-3**	**-34**	**-38**
Bank borrowings	38	115	153
Cash	-425	0	-425
Cash advance	0	47	47
Subtotal other net debt	**-387**	**161**	**-225**
TOTAL NET DEBT	**-390**	**127**	**-263**

MANAGEMENT BALANCE

€ MILLION	06/30/2021	06/30/2022
Players, facilities and other property	761	669
Provisions and other	-31	-143
Net operating working capital	-150	-243
TOTAL NET CAPITAL INVESTED	**580**	**283**
NET EQUITY	534	546
NET DEBT	46	-263
TOTAL FUNDING SOURCES	**580**	**283**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club's net debt excluding the stadium remodeling project at June 30, 2022, amounted to €-263 million. Rather than a debt, this actually represents net liquidity as the sum of cash and cash equivalents and receivables from transfers, exceeds the amounts payable on investments, bank borrowings, and advances.

Net debt at June 30, 2021, excluding the stadium remodeling project, stood at €46 million, indicating a reduction in FY 2021/22 by the Club in its net debt of €309 million.

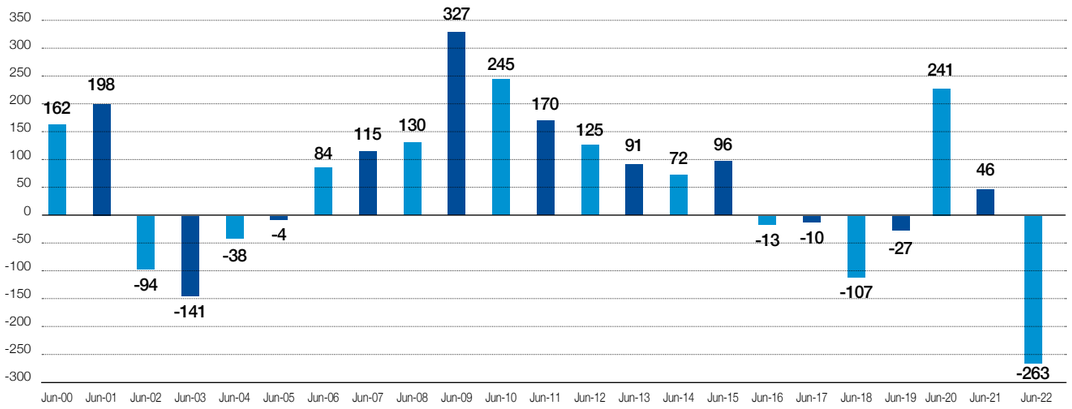
Compared to the situation before the pandemic (June 30, 2019: net liquidity position of €-27 million), net debt at June 30, 2022 was €236 million lower. This illustrates that the Club was able to offset nearly €400 million of lost revenue caused by the pandemic, which also decreased cash and increased debt, by implementing cost-saving and other business improvement measures.

Since June 2009, it has made ongoing and considerable efforts to reduce debt.

Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA of €203 million) yields a debt/EBITDA ratio—one of the most commonly used solvency indicators—at June 30, 2022 of 0, since the Club not only was debt-free, but it had a positive net liquidity position. Even despite the pandemic, the Club's debt/EBITDA ratio is commensurate with a maximum credit rating for financial institutions.

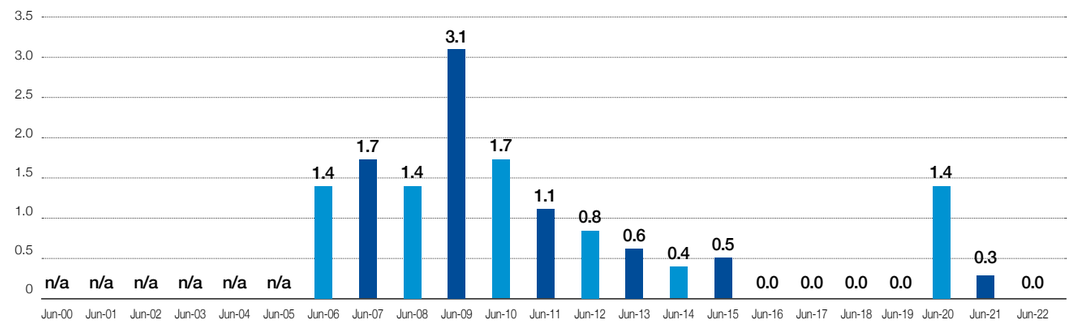
NET DEBT
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.

NET DEBT/EBITDA RATIO



EBITDA: Operating profit before depreciation and amortization. As of 2008/09, with new Spanish GAAP, it includes gains/(losses) on disposals and impairment of non-current assets.

EQUITY

Equity represents the Club's own funds; i.e. the funds which, with borrowings, fund the Club's needs to carry out its activities.

Equity is the accounting measure of enterprise value. For an entity like Real Madrid, which does not distribute dividends, the annual change in equity relates to annual profit after tax (and any balance sheet revaluation).

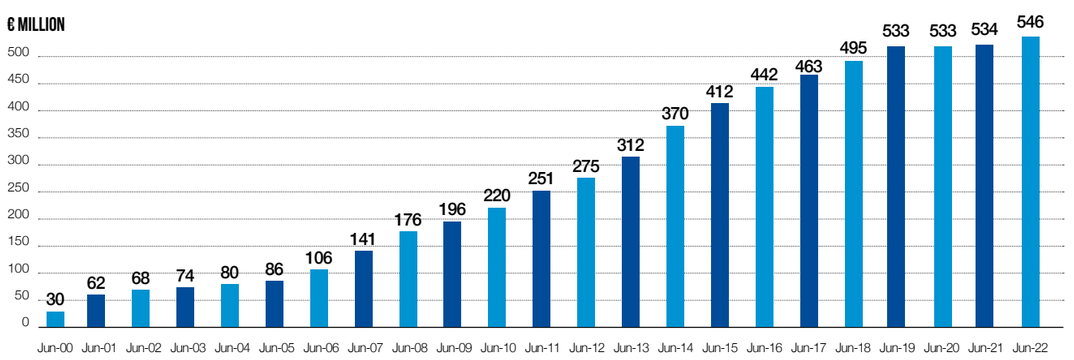
Through the profits it obtains, the Club has increased equity each year, to €546 million at June 30, 2022. By delivering a profit in the three financial years affected by the pandemic -FY 2019/20, FY 2020/21 and FY 2021/22- despite the lost revenue, the Club was able to boost equity by €14 million relative to the level at June 30, 2019, before the pandemic.

The greater the amount of equity relative to debt, the higher the Club's value, solvency and financial autonomy, as capital invested is financed more by equity than debt. The debt/equity ratio is used as an indicator of solvency and financial autonomy: the lower this ratio, the higher the Club's solvency and financial autonomy.

The debt/equity ratio at June 30, 2022, excluding the stadium remodeling project, was 0, since the Club did not have any debt, but rather a net cash position which, despite the effects of the pandemic, indicates maximum solvency and financial autonomy.

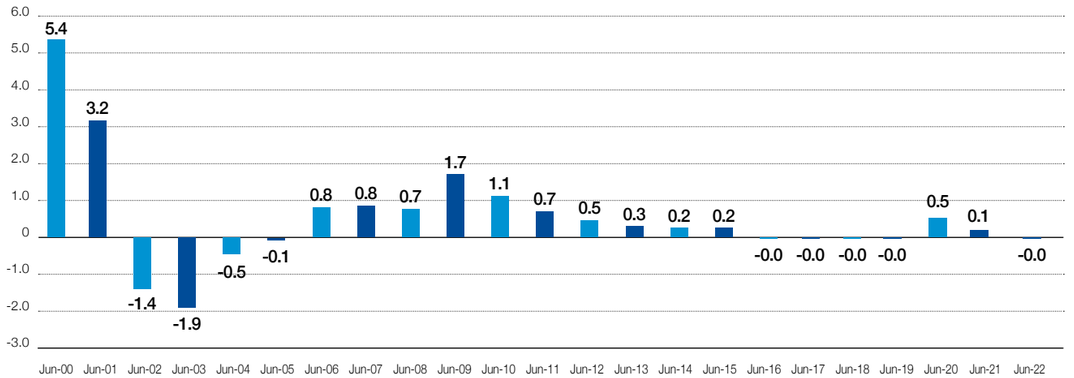
EQUITY

€ MILLION



NET DEBT/EQUITY RATIO

Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.



BALANCE SHEET

ASSETS

€ THOUSAND	06/30/2022	06/30/2021
Sports intangible assets	293,266	429,184
Other intangible assets	6,848	3,177
Property, plant and equipment	822,397	575,405
Investment properties	11,153	11,162
Non-current player transfers receivable	55,539	55,889
Deferred tax assets	47,214	31,816
Other financial assets	51,237	21,420
Investments in group companies	0	138
TOTAL NON-CURRENT ASSETS	**1,287,654**	**1,128,191**
Assets held for sale	22,365	0
Inventories	7,746	5,725
Current player transfers receivable	35,256	83,160
Trade receivables	140,667	97,708
Current tax assets	0	2,085
Cash and cash equivalents	773,316	266,474
Accruals	2,219	1,530
TOTAL CURRENT ASSETS	**981,569**	**456,682**
TOTAL ASSETS	**2,269,223**	**1,584,873**

EQUITY AND LIABILITIES

€ THOUSAND	06/30/2022	06/30/2021
Social fund and reserves	529,667	528,793
Profit (loss) for the year	12,936	874
CAPITAL AND RESERVES	**542,603**	**529,667**
Grants received	3,844	3,988
EQUITY	**546,447**	**533,655**
Provisions for liabilities and charges	66,014	31,243
Bank borrowings	114,789	152,676
Non-current payables for player acquisitions	19,953	3,171
Non-current payables for stadium and Real Madrid Sport City works	813,266	381,313
Payables for Repurchase of rights/other	507	604
Deferred tax liabilities	34,493	32,621
Accruals	47,024	70,059
TOTAL NON-CURRENT LIABILITIES	**1,096,046**	**671,687**
Provisions for liabilities and charges	70,985	970
Bank borrowings	38,356	2,299
Current payables for player acquisitions	30,485	77,125
Current payables for stadium and Real Madrid City works	74,413	43,840
Current payables for repurchase of rights/others	0	59
Trade and other payables	97,294	61,881
Current tax liabilities	18,594	0
Wages and salaries payable	215,753	135,172
Accruals	80,849	58,185
TOTAL CURRENT LIABILITIES	**626,729**	**379,531**
TOTAL EQUITY AND LIABILITIES	**2,269,223**	**1,584,873**

Assets/liabilities at June 30, 2022, amounted to €2,269 million, an increase of €684 million from the year before.

Highlights on the assets side: The carrying amount of sports intangible assets decreased by €136 million due the net result of investment made in the year less amortization, disposals, impairment and transfers to available-for-sale assets. The value of property, plant and equipment increased by €247 million due to the net result of investment made in the year (primarily in the stadium remodeling project) less depreciation. Available-for-sale assets increased by €22 million owing to the reclassification from sports intangible assets. Current and non-current receivables for player transfers decreased by €48 million following receipt of part of the outstanding balance of transfers from prior years which was higher than the outstanding amounts added for transfers during the current year, since revenue from transfers decreased. Trade receivables increased by €43 million on the back of increased business activity and primarily since the part of the revenue accrued during the year from the Sixth Street agreement will be received during the next reporting period. The balance of cash and cash equivalents totaled €773 million, of which: €348 million related to cash from the stadium remodeling project; i.e. an increase of €203 million from the year before after having drawn down the remaining amount of the loan; and €425 million related to the Club's cash excluding the remodeling project; i.e. an increase of €303 million from the year before due almost entirely to the receipt of the bulk of the revenue accrued from the Sixth Street agreement.

Highlights on the liabilities side: The balance of bank borrowings decreased by €2 million due to the start at the beginning of the year of repayment of the ICO-backed bank loan facilities. Outstanding payables on investments were €432 million higher. Of the total, an increase in €462 million was due to the stadium remodeling project (the amount drawn on the long-term loan increased by €425 million and short- and long-term outstanding invoices payable increased by €37 million). Conversely, payables for player acquisitions and other investments decreased by €30 million as payments made outstripped the amounts outstanding on payments for new acquisitions during the year. The balance of non-current and current provisions for liabilities increased by €105 million due to provisions recognized for liabilities and charges. Trade payables rose by €35 million due to increased activity. Current tax liabilities of €19 million relate to income tax for the year payable in January 2023, which arose for the income tax expense plus the tax effect of temporary differences for the adjustment of taxable profit since most of the provisions will be tax deductible when they are realized. The balance of salaries payable increased by €81 million due to bonuses for sports achievements that will be paid next year and because the wage cut the previous year was concentrated mostly in the year's second half, which reduced the amount pending payment. The balance of non-current and current accruals (amounts received which accrue in subsequent periods) were broadly unchanged. Equity at the end of the reporting period amounted to €546 million, up €13 million from the year before, due to the profit obtained in FY 2021/22.

OTHER MANAGEMENT INFORMATION

NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

Real Madrid has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity. Financial instrument activity exposes the Club to credit, market, and liquidity risk.

CREDIT RISK

Credit risk is the risk that a Club counterparty will not meet its contractual obligations, i.e. the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

With regard to trade receivables, the Club has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls. The Club, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In many cases, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees. As a result of all these measures the Club's losses on uncollectible receivables are insignificant in relation to the its annual revenue.

The Club's investment policies establish that financial investments must be made in accordance with the following guidelines: They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity. Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited. Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, be concentrated in certain highly solvent institutions. Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required. Compliance with these requirements minimizes investment risk and therefore the Club has seen no impairment on any of its financial investments since 2000, the first year for analysis of the Club's economic and financial performance considered in this management report.

MARKET RISK

Interest rate risk

Market risk entails interest rate risk caused by uncertainty over the future performance of the financial markets and interest rates, which can potentially have a negative impact on the Club's results and cash flows. Financing for the stadium project is for 30 years at fixed rates, thereby eliminating any risk since the transaction is for such a long period of time. Almost the entire amount of new long-term (with maturity to 2026) financing raised in FY 2019/20 to cushion the impact of COVID-19 is at fixed rates and, therefore, risk-free. The rest of the Club's financing is composed of short-to-medium term credit facilities at floating rates indexed to the Euribor rate. No amounts on these had been drawn down as at June 30, 2022, and none are expected to be drawn down in FY 2022/23 given the Club's available cash balance. Therefore, there is no risk of any increase in interest rates. Given its financing mix, the Club does not enter into any derivatives as interest rate hedges.

Inflation

Given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Club's total expenses. Moreover, the part of the inflation-induced increase in expenses will be offset by corresponding increases in certain revenue items.

Supply chain disruptions have not had any material impact on either the stadium remodeling project or the Club's operations.

LIQUIDITY RISK

Liquidity risk is the risk that the Club will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. To address this risk the Club aims to maintain sufficient available funds to carry out its operating activities and make the investments it requires at any given time. On June 30, 2022, the Club had a cash balance of €425 million (excluding the cash inherent in the stadium remodeling project) and undrawn credit lines amounting to €354 million at a highly competitive floating interest rate.

These funds, plus the cash flows generated regularly by the Club through its operating activities, allow it to comfortably meet all its payment commitments and have sufficient flexibility to make decisions on potential new investments.

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OTHER MANAGEMENT INFORMATION

AVERAGE SUPPLIER PAYMENT PERIOD

The Club's average supplier payment period in FY 2021/22 was 49 days, below the statutory limit stipulated in Law 15/2010 of July 5.

PERSONNEL

In FY 2021/22, the Club had an average of 894 employees, of whom 428 were players and coaches (2021: 819 and 377, respectively).

At June 30, 2022, the Club had 878 employees (2021: 861), of whom 434 (2021: 421) were players and coaches

ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Club has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results.

Real Madrid, in compliance with its sustainability and energy efficiency policy, continues to study and carry out measures to reduce its consumption and ensure the responsible management of resources.

RESEARCH, DEVELOPMENT AND INNOVATION

Given the nature of the Club activities, its most relevant activities in this area are the innovative design of various sections of the stadium remodeling project, and the design and development of the technology platform and other tools to support its digital activities.

Also included are sports health-related activities and the development of new IT tool.

TREASURY SHARES

As the Club is a sports association it has no shares and therefore no treasury shares.

EVENTS AFTER THE REPORTING PERIOD

No significant events occurred between the end of the reporting period and the date of authorization for issue of the financial statements.

OUTLOOK

Looking ahead to FY 2022/23, current forecasts indicate that there will be no restrictions on spectator capacity caused by the pandemic. Some effects, e.g. on TV and commercial revenue, are expected to persist because of the delayed impact of the pandemic-induced economic crisis. However, revenue lost should be much lower than in FY 2021/22. Difficulties realizing capital gains on player transfers are expected to be repeated next year as most clubs' financial situations are still poor, with estimates suggesting that many will report losses in FY 2021/22.

As for the consequences of the war in Ukraine and its impact on rising inflation, we note the following:

- As for economic contraction, the impact on current revenue contracts is unlikely to be material, although the problems and economic uncertainty caused by the armed conflict could make it more difficult to sign new business agreements.

- As for the impact of inflation, given its cost structure, the Club has seen only a moderate impact on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Club's total expenses. Moreover, the part of the inflation-induced increase in expenses will be offset by corresponding increases in certain revenue items.

- As for the potential effect of interest rate hikes being implemented, the impact on the Club's finance costs in FY 2022/23 should be marginal as the loan for stadium remodeling was taken out at a fixed interest rate, as were virtually all the ICO-backed facilities arranged in 2020 to mitigate the effects of the pandemic. The rest of the Club's financing is composed of credit facilities of which, while they are indexed to the Euribor rate, no amounts had been drawn down as at June 30, 2022, and none are expected to be drawn down in FY 2022/23 given the Club's available cash balance.

- As for existing supply chain disruptions, the impact is not expected to be material on either the stadium remodeling project or the Club's operations.

The Club expects to build on the success of its sport model, pursuing further sports successes in football and basketball, which have set the Club apart throughout its history and especially in recent years.

This performance must be supported by an economic model that aims to achieve self-sustaining growth, where, through the combination of diversified revenue and contained costs, a profitability and financial structure are achieved to provide the solvency that enables the Club to make the investments it needs to carry out its business.

Also over the course of FY 2022/23, the Club will continue to perform the works for the stadium remodeling project, which are expected to be completed during 2023.

CONSOLIDATED FINANCIAL STATEMENTS

For the year ended June 30, 2022.

The Financial Statements of Real Madrid Club de Fútbol and Subsidiaries is presented below.



CONSOLIDATED BALANCE SHEET AS AT JUNE 30, 2022

ASSETS

€ THOUSAND	NOTES	06.30.22
NON-CURRENT ASSETS		**1,287,654**
Sports intangible assets	4	**293,266**
Other non-sports intangible assets	5	**6,848**
Property, plant and equipment	6	**822,397**
Investment properties	7	**11,153**
Non-current financial assets	8.1	**81,639**
Non-current accruals	15.1	**25,137**
Deferred tax assets	16	**47,214**
CURRENT ASSETS		**981,569**
Non-current assets held for sale	4.2	**22,365**
Inventories	9	**7,746**
Trade and other receivables	8.2	**175,923**
Current accruals	15.1	**2,219**
Cash and cash equivalents	8 and 10	**773,316**
TOTAL ASSETS		**2,269,223**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	06.30.22
EQUITY		**546,447**
Capital and reserves	11	**542,603**
Entity's fund		487,517
Revaluation reserve RD 7/96		8,548
Revaluation reserve law 16/2012		20,277
Capitalization reserve		13,325
Profit for the year		12,936
Grants, donations and bequests received	12	**3,844**
NON-CURRENT LIABILITIES		**1,096,046**
Non-current provisions	13.1	**66,014**
Non-current loans and borrowings	14.1	**948,515**
Bank borrowings		114,789
Other financial liabilities		833,726
Deferred tax liabilities	16	**34,493**
Non-current accruals	15.2	**47,024**
CURRENT LIABILITIES		**626,730**
Current provisions	13.2	**70,985**
Current loans and borrowings	14.2	**143,254**
Bank borrowings		38,356
Other financial liabilities		104,898
Trade and other payables	14.3	**331,642**
Current accruals	15.2	**80,849**
TOTAL EQUITY AND LIABILITIES		**2,269,223**

CONSOLIDATED INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2022

€ THOUSAND	NOTES	2021/22
CONTINUING OPERATIONS		
Revenue		
Membership fees, ticket sales and other stadium revenue		104,303
International and friendly matches		139,492
Broadcasting		178,940
Marketing		290,140
	17.1	**712,875**
Self-constructed property, plant and equipment	17.1	**-**
Cost of sales		
Raw materials and other consumables used	17.2	**(27,778)**
Other operating income	17.1	**6,903**
Sports and non-sports personnel expenses	17.3	**(519,030)**
Other operating expenses		
Losses on, impairment of and changes in trade provisions	17.4	(3,399)
Other operating expenses	17.4	(286,224)
		(289,623)
Depreciation and amortization	4, 5, 6, 7	**(179,702)**
Non-financial and other capital grants	12	**192**
Provision surpluses	13.1, 13.2	**1,558**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)		
Impairment and losses	17.5	(60,814)
Gains/(losses) on disposal and other	17.5	378,716
		317,902
OPERATING PROFIT/(LOSS)		**23,297**
Finance income		
Marketable securities and other financial instruments	17.6	1,148
Capitalization of borrowing costs	17.6	14,749
		15,897
Finance expenses	17.6	**(18,995)**
NET FINANCE INCOME/(EXPENSE)		**(3,098)**
PROFIT BEFORE TAX		**20,199**
Income tax expense	16.1	**(7,263)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**12,936**
PROFIT FOR THE YEAR		**12,936**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED JUNE 30, 2022

A) Consolidated statement of recognized income and expense for the year ended June 30, 2022.

€ THOUSAND	NOTES	2021/22
Profit for the year		**12,936**
Income and expense recognized directly in equity		**-**
Amounts transferred to the income statement		
Grants, donations and bequests received	12	(192)
Tax effect	12	48
Total amounts transferred to the income statement		**(144)**
Total recognized income and expense		**12,792**

B) Consolidated statement of total changes in equity for the year ended June 30, 2022

€ THOUSAND	RESERVES	REVALUATION RESERVE RD 7/96	REVALUATION RESERVE LAW 16/2012	CAPITALIZATION RESERVE	PROFIT FOR THE YEAR	TOTAL EQUITY	GRANTS, DONATIONS AND BEQUESTS RECEIVED	TOTAL EQUITY
Opening balance (incorporation of the group)	**487,517**	**8,548**	**20,277**	**13,325**	**-**	**529,667**	**3,988**	**533,655**
Total recognized income and expense for the year ended June 30, 2022	-	-	-	-	12,936	12,936	(144)	12,792
Balance at June 30, 2022	**487,517**	**8,548**	**20,277**	**13,325**	**12,936**	**542,603**	**3,844**	**546,447**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2022

€ THOUSAND	NOTES	2021/22
OPERATING ACTIVITIES		
Profit for the year before tax		**20,199**
Adjustments for:		**(27,324)**
Depreciation and amortization	4, 5, 6, 7	179,702
Impairment losses	17.5	60,814
Change in provisions	13.1, 13.2, 17.4	108,185
Grants recognized in the income statement	12	(192)
Proceeds from derecognition and disposals of non-current assets	17.5	(378,716)
Finance income	17.6	(15,897)
Finance expenses	17.6	18,995
Other income and expenses		(215)
Working capital adjustments		**62,065**
Inventories		(2,021)
Trade and other receivables		(9,869)
Other current assets		(689)
Trade and other payables		102,549
Other current liabilities		22,664
Other non-current assets and liabilities		(50,569)
Other cash flows from operating activities		**(2,085)**
Interest paid		(3,867)
Interest received		682
Income tax received/(paid)		1,100
NET CASH FLOWS FROM OPERATING ACTIVITIES		**52,855**
INVESTING ACTIVITIES		
Payments for investments		**(379,155)**
Sports intangible assets		(145,454)
Other intangible assets		(4,233)
Property, plant and equipment		(225,539)
Other financial assets		(3,929)
Proceeds from sale of investments		**410,166**
Sports intangible assets		115,681
Transfer rights		294,479
Property, plant and equipment		6
NET CASH FLOWS FROM INVESTING ACTIVITIES		**31,011**
FINANCING ACTIVITIES		
Proceeds from and payments for financial liability instruments		**422,976**
Redemption and repayment of bank borrowings		(2,024)
Other borrowings		425,000
NET CASH FLOWS FROM FINANCING ACTIVITIES		**422,976**
EFFECT OF EXCHANGE RATE FLUCTUATIONS		**-**
NET INCREASE/DECREASE IN CASH AND CASH EQUIVALENTS		**506,842**
Cash and cash equivalents at beginning of period		266,474
Cash and cash equivalents at end of period	10	773,316

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2022

1. CORPORATE INFORMATION

Real Madrid, Club de Fútbol (the "Club") was formed in 1902 as a sports entity to engage in, and use its assets for, primarily and principally, the promotion of football at all levels and ages and, in general, of all sports.

Its sporting activities focus currently on playing and promoting football and basketball. The Club has teams competing at various levels in both of these sports, including categories of women's football after the merger by absorption of the women's football club, Club Deportivo Elemental "Club Deportivo Tacón" approved at the Extraordinary General Assembly held on September 16, 2019 and executed with effect as of July 1, 2020.

The Club is the head of a group composed of the following subsidiaries:

NAME	DATE OF INCORPORATION	COST OF STAKE	% STAKE	REGISTERED ADDRESS	ACTIVITY
Real Madrid Beijing Co, Ltd.	3/24/2015	137	100%	3021-3022 Units, South Tower Beijing Kerry Centre, Nº 1 Guanghua Road, Chaoyang District, Beijing, China	Support Real Madrid's expansion in China and other countries in Asia.
Real Madrid Estadio, S.L.	8/27/2021	3	100%	Avda Concha Espina, 1	Management of all kinds of venues.

The financial years of all companies included in the scope of consolidation begin on July 1 each year and end on June 30 the following year.

2. BASIS OF PREPARATION

These consolidated financial statements have been authorized for issue by the Board of Directors of Real Madrid Club de Fútbol, the parent of the consolidated group.

The figures shown herein are in thousands of euros (€ thousand), unless stated otherwise.

2.1 FAIR PRESENTATION

The accompanying consolidated financial statements have been prepared from the auxiliary accounting records of the Club and subsidiaries included in the scope of consolidation in accordance with Spanish GAAP (Plan General de Contabilidad) and other prevailing accounting legislation to present fairly the equity, financial position and results of operations of the consolidated group.

Specifically, these consolidated financial statements have been prepared in accordance with Spanish GAAP (Plan General de Contabilidad) approved by Royal Decree 1514/2007, of November 16, which has been amended several times since its publication, the latest by Royal Decree 1/2021, of January 12, and the rules for the preparation of consolidated financial statements approved by Royal Decree 1159/2010, of September 17. They also considered the specifics contained in Spanish GAAP applicable to sporting public limited companies (sociedades anónimas deportivas) and sports entities.

The statement of cash flows was prepared to present fairly the source and use of the Group's cash flows represented by cash and cash equivalents.

2.2 BASIS OF CONSOLIDATION

The consolidated group includes all companies over which the parent, Real Madrid Club de fútbol, has or could have, directly or indirectly, control, understood to be the power to govern the business and financial policies of a company.

The consolidated financial statements have been prepared applying the full consolidation method since the parent owns 100% of the share capital of the subsidiaries.

In preparing the accompanying consolidated financial statements, all significant balances and transactions between consolidated companies and the significant results of those transactions were eliminated.

In addition, in the preparation of the accompanying consolidated financial statements, uniformity adjustments were made to the most significant accounting principles and policies to make them uniform them with those used by the parent.

2.3 COMPARATIVE INFORMATION

In accordance with company law, since the consolidated group was created during the current year, the consolidated balance sheet, income statement, statement of changes in equity, statement of cash flows and the notes to the consolidated financial statements present only figures as at, and for the year ended, June 30, 2022.

However, to improve the overall quality of the information, for comparative purposes following are the parent's balance sheet as at June 30, 2021 and income statement for the year then ended (identified by RMCF in the columns) and the consolidated group's balance sheet as at June 30, 2022 and consolidated income statement for the year ended June 30, 2022. Throughout the notes to the consolidated financial statements, all quantitative disclosures related to the prior period correspond to the parent, Real Madrid Club de Fútbol. Comparisons are virtually like-for-like from a financial standpoint since the value of the Real Madrid Football Club's assets and liabilities as at June 30, 2022, amounted to 99% of the value of the assets and liabilities in the consolidated balance sheet, and revenue and operating expenses in Real Madrid Football Club's income statement for the year ended June 30, 2022 (or "FY 2021/22") represented nearly 100% of the figures in the consolidated income statement.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2022

ASSETS

€ THOUSAND	NOTES	6/30/2022	6/30/2021 (RMCF)
NON-CURRENT ASSETS		**1,287,654**	**1,128,191**
Sports intangible assets	4	**293,266**	**429,184**
Other non-sports intangible assets	5	**6,848**	**3,177**
Property, plant and equipment	6	**822,397**	**575,405**
Investment properties	7	**11,153**	**11,162**
Investments in group companies	1	**-**	**138**
Non-current financial assets	8.1	**81,639**	**60,575**
Non-current accruals	15.1	**25,137**	**16,734**
Deferred tax assets	16	**47,214**	**31,816**
CURRENT ASSETS		**981,569**	**456,682**
Non-current assets held for sale	4.2	**22,365**	**-**
Inventories	9	**7,746**	**5,725**
Trade and other receivables	8.2	**175,923**	**182,953**
Current accruals	15.1	**2,219**	**1,530**
Cash and cash equivalents	8 and 10	**773,316**	**266,474**
TOTAL ASSETS		**2,269,223**	**1,584,873**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/2022	6/30/2021 (RMCF)
EQUITY		**546,447**	**533,655**
Capital and reserves	11	**542,603**	**529,667**
Entity's fund		487,517	486,730
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Capitalization reserve		13,325	13,238
Profit for the year		12,936	874
Grants, donations and bequests received	12	**3,844**	**3,988**
NON-CURRENT LIABILITIES		**1,096,046**	**671,687**
Non-current provisions	13.1	**66,014**	**31,243**
Non-current loans and borrowings	14.1	**948,515**	**537,764**
Bank borrowings		114,789	152,676
Other financial liabilities		833,726	385,088
Deferred tax liabilities	16	**34,493**	**32,621**
Non-current accruals	15.2	**47,024**	**70,059**
CURRENT LIABILITIES		**626,730**	**379,531**
Current provisions	13.2	**70,985**	**970**
Current loans and borrowings	14.2	**143,254**	**123,323**
Bank borrowings		38,356	2,299
Other financial liabilities		104,898	121,024
Trade and other payables	14.3	**331,642**	**197,053**
Current accruals	15.2	**80,849**	**58,185**
TOTAL EQUITY AND LIABILITIES		**2,269,223**	**1,584,873**

€ THOUSAND	NOTES	2021/22	2020/21 (RMCF)
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and other stadium revenue		104,303	10,257
International and friendly matches		139,492	116,163
Broadcasting		178,940	207,709
Marketing		290,140	314,226
	17.1	**712,875**	**648,355**
Self-constructed property, plant and equipment	17.1	**-**	**-**
Cost of sales			
Raw materials and other consumables used	17.2	**(27,778)**	**(19,024)**
Other operating income	17.1	**6,903**	**1,334**
Sports and non-sports personnel expenses	17.3	**(519,030)**	**(402,957)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	(3,399)	158
Other operating expenses	17.4	(286,224)	(173,955)
		(289,623)	**(173,797)**
Depreciation and amortization	4, 5, 6, 7	**(179,702)**	**(174,466)**
Non-financial and other capital grants	12	**192**	**192**
Provision surpluses	13.1, 13.2	**1,558**	**3,098**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	(60,814)	16,467
Gains/(losses) on disposal and other	17.5	378,716	105,964
		317,902	**122,431**
OPERATING PROFIT/(LOSS)		**23,297**	**5,166**
Finance income			
Marketable securities and other financial instruments	17.6	1,148	1,025
Capitalization of borrowing costs	17.6	14,749	8,704
		15,897	**9,729**
Finance expenses	17.6	**(18,995)**	**(13,156)**
NET FINANCE INCOME/(EXPENSE)		**(3,098)**	**(3,427)**
PROFIT BEFORE TAX		**20,199**	**1,739**
Income tax expense	16.1	**(7,263)**	**(865)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**12,936**	**874**
PROFIT FOR THE YEAR		**12,936**	**874**

In FY 2019/2020, the emergency public health situation caused by the coronavirus outbreak (COVID-19) resulted in an atypical situation regarding the correlation between the sports season and the financial year. Until then, the sports season took place completely within a financial year. However, that year all sporting competitions were suspended following the declaration of the state of alarm in Spain in March 2020. Some competitions were suspended indefinitely, while others resumed in June and some were delayed until August, then in FY 2020/21. This caused part of the sports activity of the 2019/20 season to be transferred to the 2020/21 season. As a result, in keeping with the accruals principle, certain revenue and expenses were transferred from 2019/20 to 2020/21, for amounts of €37,457 thousand and €2,090 thousand, respectively. Matches resumed behind closed doors (i.e. without spectators), so the transfer related mainly to revenue for audiovisual broadcasting rights of the Spanish football league and the UEFA Champions League, and the related direct costs, and certain revenue and expenses for winning the League for the 2019/2020 season.

The 2020/21 sports season ended within FY 2020/21, as usual, so no revenue or expenses were transferred to FY 2021/2022.

Meanwhile, on January 30, 2021, Royal Decree 1/2021, of January 12, was published amending the Spanish General Accounting Plan approved by Royal Decree 1514/2007, of November 16. The changes to the Spanish General Accounting Plan are applicable for annual periods beginning on or after January 1, 2021, and focus on the standards for the recognition, measurement and disclosure of revenue and financial instruments, as explained below:

- **Financial instruments**

The amendments did not affect the accompanying consolidated financial statements since they only entailed changes to the names of balance sheet line items that the Group does not have.

- **Non-current assets - Non-current accruals**

“Non-current assets - Non-current accruals” includes a specific line item for the amount of non-current accrued income previously recorded under “Non-current financial assets”. This provides greater clarity and standardization in the presentation of all types of accruals under current and non-current assets and liabilities.

- **Revenue recognition**

Given the nature of the Group’s operations, the new revenue recognition standards did not have any impact on the consolidated financial statements.

2.4 CRITICAL ISSUES REGARDING THE MEASUREMENT AND ESTIMATION OF UNCERTAINTIES

The Club's Board of Directors prepared the consolidated financial statements using estimates based on historical experience and other factors considered reasonable under the circumstances. The carrying amounts of assets and liabilities, which were not readily apparent from other sources, were established on the basis of these estimates. Although the Group reviews these estimates on an ongoing basis, there is a series of risks and uncertainties that depend on the future outcome of certain assumptions and considerations described herein that could result in the need to revise the carrying amounts of assets and liabilities in future periods or other disclosures contained in these notes.

Key assumptions concerning the future and other key sources of estimation uncertainty of estimates at the reporting date, that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below.

- **Impairment of non-current assets and non-current assets held for sale recognized as current assets**

The measurement of non-current assets requires estimates to determine their recoverable amount (Notes 3.6) for assessing whether there is any impairment. To determine recoverable amount, where it is not possible to use a market value, the Group's directors estimate, as at the date of authorization for issue of the consolidated financial statements and whenever feasible, the present value of the estimated and probable future cash flows to be generated by the assets discounted using an appropriate discount rate. The Group also makes estimates to determine fair value less costs to sell for assets classified as non-current assets held for sale (Note 3.5). These estimates are based primarily on offers received by the Club for the assets and on the analysis of comparable transactions in the market.

- **Deferred tax assets**

Deferred tax assets are recognized for the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that the Group and subsidiaries will have future taxable profit available against which they can be utilized and, accordingly, the assets recovered. To determine the amount of deferred tax assets that can be recognized, the Group and its subsidiaries estimate the amounts and dates on which future taxable profits will be obtained, and the period of reversal of taxable temporary differences.

- **Provisions**

The Group makes judgments and estimates regarding the probability of occurrence of risks that could require the recognition of a provision and, where appropriate, the related amounts. A provision is recognized only when the risk is considered probable, in which case the cost that would be arising from the obligating event is estimated. On other occasions, the cost is determined after the reporting date and prior to the authorization for issue of the consolidated financial statements, once additional information and documentation has been obtained that confirms the assessment or estimate of the risk materializing at the close.

- **Calculation of fair value, value in use and present value**

Calculating fair value, value in use and present value entails, in certain cases, calculating future cash flows and making assumptions on the future amounts of the cash flows, as well as the applicable discount rates. The estimates and related assumptions are based on historical experience and various other factors considered reasonable under the circumstances.

- **Operating lease commitments — The Group as lessor**

The Group has entered into leases to carry out its business. Based on an evaluation of the terms and conditions of the arrangements, it has determined that the lessor retains all the risks and rewards of ownership of the assets. Therefore, it accounts for these arrangements as operating leases. Operating lease payments are recognized as expenses in the income statement on a straight-line basis over the lease term.

2.5 DISTRIBUTION OF PROFIT

Until FY 2014/15, the Club allocated all profit for the year to increase the balance of "Entity´s fund".

In the wake of changes to tax legislation effective from FY 2015/16, specifically in compliance with article 25 of the Corporate Income Tax Law 27/2014, the Club set aside a reserve, called the "Capitalization reserve," earmarking 10% of the increase in equity of the previous year, up to a limit of 10% of taxable profit for the year (see Note 16.3).

2.6 BALANCE SHEET REVALUATION

In FY 1996/1997, the Club availed of the balance sheet revaluation provided for in RD Law 7/1996, of June 7, increasing the net value of its property, plant, and equipment by €8,548 thousand. The impact on the depreciation charge for the year ended June 30, 2022 was €160 thousand (2021: €160 thousand).

Similarly, in FY 2013/2014, the Club decided to avail of the revaluation provided for in Law 16/2012, of December 27, resulting in a net increase in its property, plant and equipment of €21,344 thousand. At the Extraordinary General Assembly held on September 22, 2013, the revaluations were approved, along with the ad hoc balance sheet issued by the Board of Directors. The ad hoc balance sheet and the breakdown of the revaluations of the various items of property, plant, and equipment were provided in the 2013/14 consolidated financial statements.

The impact on the depreciation charge for the year ended June 30, 2022 was €520 thousand (2021: €521 thousand).

3. RECOGNITION AND MEASUREMENT STANDARDS

The main recognition and measurement standards applied by the Group in the preparation of the accompanying consolidated financial statements for the year ended June 30, 2022, are as follows:

3.1 SPORTS INTANGIBLE ASSETS

Sports intangible assets includes mainly player transfer rights ("transfers") and the costs incurred to acquire such rights. These rights are measured at acquisition cost and amortized from the moment they are acquired on a straight-line basis over the term of each player's contract. These intangible assets are initially recognized on the date the related acquisition agreement becomes effective.

Following initial recognition, these assets are carried at cost less accumulated amortization and any accumulated impairment.

The cost of the intermediation services in player acquisitions or renewals is recognized as an increase in the acquisition cost and amortized on a straight line basis over the life of the player's contract.

At the end of each reporting period, these intangible assets are assessed for indications of impairment. If there is objective and clear evidence that the Group's sports intangible assets are impaired before the date of authorization for issue of the consolidated financial statements, the related impairment loss is recognized.

Player purchase options not exercised at the end of the reporting period are measured at acquisition cost, given the difficulties inherent in estimating the options' fair value, as there are no active market or comparable transactions for these assets.

In general, players are derecognized at the date of disposal, transfer, cancellation of the contract, or expiry of the contractual rights over the players. Even though contact may have been initiated with other clubs, agents, or the players themselves, for the purpose of negotiating their departure from the Club, and given the difficulties and uncertainties that arise before signing agreements, in general, the related gain or cost is not recognized until either the sale or transfer contract has been signed, or until the player's contract expires, since up to that moment there is no real transfer of rights and risks incidental to ownership of the contractual rights over the Club's players. However, if at the end of the period the Club considers that certain players meet the requirements for the related sports intangible assets to be classified as non-current assets held for sale (Note 3.5), the player is reclassified to this item and measured in accordance with the policy explained in the related note.

3.2 OTHER NON-SPORTS INTANGIBLE ASSETS

Other intangible assets are initially recognized at acquisition cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, these intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

This type of intangible asset is recognized if, and only if, it is probable that it will generate future benefits for the Group, its cost can be measured reliably and it is identifiable.

Intangible assets are amortized on a systematic basis in accordance with their estimated useful life and residual value. Amortization methods and periods are reviewed at the end of each reporting period, and adjusted prospectively where applicable. Intangible assets are tested for impairment at least at each financial period end. If any such indication exists, the company estimates the recoverable amount and recognizes the related impairment.

- **Concessions**

This item includes expenditure made to obtain the concession for certain of the Club's activities. These arrangements are amortized on a straight-line basis over the concession term of seven years. The Club's concession assets are fully amortized.

This line item also includes the grant of an operator's license for free-to-air broadcasting via TDT through an HD TV channel. The license was granted to the Club by the Ministry for Industry via Ministerial Order of November 19, 2015, following a public tender held in accordance with the tender terms approved by the Council of Ministers on April 17, 2015. The amount recognized is the present value of the fees payable for use of the concession over its 15-year term, which is also its amortization period.

- **Patents, licenses, trademarks, and similar rights**

This items reflects the amounts paid to register the Club's trademark. This asset is amortized on a straight-line basis over a period of 10 years.

- **Computer software and IT platforms**

These assets are amortized on a straight-line basis over periods ranging from three to four years. Software maintenance costs are recognized as an expense when incurred.

- **Other non-sports intangible assets**

  This item includes:

  a) **Merchandising rights**

  Merchandising rights includes the value of rights repurchased by the Club on June 26, 1998, for €80,070 thousand, for merchandising, rights to use the sporting facilities, and adjacent bars and restaurants, audiovisual broadcasting rights to matches in European competitions, and static and dynamic in-game advertising and sponsorship of the football and basketball teams. These rights were amortized on a straight-line basis over periods ranging from four to 21 years, which ended the previous year, and were fully amortized as at June 30, 2022 and 2021.

  These rights also include other management and exploitation rights repurchased by the Club in FY 2002/03 over several boxes located in the Santiago Bernabéu Stadium from Palcos Blancos, S.L. for €9,423 thousand. These rights were fully amortized as at June 30, 2022 and 2021.

  Finally, this item includes the merchandising, image, website and distribution rights repurchased by the Club from the former owners of the discontinued Real Madrid Gestión de Derechos, S.L. subsidiary for €29,610 thousand. These rights were fully amortized as at June 30, 2022 and 2021.

  b) **Exploitation rights to stadium boxes acquired in business combinations**

  This item includes the rights acquired in FY 2002/03 arising from the business combination carried out by the Club that year with Inversiones Incas 2000, S.L. and Real Madrid Eventos Deportivos, S.L. These two companies operated a number of boxes in the Santiago Bernabéu Stadium that were acquired by the Club that year for €955 thousand and €4,029 thousand, respectively. These rights were fully amortized as at June 30, 2022 and 2021.

3.3 PROPERTY, PLANT AND EQUIPMENT

Property, plant, and equipment are measured initially at cost, determined as the purchase price or production cost, including all costs and expenses related directly to the assets acquired until they are in operating condition. Cost also includes the revaluations made in accordance with legislation (Note 2.5).

After initial recognition, property, plant and equipment are carried at cost less accumulated depreciation and accumulated impairment losses, if any.

Borrowing costs arising from external financing to construct property, plant and equipment accrued until assets that required more than one year to be brought into working condition are ready to enter service are included in the purchase price or production cost of the asset.

Expenses for repairs that do not extend the useful life of the assets, as well as maintenance expenses, are taken to the income statement in the year incurred. Costs incurred to enlarge or improve items of property, plant and equipment which increase capacity or productivity or extend the useful life of the asset are capitalized as an increase in the value of the asset.

When available for use, property, plant and equipment are depreciated on a straight-line basis over their estimated useful life.

The years of estimated useful life of property, plant and equipment are as follows:

	YEARS OF USEFUL LIFE
Sports stadiums and pavilions	50
Other installations, equipment and furniture	10 - 25
Other property, plant and equipment	5 - 10

The Group reviews the assets' residual value, useful lives and depreciation methods at the end of each reporting year or period and adjusts them prospectively where applicable.

Items of property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from them. The gain or loss on derecognition of an item of property, plant or equipment (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in the consolidated income statement for the year or period when the asset is derecognized.

3.4 INVESTMENT PROPERTIES

Investment property include assets held to earn rentals or for capital appreciation, as well as assets that are not used in operations and do not form part of the Group's ordinary course of business. The Santiago Bernabéu Stadium facilities leased to third parties are classified as investment properties.

The criteria set out for measuring and depreciating property, plant, and equipment are applied to investment properties.

3.5 NON-CURRENT ASSETS HELD FOR SALE

The Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met:

- the asset is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets;

- an active program to locate a buyer has been initiated; and

- the sale is highly probable within a year from the date of classification as a non-current asset held for sale.

Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell. These assets are not depreciated and, where necessary, the corresponding impairment is recognized so that the carrying amount does not exceed the fair value less costs to sell.

When an asset no longer meets the conditions for classification as held for sale, it is reclassified according to its nature and measured at the lower of the carrying amount before it was classified as held for sale, adjusted for any depreciation, amortization or impairment that would have been recognized had the asset not been classified as held for sale, and the recoverable amount at the reclassification date. Any difference is recognized in the income statement according to its nature.

These measurement provisions do not apply to deferred tax assets, assets arising from employee benefits and financial assets not related to equity investments in group companies, jointly controlled companies and associates included in the category of assets non-current assets held for sale, which are covered by specific standards.

Any related liabilities that may be canceled when the asset is sold are classified under "Liabilities associated with non-current assets held for sale".

3.6 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses, at least at the end of each financial year or period, whether there is an indication that a non-current asset or, where applicable, a cash-generating unit, may be impaired. If any such indication exists, the Club estimates the asset's recoverable amount and recognizes an impairment.

Impairment and any reversals thereof are recognized in the income statement. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist. Impairment is only reversed up to the limit of the carrying amount of the asset that would have been determined had the impairment loss not been recognized.

To determine whether there are indications of impairment, the Group carries out the following analysis:

a) **Sports intangible assets / Sports property, plant and equipment**

For sports intangible assets, the Group considers that, due to the complexity of negotiations to determine market value upon acquisition of the sports intangible asset, the lack of an active and transparent market, the difficulties identifying comparable transactions and the significant changes in market value that can occur from one day to the next as a function of player performance and/or injuries, the differing economic circumstances of the selling and buying clubs, and the stance of players/agents, among others, in general it is not possible to determine the fair value of each of these assets objectively and reasonably until their sale. Nevertheless, the Club performs a detailed (individual and collective) analysis of the value of players' potential based on certain sports and financial parameters to identify whether there are any indications that a sports intangible asset may be impaired. If any clear indication or object evidence of impairment exists, the Club's management estimates the asset's recoverable amount based on the best information available at the date of authorization for issue of the consolidated financial statements and recognizes an impairment loss.

Sports property, plant, and equipment (e.g. sports stadiums and pavilions) present the same challenges to determine the market value, as there is no active and transparent market in which comparable transactions can be identified. To assess whether these assets may be impaired, the Club analyzes whether the future cash flows are sufficient to cover the carrying amounts of the assets to the extent necessary to cover the related depreciation charges and other operating expenses.

b) **Other intangible assets, other property, plant and equipment and investment property**

The recoverable amount is the higher of fair value less costs to sell and value in use. The asset is considered impaired when its carrying amount exceeds its recoverable amount. The value in use is the present value of the expected future cash flows, discounted using a market risk-free rate and adjusted for any risks specific to the asset. For those assets that do not generate cash inflows that are largely independent of those from other assets or groups of assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

In addition, the Group recognizes impairment on assets classified as non-current assets held for sale (Notes 2.3, 3.1 and 3.5).

3.7 LEASES

Arrangements are classified as finance leases when the economic conditions of the lease indicate that substantially all the risks and rewards incidental to ownership of the asset are transferred. All other lease arrangements are classified as operating leases.

- **Group as lessee**

  Operating lease payments are recognized as expenses in the income statement when accrued.

- **Group as lessor**

  Rental income from operating leases is recognized in the income statement when accrued.

3.8 FINANCIAL ASSETS

a) Classification, recognition and initial measurement

The Group classifies all its financial assets, at initial recognition, into one of the categories listed below, which determines how the asset will be measured initially and subsequently:

- Financial assets at fair value through profit or loss
- Financial assets at amortized cost
- Financial assets at fair value through equity
- Financial assets at cost

Given the Group's activity, it only has financial assets at amortized cost and financial assets at cost.

- **Financial assets at amortized cost**

The Group classified a financial asset into this category, even if it is admitted to trading on an exchange, when the financial assets within a business model whose objective is to collect contractual cash flows.

In general, this category includes receivables from trade transactions and receivables from non-trade transactions.

Financial assets classified in this category are measured initially at fair value. In the absence of evidence to the contrary, this is presumed to be the transaction price, which is equivalent to the fair value of the consideration given plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade receivables falling due within one year for which there is no contractual interest rate and loans to personnel, dividends receivable and receivables on called-up equity instruments expected to be collected in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is not material.

Security deposits provided on operating leases are measured at the amount given, which does not differ significantly from fair value.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as finance income using the effective interest rate method.

Receivables falling due within one year, as explained previously, are measured both initially and subsequently at their nominal amount unless they are credit-impaired.

In general, when the contractual cash flows of a financial asset at amortized cost are modified as a result of financial difficulties of the issuer, the Group tests the asset for impairment.

These amounts are classified as current (less than a year) or non-current (more than a year) depending on the period of settlement.

- **Financial assets at cost**

The Group includes, in any event, the following assets in this category:

- Equity investments in group companies, jointly controlled entities and associates (in the separate financial statements).

- Other equity investments whose fair value cannot be determined by reference to a quoted price in an active market for an identical instrument or cannot be estimated reliably, and derivatives in which the underlyings are these investments.

- Contributions made under unincorporated joint venture or similar agreements.

- Any other financial asset classified initially in the portfolio of financial assets at fair value through profit or loss when it is not possible to obtain a reliable estimate of fair value.

The investments included in this category are initially measured at cost, which is equivalent to the fair value of the consideration delivered plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

The investment is also subsequently measured at cost, less any accumulated impairment.

Contributions made under unincorporated joint venture agreements are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the Company as non-managing venturer, less impairment losses, if any.

b) Derecognition

Financial assets are derecognized when the contractual rights to the cash flows from the financial asset expire or have been transferred, provided that substantially all the risks and rewards of ownership have been transferred.

If the Group has neither transferred nor retained substantially all the risks and rewards, it derecognizes the financial asset when it has not retained control over that asset. If the Group retains control over the asset, it continues to recognize the asset at the amount of the exposure to variability in the value of the transferred asset; that is, to the extent of its continuing involvement in the financial asset. The associated liability is also recognized.

The gain or loss on derecognition of the financial asset is determined as the difference between the consideration received net of attributable transaction costs, including any new asset obtained less any liability assumed, and the carrying amount of the financial asset, plus any accumulated amount recognized directly in equity. The gain or loss is recognized in profit or loss for the reporting period in which it arises.

c) Impairment of financial assets

The Group adjusts the carrying amount of financial assets with a charge to profit or loss when there is objective evidence that the asset is impaired.

- **Financial assets at amortized cost**

At least at the end of each reporting period, the Group assesses whether there is objective evidence that a financial asset, or group of financial assets with similar risk characteristics assessed on a collective basis, is impaired as a result of one or more events that occurred after initial recognition that result in a reduction or delay in the estimated future cash flows due to debtor insolvency.

Where such evidence exists, the impairment loss is calculated as the difference between the carrying amount of the asset and the present value of the future cash flows, including any cash flows from enforcement of collateral and personal guarantees, expected to be generated by the asset discounted at the effective interest rate calculated at initial recognition. For floating-rate financial assets, the effective interest rate at the reporting date, in accordance with the contractual terms, is used. The Group uses formula-based approaches or statistical methods to determine impairment losses in a group of financial assets.

Impairment losses and reversals thereof where the amount of the impairment loss decreases due to an event occurring after recognition are recognized as an expense or income, respectively, in profit or loss. The reversal is limited to the carrying amount of the asset that would have been recognized at the reversal date had no impairment loss been recognized.

• **Financial assets at cost**
In this case, the impairment loss is measured as the difference between the carrying amount and the recoverable amount. The recoverable amount is the higher of the fair value less costs to sell and the present value of future cash flows from the investment, estimated as either those from dividends expected to be received from the investee and the disposal or derecognition of the investment, or from the share in the cash flows expected to be generated by the investee in the ordinary course of business and from disposal or derecognition. When estimating impairment of these types of assets, the investee's equity is taken into consideration, corrected for any unrealized gains existing at the measurement date, net of the related tax effect, unless better evidence of the recoverable amount of the investment in equity instruments is available.

Impairment losses are recognized as an expense in profit or loss by directly reducing the carrying amount of the equity instrument. Where applicable, reversals of impairment are recognized as income in profit or loss. The loss can only be reversed up to the limit of the carrying amount of the investment that would have been disclosed at the reversal date had the impairment loss not been recognized.

• **Interest and dividends from financial assets**
Interest and dividends accrued on financial assets after acquisition are recognized in profit or loss. Interest is accounted for using the effective interest rate method, while dividends are recognized when the right to receive payment is established.

If distributed dividends are clearly derived from profits generated prior to the acquisition date because amounts have been distributed which are higher than the profits generated by the investee since acquisition, the difference is accounted for as a reduction in the carrying amount of the investment and not recognized as income. Judgment about whether gains have been generated by the investee is made based exclusively on profits recognized in the separate financial statements from the acquisition date, unless the dividend charged to those profits clearly represents a recovery of the investment for the entity receiving the dividend.

3.9 FINANCIAL LIABILITIES

a) Classification, recognition and initial measurement

The Group classifies all its financial liabilities, at initial recognition, into one of the categories listed below, which determines how the liability will be measured initially and subsequently:

- Financial liabilities at amortized cost
- Financial liabilities at fair value through profit or loss

The Group only has financial liabilities at amortized cost.

• **Financial liabilities at amortized cost**
This category includes financial liabilities arising on the purchase of goods and services in the course of the Group's trade operations, and non-trade payables that are not derivatives.

Financial liabilities included in this category are initially measured at fair value. In the absence of evidence to the contrary, this is the transaction price, which is equivalent to the fair value of the consideration, adjusted for directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade payables falling due within one year for which there is no contractual interest rate and called-up equity holdings expected to be settled in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is immaterial.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as a finance cost using the effective interest rate method.

Nonetheless, payables falling due within one year measured at the nominal amount, in accordance with the preceding section, continue to be measured at that amount.

Contributions received under unincorporated joint venture agreements or similar are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the non-managing venturers.

b) Derecognition

The Group recognizes a previously recognized financial liability when the obligation is extinguished because the debtor has paid the creditor to discharge the liability (with cash or other goods or services) or the debtor is legally released from any responsibility for the liability.

Derecognition of a financial liability is accounted for as follows: the difference between the carrying amount of a financial liability (or part of that liability) extinguished and the consideration paid, including attributable transaction costs and any non-cash asset transferred or liability assumed, is recognized in profit or loss for the reporting period in which it arises.

3.10 FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is determined without any deduction for transaction costs that may be incurred on sale or other disposal. The amount an entity would receive or pay in a forced transaction, involuntary liquidation or distress sale is not considered fair value.

Fair value is estimated for a specific date and given that market conditions can vary over time, that value might not be valid for another date. In addition, in estimating fair value the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date.

As a general rule, fair value is calculated by reference to a reliable market input. The fair value of financial assets and liabilities for which there is an active market is determined using valuation models and techniques. Those models and valuation techniques include referencing recent arm's length transactions between knowledgeable, willing parties, if available, and the fair value of substantially identical assets, discounted cash flow methodology and the models widely used to value options.

In all instances the valuation techniques used must be consistent with the methodologies widely accepted by and used in the market to set prices, using to the extent possible the methodology that has proven the most reliable estimator of prices. The calculations rely on observable market data and other factors market participants would take into account when pricing the asset, minimizing the use of subjective judgments or unobservable or unverifiable data.

The Group assesses the effectiveness of the valuation techniques it uses regularly using observable prices in recent transactions in the same asset class as is being measured and prices based on data or indices that are observable in the market that are available and applicable.

3.11 INVENTORIES

Inventories are measured at purchase price. The purchase price comprises the amount invoiced by the seller, after deducting any discounts, rebates or other similar items, plus any additional costs incurred to bring the goods to a saleable condition.

As the Group's inventories do not require a period of more than one year to be in a saleable condition, purchase price or production cost does not include borrowing costs.

The Group uses the weighted average cost method to allocate value to inventories.

When the net realizable value of inventories is lower than cost, the Club recognizes an impairment loss with an expense in the income statement.

3.12 CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash, current accounts, short-term deposits and purchases of assets under resale agreements which meet the following criteria:

- They are convertible to cash,
- They have a maturity of three months or less from the date of acquisition,
- There is no significant risk of changes in value, and
- They form part of the Group's usual cash management strategy.

For the purposes of the statement of cash flows, cash may also include occasional overdrafts when these form an integral part of the Club's cash management.

3.13 GOVERNMENT GRANTS

Monetary grants are measured at the fair value of the consideration awarded.

Grants are classified as non-refundable when the conditions attaching to them are met, at which time they are recognized directly in equity, net of the related tax effect.

Repayable grants are recognized as liabilities until they meet the criteria for classification as non-repayable. Until then, no income is recorded.

Grants awarded to finance specific expenses are recognized as income in the reporting period in which the financed expenses are incurred. Grants awarded to acquire assets or settle liabilities are recognized as income for the reporting period in proportion with the amortization or depreciation charges for those assets.

3.14 PROVISIONS

The Group recognizes provisions when it has a present obligation (legal, contractual, constructive or tacit) arising from past events that is known before the end of the financial year or reporting period, it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

In other situations where no present obligation exists yet or there is clear uncertainty with respect to the outcome of an event (e.g. claims, appeals), the Group and its legal or tax advisors assess the prospects of a future event that could result in a gain or loss for the Group. If the future occurrence of a particular event is highly probably, the resulting contingent asset or liability is estimated.

Provisions are measured at the present value of the best estimate of the amount required to settle the obligation or transfer it to a third party. Adjustments arising from the discounting of the provision are recognized as a finance expense when accrued. Provisions expiring within one year are not discounted where the financial effect is not material. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate of the obligation at the date of authorization for issue of the consolidated financial statements.

3.15 LIABILITIES ARISING FROM LONG-TERM EMPLOYEE BENEFITS

Neither the Group employees to which its collective labor agreement is applicable nor management are entitled to any supplementary pension benefits.

3.16 INCOME TAX

Income tax expense (tax income) for the year is calculated as the sum of current tax expense (current tax income) resulting from applying the corresponding tax rate to taxable profit (tax loss) for the year, less deductions and other tax relief, taking into account changes during the year in recognized deferred tax assets and liabilities. The tax expense (tax income) is recognized in the income statement, except when it relates to transactions recognized directly in equity, in which case the related tax is likewise recognized in equity.

Deferred taxes are recognized for temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts. The tax base of an asset or liability is the amount attributed to it for tax purposes.

The tax effect of temporary differences is included in "Deferred tax assets" or "Deferred tax liabilities" on the balance sheet, as applicable.

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities using the tax rates prevailing at the reporting date, including any other adjustments for taxes from prior years.

The Group recognizes deferred tax liabilities for all temporary differences, except where disallowed under prevailing tax legislation.

The Group recognizes deferred tax assets for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred assets are recognized to the extent that it is probable that taxable profit will be available against which the deferred tax assets can be utilized, except where disallowed by prevailing tax legislation.

At the end of each reporting period, the Group reassesses recognized and previously unrecognized deferred tax assets. Based on this analysis, the Group then derecognizes previously recorded deferred tax assets when recovery is no longer probable, or recognizes a previously unrecorded deferred tax asset to the extent that it is probable that future taxable profit will enable its application.

Deferred tax assets and liabilities are measured using the tax rates expected to prevail upon their reversal, based on tax legislation approved, and in accordance with the manner in which the assets are reasonably expected to be recovered and liabilities settled.

Deferred tax assets and deferred tax liabilities are not discounted and are classified as non-current assets or non-current liabilities.

3.17 CURRENT VERSUS NON-CURRENT CLASSIFICATION

Assets and liabilities are presented in the balance sheet based on current/non-current classification. Accordingly, assets and liabilities are classified as current when they are associated with the Group's normal operating cycle and it is expected that they will be sold, consumed, realized or settled within that cycle; they are expected to mature, or to be sold or realized within one year; they are held for trading; or are cash and cash equivalents whose use is not restricted for a period of over one year.

3.18 REVENUE AND EXPENSES

a) Recognition and measurement

In accordance with the accruals principle, revenue and expenses are recognized when the goods or services represented by them take place, regardless of when actual payment or collection occurs. Amounts received in a period related to income of the subsequent period are recognized under liabilities in the balance sheet as current or non-current accruals, as appropriate. Amounts paid in a period related to expenses of the subsequent period are recognized under assets in the balance sheet as current or non-current accruals, as appropriate.

The Group recognizes revenue following a five-step process:

- Identify the contract(s) with the customer, understood as an agreement between two or more parties that creates enforceable rights and obligations.

- Identify the performance obligation or obligations in the contract, i.e. the promise to transfer goods or provide services to the customer.

- Determine the transaction price, or the amount of consideration to which it expects to be entitled from the

contract in exchange for transferring promised goods or services to a customer.

- Allocate the transaction price to the performance obligations on a relative stand-alone selling price basis of each distinct good or service promised in the contract or, where applicable, based on an estimate of the stand-alone selling price when it is not directly observable.

- Recognize revenue when (or as) the Group satisfies a performance obligation by transferring a promised good or service. A good or service is considered to be transferred when the customer obtains control, so the amount of revenue recognized is the amount allocated to the performance obligation satisfied.

- **Recognition**

The Group recognizes revenue from a contract when it transfers to the customer control of the promised goods or services (i.e. the performance obligation or obligations).

For each performance obligation identified, the Group determines at contract inception whether it satisfies the performance obligation over time or at a point in time.

Revenue from performance obligations satisfied over time is recognized in general on a straight-line basis over that period of time provided that the stage of completion or progress towards complete satisfaction of the contractual obligations cannot be measured.

For contractual obligations satisfied at a point in time, the contract revenue is recognized on satisfaction at that date.

Revenue is recognized when it is probable that the profit or economic benefits associated with the transaction will flow to the Group and the amount of revenue and costs incurred or to be incurred can be measured reliably.

The recognition criteria for the main revenue by type are explained in Note 15.2.

- **Measurement**

Revenue from the sale of goods and the rendering of services is measured at the monetary amount or, where applicable, the fair value of the consideration received or receivable. The consideration is the agreed price for the assets transferred to the customer less the amount of any trade discount, rebates or similar items granted by the Group.

b) Contract balances

- **Contract assets**

Unconditional right to consideration
When the Group has an unconditional right to consideration, irrespective of whether control of the assets has been transferred, it recognizes the right in the corresponding line items of trade receivables under current or non-current assets as appropriate in accordance with its maturity and bearing in mind the normal operating cycle. However, trade receivables that, while still within the normal operating cycle, fall due in over one year (long-term) are classified as “Trade and other receivables” under current assets.

Entitlement to consideration for the transfer of control
When the Group transfers control of a contract asset without having an unconditional right to receive revenue, the Group recognizes a right to consideration for the transfer of control. That right to consideration for the transfer of control is derecognized when the Group has an unconditional right to that consideration. Contract assets are assessed for impairment the end of each reporting period in the same manner as receivables.

Contract assets are likewise presented within “Trade and other receivables”.

Costs incurred to obtain a contract
Costs incurred to obtain a contract are included under current or non-current accruals, as appropriate.

- **Contract liabilities**

Contractual obligations
If a customer pays consideration or has a right to an amount of consideration that is unconditional before the Group transfers a good or service to the customer, the Group recognizes a contract liability when the payment is made or is due.

These contract liabilities are presented within “Trade payables - Other payables - Advances from customers”, or current or non-current accruals on their maturity.

3.19 FOREIGN CURRENCY TRANSACTIONS

The Group's functional and presentation currency is the euro.

Foreign currency transactions are translated into euros at the spot exchange rate prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currency are translated at the spot rate prevailing at the reporting date.

Exchange gains or losses arising on this process and on settlement of these assets and liabilities are recognized in the income statement for the financial year or reporting period in which they occur.

3.20 JOINT OPERATIONS

In FY 2017/18, the Club signed an unincorporated joint venture agreement related to management of its sponsorship revenue (Note 17.1.5), as regulated by articles 239 to 243 of the Spanish Commercial Code. The Club, acting as "managing venturer" recognizes any operating profit or loss related to management of its sponsorship income, calculated in accordance with the annual contribution of the "non-managing venturer."

3.21 ENVIRONMENTAL ASSETS AND LIABILITIES

Expenses relating to decontamination and restoration work in contaminated areas, as well as the elimination of waste and other expenses incurred to comply with environmental protection legislation, are recognized in the year in which they are incurred, unless they correspond to purchases of assets incorporated in equity to be used over an extended period. In this case, they are recognized in the corresponding line of "Property, plant and equipment" and depreciated using the same criteria as described in Note 3.3 above.

At June 30, 2022, the Group had not incurred any such environmental expenditure or recognized any property, plant or equipment of this kind in the balance sheet.

3.22 RELATED PARTY TRANSACTIONS

Related party transactions are measured using the same criteria described above.

The Group considers members of the Club's Board of Directors, key managers, and the Real Madrid Foundation as related parties.

4. SPORTS INTANGIBLE ASSETS AND NON-CURRENT ASSETS HELD FOR SALE

The breakdown and movement in sports intangible assets are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Football						
Cost	990,106	115,531	(68,057)	(180,004)	-	857,576
Accumulated amortization	(561,071)	(163,655)	63,516	96,765	-	(564,445)
Impairment	-	(60,874)	-	60,874	-	-
Net carrying amount football	**429,035**	**(108,998)**	**(4,541)**	**(22,365)**	**-**	**293,131**
Basketball						
Cost	8,910	105	(3,751)	-	-	5,264
Accumulated amortization	(8,761)	(107)	3,739	-	-	(5,129)
Impairment	-	-	-	-	-	-
Net carrying amount basketball	**149**	**(2)**	**(12)**	**-**	**-**	**135**
TOTAL NET CARRYING AMOUNT	**429,184**	**(109,000)**	**(4,553)**	**(22,365)**	**-**	**293,266**

Transfers to/from current = Transfers to/from non-current assets held for sale.

FY 2020/21 (RMCF)

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Football						
Cost	953,813	44,647	(32,291)	23,937	-	990,106
Accumulated amortization	(419,600)	(158,173)	16,702	-	-	(561,071)
Impairment	-	-	-	-	-	-
Net carrying amount football	**534,213**	**(113,526)**	**(15,589)**	**23,937**	**-**	**429,035**
Basketball						
Cost	9,568	10	(668)	-	-	8,910
Accumulated amortization	(8,975)	(290)	504	-	-	(8,761)
Impairment	-	-	-	-	-	-
Net carrying amount basketball	**593**	**(280)**	**(164)**	**-**	**-**	**149**
TOTAL NET CARRYING AMOUNT	**534,806**	**(113,806)**	**(15,753)**	**23,937**	**-**	**429,184**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

4.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Additions of sports intangible assets relate to investments in new players for the professional football and basketball teams and include the amount of transfers and other acquisition costs incurred in the related transactions.

The acquisition cost recorded in the period for intermediation or agency services, including the tax expense assumed for taxation on payments, amounted to €44,356 thousand (2021: €13,968 thousand).

Transfers relate to the reclassifications explained in Note 4.2 Non-current assets held for sale.

As explained in Note 3.6, the Group recognizes impairment when there are clear indications and evidence of impairment of its sports intangible assets up to the date of authorization of the financial statements. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist.

In this respect, the Group, where required and based on the best information available at the date of authorization for issue of the financial statements, recognized an impairment loss with a write down to realizable value for a total of €60,874 thousand (2021: €16,476 thousand reversal) (Note17.5).

4.2 NON-CURRENT ASSETS HELD FOR SALE

As explained in Note 3.5, the Club classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met: the asset is available for immediate sale, an active program to locate a buyer has been initiated, and the sale is highly probable within a year. Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell.

At the end of the reporting period the Club reclassified certain sports intangible assets that met these requirements to non-current assets held for sale. The net amount reclassified was €22,365 thousand, which related to the assets' fair value.

4.3 OTHER INFORMATION

Through June 30, 2022, the Group obtained revenue of approximately €66,937 thousand (2021: €121,302 thousand) on disposals from the transfer of rights over several players to other clubs. The net gain from all disposals after deducting the carrying amount was €62,383 thousand (2021: €105,549 thousand) (Note 17.5).

Fully amortized player acquisition rights at June 30, 2022 amounted to €116,371 thousand (2021: €41,254 thousand).

Firm investment commitments as at June 30, 2022, amounted to approximately €123,000 thousand. There were no firm player transfer commitments as at June 30, 2022.

There were also no player purchase options at June 30, 2022.

The average duration of the contracts of players signed to the Professional Football League (LFP for its initials in Spanish) is five years.

The Group's policy is to arrange the insurance policies necessary to cover any risk to which members of its professional football and basketball squads may be exposed.

5. OTHER NON-SPORTS INTANGIBLE ASSETS

The breakdown and movement in this item are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	2,934	-	-	-	2,934
Patents, licenses, trademarks, and similar rights	1,112	78	-	-	1,190
Computer software	12,873	-	-	154	13,027
Other intangible assets	125,047	-	-	-	125,047
Advances	764	4,471	-	(154)	5,081
Total cost	**142,730**	**4,549**	**-**	**-**	**147,279**
Accumulated amortization:					
Concessions	(2,483)	(47)	-	-	(2,530)
Patents, licenses, trademarks, and similar rights	(589)	(115)	-	-	(704)
Computer software	(11,391)	(716)	-	-	(12,107)
Other intangible assets	(125,045)	-	-	-	(125,045)
Total accumulated amortization	**(139,508)**	**(878)**	**-**	**-**	**(140,386)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
NET CARRYING AMOUNT	**3,177**	**3,671**	**-**	**-**	**6,848**

FY 2020/21 (RMCF)

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	DECREASES	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	3,159	-	(225)	-	2,934
Patents, licenses, trademarks, and similar rights	1,861	59	(808)	-	1,112
Computer software	16,083	53	(4,304)	1,041	12,873
Other intangible assets	125,047	-	-	-	125,047
Advances	1,305	500	-	(1,041)	764
Total cost	**147,455**	**612**	**(5,337)**	**-**	**142,730**
Accumulated amortization:					
Concessions	(2,418)	(65)	-	-	(2,483)
Patents, licenses, trademarks, and similar rights	(1,288)	(108)	807	-	(589)
Computer software	(15,210)	(485)	4,304	-	(11,391)
Other intangible assets	(125,045)	-	-	-	(125,045)
Total accumulated amortization	**(143,961)**	**(658)**	**5,111**	**-**	**(139,508)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
NET CARRYING AMOUNT	**3,449**	**(46)**	**(226)**	**-**	**3,177**

Note 3.2 “Other non-sports intangible assets” describes the most significant operating rights held by the Club as at June 30, 2022.

5.1 OTHER INFORMATION

The following table presents a summary of the cost of fully-amortized non-sports intangible assets:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Concessions	2,103	2,103
Patents, licenses, trademarks, and similar rights	158	-
Computer software	11,071	10,630
Other intangible assets	125,047	125,047
	138,379	**137,780**

6. PROPERTY, PLANT AND EQUIPMENT

The breakdown and movement in this item are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	324,394	-	(180)	304	324,518
Other land and buildings	68,113	68	-	1,169	69,350
Technical installations and other items	117,237	1,760	(24)	1,407	120,380
Property, plant and equipment under construction and advances	281,064	260,177	-	(2,880)	538,361
Total cost	**790,808**	**262,005**	**(204)**	**-**	**1,052,609**
Accumulated depreciation:					
Sports stadiums and pavilions	(115,056)	(6,883)	162	-	(121,777)
Other buildings	(12,183)	(1,910)	-	-	(14,093)
Technical installations and other items	(87,437)	(6,260)	22	-	(93,675)
Total accumulated depreciation	**(214,676)**	**(15,053)**	**184**	**-**	**(229,545)**
Impairment					
Buildings and other property, plant, and equipment	**(727)**	**-**	**60**	**-**	**(667)**
NET CARRYING AMOUNT	**575,405**	**246,952**	**40**	**-**	**822,397**

FY 2020/21 (RMCF)

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	324,264	-	(229)	359	324,394
Other land and buildings	64,699	175	-	3,239	68,113
Technical installations and other items	118,229	572	(2,533)	969	117,237
Property, plant and equipment under construction and advances	119,657	165,982	(8)	(4,567)	281,064
Total cost	**626,849**	**166,729**	**(2,770)**	**-**	**790,808**
Accumulated depreciation:					
Sports stadiums and pavilions	(108,230)	(6,896)	70	-	(115,056)
Other buildings	(10,420)	(1,763)	-	-	(12,183)
Technical installations and other items	(83,295)	(6,677)	2,535	-	(87,437)
Total accumulated depreciation	**(201,945)**	**(15,336)**	**2,605**	**-**	**(214,676)**
Impairment					
Buildings and other property, plant, and equipment	**(727)**	**-**	**-**	**-**	**(727)**
NET CARRYING AMOUNT	**424,177**	**151,393**	**(165)**	**-**	**575,405**

6.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Aside from minor investments in the Sports City, additions in the year related entirely to work on the Santiago Bernabéu Stadium remodeling project.

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months.

The remodeling work is being carried out without affecting the matches scheduled or the stadium's normal activities, barring the interruption of certain activities caused by the COVID-19 pandemic since March 2019 that led to matches until June 30, 2021 to be held at the Alfredo Di Stefano Stadium in the Sport City without spectators. In the 2021/22 season, after spectators were allowed back in, the matches were again held at the Santiago Bernabéu Stadium.

The new stadium will present an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field, protecting all seats.

The shopping center will be torn down and two new towers built on paseo de la Castellana to make the stadium safer and to make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform will remove architectural barriers and make room for nearly 1,000 new seats for people with various abilities.

Work will also be carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The current museum near the La Castellana will be much bigger and a new interactive museum will be created and equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It will be a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology will be pioneering and an essential feature of this major reform, with a spectacular video scoreboard that will be one of the most emblematic features of the new Santiago Bernabéu Stadium. It will be a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

In addition, a large underground greenhouse is under construction that was not included in the original project due to its complexity, which was technologically resolved subsequently. This greenhouse will allow for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized. Considering the technical characteristics of executing this project, it is expected to be completed around mid-2023.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed at extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via a new 27-year loan facility for up to €225 million, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024.

As a result, the loan taken out to finance the stadium's remodeling totals €800 million, with maturity in July 2049 and carrying an average fixed interest rate of 2.23%. As at June 30, 2022, the loan had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Club's management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service), so it can carry out its normal activity with no impact from payment of the works.

With the additional works not included originally in the project, the Club will continue to execute works next year that are expected to be completed over the course of 2023.

6.2 URBAN DEVELOPMENT UNITS

The Club acquired urban development units to existing plots in the Valdebebas area. These units were registered with the respective property registers (as an annotation in the original property inscription).

These development units have, for all intents and purposes, the same consideration as the land contributed, since the units are ultimately what generate the right to obtain a plot adjudication once the Reparcelling Project is prepared. In fact, both the purchase deeds and the registry inscriptions establish that these units will be applied to the resulting plot earmarked for private sports usage in the amount of 16,401.6 development units and approximately 1,200,000 m^2 of land under the Reparcelling Project.

Real Madrid Club de Fútbol presented these development rights to the "Parque de Valdebebas" Compensation Board, and on November 25, 2009, definite approval was received from the Madrid City Council through administrative channels for the Reparcelling Project, by virtue of which Real Madrid won the replacement plot. Real Madrid Club de Fútbol was duly registered as the owner of said plot in Madrid Property Registries 11 and 33.

Following the definitive approval of the Reparcelling Project, the Madrid taxation authorities issued payment notices to the former owners for capital gains tax arising from the increase in the value of the related urban land. These payment notices were appealed, since both the former owners and the Club

disagree, given that the Club assumed the obligation to pay or put up surety for this tax in the purchase deeds. Prior to the appeals process, the Club provided the required guarantees for the amounts claimed, which total €10 million. The majority of the rulings in the appeals process have been in favor of the Club. It will be able to release the bulk of the amount guaranteed once the rulings are final and the guarantee is released.

6.3 OPERATING LEASES

- **Group as lessee**

At June 30, 2022 and 2021, the Club had entered into operating leases on certain items of property, plant, and equipment, primarily buildings, technical installations and computer hardware. The lease terms range from one to five years, depending on the leased asset. In most cases, the leases are updated in accordance with the annual CPI. The Club is in no way encumbered by virtue of these leases.

Payments in the year ended June 30, 2022 on these leases amounted to €2,559 thousand (Note 17.4).

Future minimal rentals payable under operating leases are as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Within one year	2,071	2,090
After one year but not more than five years	1,521	2,295
More than five years	-	-
	3,592	**4,385**

6.4 OTHER INFORMATION

At June 30, 2022, fully depreciated items of property, plant, and equipment, mainly technical installations, amounted to €68,253 thousand (2021: €58,093 thousand).

As explained in Note 3.3, borrowing costs in FY 2021/2022 amounting to €14,749 thousand were capitalized (Note 17.6) (2021: €8,704), related to the interest accrued in the period on the tranches drawn down of the loan to fund the remodeling project (Note 6.1).

At June 30, 2022, the Club had purchase commitments with suppliers for a small portion of the total estimated costs of the Santiago Bernabéu Stadium remodeling project (Note 6.1).

The Club's policy is to arrange the insurance policies necessary to cover the risks to which its property, plant and equipment are exposed.

In previous years, the Club received a grant related to assets amounting to €9,607 thousand to finance the acquisition of property, plant and equipment. The breakdown of these assets is as follows:

FY 2021/22

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	NET CARRYING AMOUNT
Buildings	9,607	(4,481)	5,126

FY 2020/21 (RMCF)

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	NET CARRYING AMOUNT
Buildings	9,607	(4,290)	5,317

At June 30, 2022, this grant was recognized in equity for an amount of €3,844 thousand (Note 12) (2021: €3,988 thousand) and in deferred tax liabilities for €1,282 thousand (2021: €1,330 thousand) (Note 16.2).

7. INVESTMENT PROPERTIES

The breakdown and movement in this item are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	-	-	-	15
Total cost	**14,062**	**-**	**-**	**-**	**14,062**
Accumulated depreciation					
Buildings	(115)	(8)	-	-	(123)
Installations	(45)	(1)	-	-	(46)
Total accumulated depreciation	**(160)**	**(9)**	**-**	**-**	**(169)**
Impairment					
Buildings	-	-	-	-	-
Land	(2,740)	-	-	-	(2,740)
Construction in progress	-	-	-	-	-
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
NET CARRYING AMOUNT	**11,162**	**(9)**	**-**	**-**	**11,153**

FY 2020/21 (RMCF)

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS AND ALLOWANCES	DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	-	-	-	15
Total cost	**14,062**	**-**	**-**	**-**	**14,062**
Accumulated depreciation					
Buildings	(107)	(8)	-	-	(115)
Installations	(44)	(1)	-	-	(45)
Total accumulated depreciation	**(151)**	**(9)**	**-**	**-**	**(160)**
Impairment					
Buildings	-	-	-	-	-
Land	(2,740)	-	-	-	(2,740)
Construction in progress	-	-	-	-	-
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
NET CARRYING AMOUNT	**11,171**	**(9)**	**-**	**-**	**11,162**

"Land" includes mainly the plots related to the agreement signed with the Madrid City Council, and correspond to the sale of plots 1, zones 1 and 3, 4 and 5 zone 2 of the API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the TER. 02. 189-A1 tertiary plot of the 4.01 UPN "Ciudad Aeroportuaria parque de Valdebebas" obtained through the segregation of the TER. 02 189-A plot.

"Buildings" includes mainly capital expenditure by the Club to equip a number of premises for hospitality and catering usage, operated by third parties which pay Real Madrid a royalty. The direct royalty revenue generated by this activity in the year ended June 30, 2022 amounted to €158 thousand (2021: €158 thousand).

Impairment was recognized on the real estate assets, based on market value for land and expectations regarding use for buildings.

Future minimal rentals receivable under operating leases are as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Within one year	298	158
After one year but not more than five years	2,310	2,631
More than five years	1,487	1,315
	4,095	**4,104**

8. FINANCIAL ASSETS

The breakdown of financial assets, excluding investments in group companies, jointly controlled entities and associates, is as follows:

FY 2021/22

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	78,866	78,866
Financial assets at cost	2,773	-	2,773
	2,773	**78,866**	**81,639**
Current financial assets			
Financial assets at amortized cost	-	152,397	152,397
	-	**152,397**	**152,397**
TOTAL FINANCIAL ASSETS	**2,773**	**231,263**	**234,036**

Does not include public administrations.

FY 2020/21 (RMCF)

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	58,230	58,230
Financial assets at cost	2,345	-	2,345
	2,345	**58,230**	**60,575**
Current financial assets			
Financial assets at amortized cost	-	157,342	157,342
	-	**157,342**	**157,342**
TOTAL FINANCIAL ASSETS	**2,345**	**215,572**	**217,917**

Does not include public administrations.

8.1 NON-CURRENT FINANCIAL ASSETS

The breakdown and movement in this item are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,345	428	-	-	2,773
Non-current receivables from sports entities for player transfers	55,889	22,760	-	(23,110)	55,539
Non-current trade receivables	-	19,250	-	-	19,250
Other non-current receivables	1,999	3,722	-	(2,125)	3,596
Other financial assets	342	139	-	-	481
Total non-current financial assets	**60,575**	**46,299**	**-**	**(25,235)**	**81,639**

FY 2020/21 (RMCF)

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	345	2,000	-	-	2,345
Non-current receivables from sports entities for player transfers	46,438	60,184	-	(50,733)	55,889
Other non-current receivables	1,000	1,999		(1,000)	1,999
Other financial assets	322	20	-	-	342
Total non-current financial assets	**48,105**	**64,203**	**-**	**(51,733)**	**60,575**

- "Equity instruments" includes the Club's ownership interests in several unlisted entities that organize competitions in which the Club's professional teams participate and over which the Club exercises neither control nor significant influence. The Club has measured these investments at cost rather than at fair value, as it does not have sufficient information to determine their fair value reliably.

  The most significant amount relates to European Superleague Company, S.L., in which Real Madrid Club de fútbol has an interest together with other European clubs to promote new competitions.

- "Non-current receivables from sports entities for player transfers" includes the amounts receivable from a number of sports entities primarily relating to the sale of rights over professional players. These amount do not accrue explicit interest. The detail by maturity is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Year 2	24,902	34,724
Year 3	20,774	9,356
Year 4 and beyond	9,863	11,809
	55,539	**55,889**

The aforementioned amounts are recognized using the amortized cost method, which includes the financial effect of discounting. Accrued finance income in the year ended June 30, 2021 amounted to €466 thousand (2021: €568 thousand) (Note 17.6).

Additions during the year corresponded mainly to the sale of player transfer rights. Transfers to current liabilities include balances on loans which fall due within one year from the date of the accompanying balance sheet.

- "Non-current trade receivables" includes outstanding amounts receivable on trade transactions with long-term maturities.

- "Other non-current receivables" includes primarily amounts receivable on player transfers from non-sports entities.

8.2 TRADE AND OTHER RECEIVABLES

The breakdown of "Trade and other receivables" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Trade receivables		
Stadium revenues	784	364
Broadcasting rights	657	4,905
Marketing revenues	47,733	42,886
	49,174	48,155
Receivables from sports entities		
Player transfers	35,256	83,160
Other	15,047	14,054
	50,303	97,214
Other financial assets		
Other receivables	37,614	1,650
Personnel	15,306	10,323
	52,920	11,973
Total current financial assets	**152,397**	**157,342**
Current tax assets and other (Note 16)	-	2,085
Madrid City Council for the EU Las Tablas proceedings (Note 13.2)	23,526	23,526
Total receivables from public administrations	**23,526**	**25,611**
TOTAL TRADE AND OTHER RECEIVABLES	**175,923**	**182,953**

- **Trade receivables**

The balance of "Trade receivables" is presented net of impairment. The movement in impairment losses is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Initial impairment	16,218	16,828
Charge for the year (Note 17.4)	3,503	2,244
Utilized (Note 17.4)	(7)	(182)
Unused amounts reversed (Note 17.4)	(79)	(2,665)
Transfer in the year	7	(7)
Final impairment	**19,642**	**16,218**

The breakdown of foreign currency balances included in this item at June 30, 2022 is as follows:

IMPORTES EN MILES	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	5,031	4,843
Pound sterling	126	147
Australian dollars	24	16
Total		**5,006**

The breakdown of foreign currency balances included in this item at June 30, 2021 is as follows:

IMPORTES EN MILES	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	2,876	2,420
Australian dollars	24	15
Total		**2,435**

- **Current receivables from sports entities**

The balance of "Current receivables from sports entities" is presented net of impairment. The movement in impairment losses is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Initial impairment	178	179
Charge for the year (Note 17.4)	3	-
Utilized	-	-
Unused amounts reversed (Note 17.4)	(28)	(29)
Transfer in the year	28	28
Final impairment	**181**	**178**

"Other receivables from sports entities" as at June 30, 2022 includes a balance with the Professional Football League of €7,657 thousand confirmed with the latter (2021: €6,108 thousand).

There were no significant foreign currency balances as at June 30, 2022 and 2021.

9. INVENTORIES

The value of inventories in the balance sheet as at June 30, 2022 was €7,746 thousand (2021: €5,725 thousand) and included a write-down of €292 thousand (2021: €292 thousand).

10. CURRENT FINANCIAL ASSETS, CASH AND CASH EQUIVALENTS

The breakdown of these items is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Demand current accounts	773,316	266,474
Cash and cash equivalents	**773,316**	**266,474**

The cash balance as at June 30, 2022, was composed of:

• €348 million of cash related to the stadium remodeling project; i.e. €203 million more than the year before after the entire amount of the loan facility was drawn down following the drawdowns of the third (€200 million) and fourth (€225 million) tranches during the year. The undrawn balance of the loan to finance the Santiago Bernabéu Stadium remodeling project can only be used to make payments related to the project (see Note 6.1).

• €425 million related to the Group's cash excluding the remodeling project; i.e. €303 million more than the year before, with the increase due almost entirely to the receipt of the bulk of the revenue accrued from the Sixth Street agreement (Note 17.1.6).

11. EQUITY – CAPITAL AND RESERVES

The breakdown and movement in "Capital and reserves" are shown in the statement of changes in equity.

• **Entity´s fund**

"Reserves" consists mainly of the initial endowment and subsequent contributions arising from the distribution of profits. In addition, the impact of the transition to the new General Accounting Plan in Spain were recognized under this item which, as required therein, must be recorded in unrestricted reserve accounts.

• **Revaluation reserve RD 7/96**

The revaluation reserve allocated by the Club in FY 1996/1997 may be used to offset tax losses or to increase the "Reserves" account or unrestricted reserves, once the revalued assets have been fully depreciated or derecognized from inventories.

• **Revaluation reserve law 16/2012**

In FY 2013/2014 the Club availed itself of the balance sheet revaluation provided in Law 16/2012 of December 27 (Note 2.5). Amounts arising from the accounting revaluations were recognized under "Revaluation Reserve Law 16/2012 of December 27". Since the period for verifying the revaluation by the Taxation Authorities has expired, the balance of this account may be used to offset losses and increase share capital, or after 10 years have transpired from the date of the balance sheet in which the revaluations were made, allocated to unrestricted reserves. This balance may only be distributed, indirectly or directly, when the revalued assets have either been fully depreciated, disposed of or derecognized.

• **Capitalization reserve**

In accordance with article 25 of Corporate Income Tax (CIT) Law 27/2014, of November 27, the Club includes in the calculation of income tax a reduction in taxable profit for the year of 10% of the increase in equity of the prior year, up to 10% of taxable profit for the year.

In FY 2017/2018, the Club allocated the "Capitalization reserve" in compliance with the requirements of the CIT to be eligible for this reduction. This reserve is restricted for a period of five years.

12. EQUITY - GRANTS, DONATIONS, AND BEQUESTS RECEIVED

The movements in non-refundable capital grants included the consolidated statement of changes in equity are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-refundable grants	3,988	-	-	(192)	48	3,844
Total non-refundable grants	**3,988**	**-**	**-**	**(192)**	**48**	**3,844**

FY 2020/21 (RMCF)

€ THOUSAND	OPENING BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-refundable grants	4,132	-	-	(192)	48	3,988
Total non-refundable grants	**4,132**	**-**	**-**	**(192)**	**48**	**3,988**

The grants awarded are mainly grants related to assets from by sports bodies, primarily the Professional Football League, in conjunction with certain capital expenditure made by the Club during the 1996/97 season (Note 6.4).

The Club's Board believes it fulfilled all the conditions attaching to the grants for consideration as non-refundable.

13. PROVISIONS AND CONTINGENCIES

13.1 NON-CURRENT PROVISIONS

The breakdown and the movement in this item are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	31,243	48,947	(6,632)	(1,482)	(6,062)	66,014
Total non-current provisions	**31,243**	**48,947**	**(6,632)**	**(1,482)**	**(6,062)**	**66,014**

FY 2020/21 (RMCF)

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	24,682	11,703	(2,057)	(3,096)	11	31,243
Total non-current provisions	**24,682**	**11,703**	**(2,057)**	**(3,096)**	**11**	**31,243**

During the year, based on available estimates, the Group recognized provisions for liabilities and charges of €48,947 thousand to cover certain risks (2021: €11,703 thousand).

It also utilized €6,632 thousand of provisions for the designated purpose in 2022 (2021: €2,057 thousand).

During the year, the Group reversed €1,482 thousand of unused provisions (2021: €3,096) since the circumstances that gave rise to them no longer existed.

13.2 CURRENT PROVISIONS

The breakdown and the movement in this item are as follows:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	970	71,478	(7,449)	(76)	6,062	70,985
Total current provisions	**970**	**71,478**	**(7,449)**	**(76)**	**6,062**	**70,985**

FY 2020/21 (RMCF)

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	2,333	193	(1,543)	(2)	(11)	970
Total current provisions	**2,333**	**193**	**(1,543)**	**(2)**	**(11)**	**970**

The Group recognized provisions for liabilities and charges amounting to €71,478 thousand (2021: €11,703 thousand) to cover certain risks that could materialize in the short term related primarily to those described in Note 13.4 and to costs related to players classified as non-current assets available for sale.

It also utilized €7,449 thousand of provisions for the designated purpose in 2022 (2021: €1,543 thousand).

13.3 GUARANTEES AND DEPOSITS GIVEN

The Club has granted guarantees and deposits to third parties for different purposes.

The breakdown of these guarantees by maturity is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Indefinite	41,244	30,686
2022/2023	238	700
2023/2024	700	-
Total guarantees and deposits given	**42,182**	**31,386**

The bulk of the amount drawn down on guarantees with indefinite maturity relate to guarantees issued to ensure fulfillment of the obligations related to urban work and waste treatment during the stadium remodeling project, to claims arising from settlement of tax on the increase in the value of urban land in Valdebebas (Note 6.2), and to guarantees provided to comply with the commitments of the grant of a license to broadcast an HD channel through TDT. No liabilities are expected to arise from these guarantees.

The increase in the year was due to a guarantee provided to cover the tax risk arising on a contractual commitment to acquire a player.

Income from season tickets is currently pledged in favor of Banco de Santander in guarantee of a credit facility maturing on July 27, 2023 (Notes 14.1 and 14.2).

13.4 COMMITMENTS, CONTINGENT ASSETS, AND LIABILITIES

For some of the following agreements, information is provided regarding different issues without any indication of financial amounts, as this is confidential commercial information and its disclosure could be damaging for the Club.

1. As at June 30, 2022, variable collection rights from different clubs and image/sponsorship contracts were recognized amounting to €23,750 thousand (2021: €9,600 thousand), while liabilities related to these variable rights amounting to €35,750 thousand were recognized (2021: €19,100 thousand).

In addition, there are potential liabilities arising from agreements with sports entities that would be triggered if certain sports objectives are achieved in future seasons. In the unlikely event that all the objectives were to be met, the maximum amount to be recognized over the term of all the agreements up until their expiration would amount to €59,000 thousand (2021: €85,500 thousand). If payment were made, these amounts would be correlated to increased revenue from sports competitions, especially the Champions League.

There are also potential assets related to agreements with sports entities and sponsorship agreements that are contingent upon fulfillment of established sports objectives in future seasons. In the unlikely event that all the objectives

were met, the maximum amount to be received over the term of all the agreements up until their expiration would amount to €94,650 thousand (2021: €55,850 thousand).

2. On July 29, 2011, an agreement was signed and ratified by public deed on December 21, 2011 with the Madrid City Council legalizing the earlier agreements entered into between the two parties on May 29, 1998 and December 20, 2001.

This agreement included compensation from the Madrid City Council due to the legal impossibility of transferring the entire "Las Tablas" plot as stipulated in the agreement signed on May 29, 1998, as well as Real Madrid's compensation for breach of the main obligation of the underground parking lot on the Paseo de la Castellana's lateral section established in the Agreement dated December 20, 2001.

The Madrid City Council paid the compensation by transferring a plot of land located between Rafael Salgado, Paseo de la Castellana, and Concha Espina on API 05.12 "Santiago Bernabéu", recognized in property, plant and equipment (Note 6) and Plots 1, zone 1 and 3, 4 and 5 Zone 2 of API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the tertiary plot TER. 02 189-A1 of UNP 4.01 "Ciudad Aeroportuaria parque de Valdebebas" obtained by segregating plot TER.02 189-A. The "Mercedes Arteaga, Jacinto Verdaguer" plots and the Valdebebas tertiary plot are recognized under investment properties (Note 7).

All the property, plant, and equipment included in the scope of the agreement were appraised by the Technical Services Department of the Sub-Directorate General of Urban Adaptation under the General Directorate for Town Planning Management of the Government, Development and Housing Area.

At the end of each reporting period, the Club engages an independent expert to appraise its real estate assets, recognizing an impairment loss to reduce the carrying amount of the assets to market value where appropriate. The impairment loss in the year ended June 30, 2022, amounted to €2,740 thousand (Note 7), unchanged from the year before since the appraisal of the market value of the land was broadly unchanged.

On March 21, 2012, Madrid Federal Court of Appeals 14 upheld the request for an injunction filed regarding the agreement between the Club and the Madrid City Council on July 21, 2011, entailing suspension of enforcement of the agreement.

Both the Club and the City Council appealed the injunction, and on July 12, 2012, the Administrative Appeals section of the Madrid Supreme Court handed down a sentence revoking the injunction issued by the Judge from the Madrid Court of Administrative Appeals 14, considering that there were no grounds for the injunction.

Regarding the main legal proceeding, on April 25, 2012, a claim was filed before the Court against the agreement signed on July 29, 2011, seeking its annulment and restitution of the assets to their situation prior to the signing of the agreement, along with the related cancellation of any files on register, and requiring a new appraisal of the obligations arising from the agreements signed in 1991 and 1998. The Administrative Appeals court handed down a ruling on October 10, 2013, notified on October 15, 2013, rejecting the appeal and upholding the sentence, which was ruled as final through an organization procedure dated November 20, 2013.

For its part, the European Commission notified Spain of its decision to initiate proceedings regarding alleged State aid arising from the appraisal of a plot of land located in Las Tablas (Madrid), which the Madrid City Council was forced to turn over to Real Madrid, in compliance with a land-swap agreement signed by the parties in 1998. Due to the legal impossibility of handing the plot over, it was appraised by the City Council at its value for tax purposes, and replaced by other land of equivalent value.

On July 4, 2016, the European Commission issued a decision concluding that the Club obtained an advantage of €18.4 million from the over-evaluation of a plot of land. The Club, considering that this did not constitute State aid since the Club received, via the delivery of other land, an amount equivalent to that which it was entitled to receive, appealed this decision before the General Court of the European Union, seeking the annulment of the decision.

Irrespective of the appeal, on October 28, 2016, the Club paid the City Council the required €18.4 million plus €1.9 million of late payment interest (for a total of €20.33 million).

On May 22, 2019, the General Court of the European Union issued its judgment, annulling the contested decision of the European Commission of July 4, 2016, which concluded that the Madrid Town Council granted State aid to Real Madrid of €18.4 million. The European Commission had two months

from notification of the ruling (i.e. to July 23, 2019) to bring an appeal before the European Court of Justice. It did not file an appeal, so the ruling became final during FY 2019/20. As a result, Real Madrid claimed reimbursement of undue revenue with the Madrid City Council. It requested reimbursement of the €20.33 million paid on October 28, 2016, plus late payment interest as of that date up to the date of the reimbursement. Accordingly, the Club recognized in the income statement the income from the reimbursement and accrued late payment interest to June 30, 2021, totaling €23,145 thousand. It recognized the related receivable from the City Council under trade and other receivables in the balance sheet since the reimbursement has yet to be made.

During FY 2021/2022, the Club learned that the Commission, using a real estate expert, appraised the plots of land given to the Club by the City Council as compensation for the appraisal of the land of Las Tablas according to the 2011 agreement. The result of this new appraisal was similar to the one used in the agreement. After the Commission reopened the procedure for State aid, this appraisal was performed as provided for in the 2019 ruling of the EU General Court, which rendered the Commission's state aid decision null on the grounds that it had failed to appraise those plots when it made its decision. Following this assessment, the Commission will likely defend the legality of the decision annulled and issue a new decision on State aid for a similar amount to the one issued in 2016.

As a result of this situation, although the Club and its expert advisors disagree strongly with the appraisals of both the Las Tablas land and the plots and will therefore continue to file the appropriate appeals, the Club recognized a provision in FY 2021/22 amounting to €23,145 thousand (Note 8.2) to cover the potential risk of the receivable from the City Council not being paid, at least in the near future.

3. On July 4, 2016, the European Commission issued a decision in which it considered that by being taxed at a lower rate, the clubs benefited by an estimated €0 to €5 million per club, the precise amount of which the Spanish authorities needed to determine on a case-by-case basis. The Club considers that the application of this legislation did not constitute state aid, since the tax benefits come in addition to other prejudices; an analysis of the years contemplated by the European Commission regarding the Club's tax returns showed that the Club would have suffered economic damage amounting to €7 million had it been taxed as a limited liability company (sociedad anónima). This favorable economic assessment for the Club was also included in the European Commission's decision of July 4, 2016. In addition, the previous year the Club was subject to a tax audit regarding the EU case by the Spanish taxation authorities. This procedure was resolved without requiring any material adjustment to the economic loss estimated by the Club. In light of this situation, in FY 2016/17, the Club commenced a procedure to claim reimbursement of the amount of economic loss caused by the discriminatory treatment of the legislation, plus late payment interest. It subsequently filed an appeal with the Supreme Court.

On February 12, 2019, the Supreme Court issued its judgment, rejecting the appeal and considering unjustified the claim for reimbursement on the grounds that the liability suit was brought before there was any effective loss since the Commission's decision was not final as other clubs had contested it and since the procedure for recovering the State aid granted had just begun when the financial liability claim was lodged.

On February 26, 2019, the General Court of the European Union issued a judgment annulling the Commission's decision of July 4, 2016 classifying the tax regime of four Spanish professional football clubs as State aid. The Commission appealed this ruling before the Court of Justice, which on March 4, 2021 overturned the General Court's ruling.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State aid, rejecting the request for reimbursement presented by the Club. It considered that the reimbursement arises directly from the Commission decisions annulled by the General Court, so the request should be denied. In addition, the recovery of the aid is not warranted since it would imply the return of the €7 million higher amount taxed relative to the general regime claimed by the Club and recognition of tax assets for an equal amount, which would go against the purpose pursued in the proceedings of State aid.

In FY 2018/19, the Club brought an appeal before the TEAC to this judgment. Also, after the Commission's decision was considered final through a ruling by the Court of Justice of the European Union of March 4, 2021, the Club, on March 4, 2022, refiled its claim for reimbursement against the State, requesting compensation of €6,631 thousand (equivalent to the excess taxation borne by the Club from FY 1999/00 to FY 2014/15, compared to the tax it would have borne had it been taxed under the general regime) plus related interest.

4. On April 30, 2015, Royal Decree Law 5/2015 governing the joint operation of TV rights was approved. This Royal Decree became effective in the 2016/17 season, marking the first year that clubs no longer had individual rights.

Real Madrid filed an appeal against this agreement with the LFP in its Assembly held during FY 2015/16 regarding the distribution of the year's TV broadcast rights, as it considered that since the Royal Decree had not yet entered into force during the season, the distribution of the capital gains generated by the overall management of the individual contracts made by the LFP was not yet applicable. It considered that, in accordance with the LFP bylaws for the distribution of the remaining joint LFP income (e.g. sponsorships, advertising, football pool revenue), the distribution should be made by attributing 60% of income to the 20 first division clubs (an even 3% each), and 40% for the 22 second division clubs (an even 1.82% each). Failing this, Real Madrid proposed an even distribution between the 42 LFP clubs.

On May 31, 2021, Central Court 2 of the National Court of Administrative Appeals issued a ruling rejecting the Club's appeal, which the Club appealed before the National Court of Administrative Appeals. Should the appeal be accepted, for its rights related to FY 2015/16, the Club would collect an amount in addition to that already collected under the terms of its individual contract.

5. In October of 2014, the Club signed an agreement with International Petroleum Investment Company (IPIC) as its new sponsor for the 2014/15, 2015/16 and 2016/17 seasons. In December 2014, the sponsorship agreement was partially assigned by IPIC to CEPSA. This assignment was still effective at June 30, 2017. The agreement with IPIC included the possibility of extending the sponsorship agreement for another two seasons, which occurred de facto in the 2017/18 season according to Club criteria. Therefore, last season the related invoices were issued, which are currently under dispute.

The agreement stated the possibility of IPIC having Stadium naming rights in upcoming seasons, in which case the amounts receivable and the term of the agreement would increase significantly.

The effectiveness of the naming right was contingent on acceptance by IPIC to comply with certain legal requirements regarding town planning. Although Real Madrid notified IPIC of compliance prior to June 30, 2017, this compliance is still being discussed between the parties. Therefore, in 2018, as provided for in the agreement, the Club applied for arbitration by the International Court of Arbitration of the International Chamber of Commerce.

The Club flied its suit in February 2019 and the proceedings went according to schedule. Therefore, after all the preliminary steps were taken, the two International Court of Arbitration hearings were held during the year (the first in January 2022 and the second in June 2022). Now the ruling is pending and is likely to be handed down over the course of FY 2022/23.

14. FINANCIAL LIABILITIES

The breakdown of "Financial liabilities" is as follows:

FY 2021/22

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
NON-CURRENT FINANCIAL LIABILITIES			
Financial liabilities at amortized cost	114,789	833,726	948,515
	114,789	833,726	948,515
CURRENT FINANCIAL LIABILITIES			
Financial liabilities at amortized cost			
Current loans and borrowings	38,356	104,898	143,254
Trade and other payables (*)	-	295,913	295,913
	38,356	**400,811**	**439,167**
TOTAL FINANCIAL LIABILITIES	**153,145**	**1,234,537**	**1,387,682**

(*) Does not include public administrations.

FY 2020/21 (RMCF)

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
NON-CURRENT FINANCIAL LIABILITIES			
Financial liabilities at amortized cost	152,676	385,088	537,764
	152,676	385,088	537,764
CURRENT FINANCIAL LIABILITIES			
Financial liabilities at amortized cost			
Current loans and borrowings	2,299	121,024	123,323
Trade and other payables (*)	-	173,568	173,568
	2,299	**294,592**	**296,891**
TOTAL FINANCIAL LIABILITIES	**154,975**	**679,680**	**834,655**

(*) Does not include public administrations.

14.1 NON-CURRENT LOANS AND BORROWINGS

The breakdown of "Non-current loans and borrowings" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Bank borrowings	**114,789**	**152,676**
Other financial liabilities		
Suppliers of fixed assets	21,834	10,088
Sports entities for player transfers	11,609	-
Other financial liabilities	800,283	375,000
	833,726	**385,088**
TOTAL NON-CURRENT LOANS AND BORROWINGS	**948,515**	**537,764**

- **Bank borrowings**

In April 2020, the Club took out four bank loans with four different banks for a total amount of €155,000 thousand. The loans are backed by Spain's official credit institute, Instituto de Crédito Oficial (ICO), as part of the facilities provided by the government to mitigate the impact of COVID-19. These loans originally matured at 5 years, with a 1-year grace period for payment of principal. Subsequently, both the grace period and the maturity were extended by one year in accordance with RDL 34/2020 of November 17.

The nominal amount of outstanding principal as at June 30, 2022, on the four loans stood at €152,976 thousand, with long-term maturities of €114,789 thousand (2021: €155,000 thousand and €152,676 thousand, respectively).

Turning to credit facilities, in May 2020, as part of the ICO-backed facility, the Club took out a credit facility for €50,000 thousand with an original maturity of three years.

With this ICO-backed facility and the other facilities still in force, the Group had several credit facilities as at June 30, 2022, for an overall amount of €354,000 thousand, all undrawn, of which €254,000 thousand are long term (2021: €361,000 thousand).

Virtually all ICO transactions are at fixed rates, while the rest are floating-rate borrowings indexed to the Euribor rate plus a market spread.

The repayment schedule for the nominal amounts of long- and short-term loans is as follows:

JUNE 30, 2022

€ THOUSAND	2022/2023	2023/2024	2024/2025	2025/2026	2026/2027	TOTAL
Bank borrowings	38,051	38,533	39,022	37,370	-	152,976

JUNE 30, 2021 (RMCF)

€ THOUSAND	2021/2022	2022/2023	2023/2024	2024/2025	2025/2026	TOTAL
Bank borrowings	-	40,075	38,533	39,022	37,370	155,000

- **Other financial liabilities**

The breakdown of this item by year of maturity is as follows:

JUNE 30, 2022

€ THOUSAND	2023/2024	2024/2025	2025/2026	2026/2027	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	20,076	816	565	71	306	21,834
Sports entities for player transfers	11,609	-	-	-	-	11,609
Other financial liabilities	15,690	22,896	23,381	23,876	714,440	800,283
Total	**47,375**	**23,712**	**23,946**	**23,947**	**714,746**	**833,726**

JUNE 30, 2021 (RMCF)

€ THOUSAND	2022/2023	2023/2024	2024/2025	2025/2026	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	3,220	6,367	59	65	377	10,088
Sports entities for player transfers	-	-	-	-	-	-
Other financial liabilities	-	10,131	10,368	10,609	343,892	375,000
Total	**3,220**	**16,498**	**10,427**	**10,674**	**344,269**	**385,088**

The balance of "Other financial liabilities" as at June 30, 2022, includes the full drawdown of the €800,000 thousand loan facility to fund the stadium remodeling project and the unmatured long-term interest (see Note 6.1).

The balances of suppliers of fixed assets and sports entities for player transfers include mainly amounts owed on player acquisitions. These payables do not bear explicit interest.

These amounts were measured at amortized cost, which includes the financial effect of discounting. Accrued finance expenses in the year ended June 30, 2022 amounted to €264 thousand (2021: €513 thousand).

There were no non-current loans and borrowings denominated in foreign currency as at June 30, 2022 and 2021.

14.2 CURRENT LOANS AND BORROWINGS

The breakdown of "Current loans and borrowings" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Bank borrowings	**38,356**	**2,299**
Other financial liabilities		
Suppliers of fixed assets	93,102	57,087
Sports entities for player transfers	11,796	63,937
	104,898	**121,024**
TOTAL CURRENT LOANS AND BORROWINGS	**143,254**	**123,323**

- **Bank borrowings**

As explained in Note 14.1 above, the Club has four loans, of which outstanding principal payable in the short term amounts to €38,356 thousand.

Of the credit facilities described in Note 14.1, amounting to €354,000 thousand, €100,000 thousand corresponds to two facilities maturing in the short term. At June 30, 2022 and 2021, there were no current loans and borrowings since no amounts had been drawn down.

- **Other financial liabilities**

The breakdown of foreign currency balances is as follows:

JUNE 30, 2022

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	358	344
Pound sterling	182	213
Saudi riyals	-	-
Swiss francs	-	-
Total		**557**

JUNE 30, 2021 (RMCF)

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	26	22
Pound sterling	10	11
Saudi riyals	635	143
Swiss francs	1	1
Total		**177**

14.3 TRADE AND OTHER PAYABLES

The breakdown of "Trade and other payables" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Trade payables	76,283	37,645
Sports entities for services rendered	3,876	750
Sports personnel	206,095	130,256
Non-sports personnel	9,659	4,916
Total financial liabilities	**295,913**	**173,567**
Other payables to public administrations (Note 16)	17,135	23,486
Current tax liabilities	18,594	-
Total payables to public administrations	**35,729**	**23,486**
TOTAL TRADE AND OTHER PAYABLES	**331,642**	**197,053**

The amount of "Sports personnel" relates primarily to remuneration payable to players and coaches of the first football team in accordance with their contracts, the terms of which stipulate that these payments are made generally in July and December. Also included are performance bonuses for sports achievements which, under the terms of the contracts, are paid the following season. On June 30 each year, the second installment is due, with payment, as agreed, in July of the following season.

The breakdown of "Sports personnel" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
First football team players and coaching staff	203,118	129,932
Other football team players and coaching staff	20	119
Basketball players and coaching staff	2,957	205
Total payables to sports personnel	**206,095**	**130,256**

14.4 WORKING CAPITAL

Working capital is the difference between current assets and current liabilities on the balance sheet.

Working capital as at June 30, 2022 was a positive €354.8 million. Of this amount, €275.4 million was working capital related to the stadium remodeling project and €79.4 million to the Club's working capital excluding the remodeling project.

Working capital is normally negative, at both year-end (June 30, 2020: €-112 million, June 30, 2019: €-60 million) and the end of the first half up to December 31, 2020 (December 31, 2019: €-185 million). However, the balance has been positive in reporting periods ending on or after December 31, 2020 (€+77 million at June 30, 2021, €+108 million at December 31, 2021, €+70 million at December 31, 2020) due mainly to a non-recurring circumstance: the financing of the Santiago Bernabéu Stadium remodeling. There is also the impact of the receipt of most of the income accrued under the Sixth Street agreement (Note 17.1.6).

Negative work capital is normally the result of the Group's investments in property, plant and equipment, intangible assets, and sports intangible assets each year, part of which gives rise to current payables. However, since last year the stadium reform and the related financing reversed the situation. During the current period, the third and fourth tranches were drawn down, taking the total amount drawn maturing in the long term to €800 million (Note 14.1). Of this, €348 million was held in cash at the end of the reporting period (see Note 10). This balance of cash earmarked for the stadium remodeling will be used throughout the next year as payments are made to complete work execution.

The cash arising from the Sixth Street agreement can be allocated by the Club to any of its operations. Therefore, taking current forecasts, the Club's cash balance excluding the remodeling project looks set to remain high in the coming periods.

Excluding the positive impacts explained in two preceding paragraphs, working capital would still be negative as usual due to the Club's inherently negative working capital. The principal factor driving negative working capital is, in line with the intrinsic workings of the Club, the large operations-driven accounts payable (purchases and services, player signings, upfront collection of membership fees/season tickets), which are recurring; i.e. renewed annually.

Current recurring payables at June 30, 2022 amounted to €412 thousand (purchases and services: €115 million; signings/other personnel: €216 million; and accruals of €81 million), up from €255 million at June 30, 2021 (purchases and services: €63 million; signings/other personnel: €135 million; and accruals of €57 million). These recurring balances contribute the most negative effect on working capital at the end of each reporting period.

These balances will be rolled over, and therefore will reflect similar amounts at each year-end. Accruals are amounts collected before the end of the previous period, which generate an accrued liability that is canceled over the entire season and does not represent any payment.

The remaining current loans and borrowings as at June 30, 2022 related to amounts owed for investments, which will be paid comfortably with the cash flows generated by the Club each month from operating activities, plus available cash and undrawn facilities.

In sum, important here is that once the crisis caused by COVID-19 is overcome, the Club expects to continue generating significant operating profit (i.e. operating income higher than operating expenses) as it did in previous years, and, accordingly, generating a significant cash surplus to cover its investment commitments after meeting the payment obligations arising from its operations.

Considering the above and taking into account the current cash balance, cash projections made using conservative assumptions for the coming seasons, and the undrawn available credit lines at June 30, 2022 of €354 million (Note 14.1), the Group should be able to meet its payment obligations comfortably. Therefore, there are no doubts surrounding potential liquidity risk or the Club's financial position due to working capital.

15. ACCRUALS IN ASSETS AND LIABILITIES

15.1 ACCRUALS IN ASSETS

Non- current and current accruals in assets:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Non-current accruals	25,137	16,734
Current accruals	2,219	1,530

- **Non-current accruals**

These relate mainly to sports personnel contract bonuses accruing in the long term.

- **Current accruals**

These relate to a variety of prepaid expenses accrued during the next calendar year.

15.2 ACCRUALS IN LIABILITIES

Non-current and current accruals:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Non-current accruals		
Non-current advances	47,024	70,059
	47,024	**70,059**
Current accruals		
Membership fees, ticket sales and stadium revenue	43,671	25,015
International and friendly matches	-	-
Marketing revenue	36,926	30,730
Broadcasting revenue	252	2,440
	80,849	**58,185**

- **Non-current advances**

This item relates primarily to discounted amounts received in advance and pending accrual arising on various marketing agreements.

- **Deferred income**

a) **Broadcasting revenue**
This item includes amounts collected by the Club under agreements on audiovisual rights entered into before June 30, 2022, which accrue in the 2022/23 season.

b) **Stadium revenue**
Stadium revenue comprises mainly membership fees and season tickets and income from stadium boxes received before June 30, 2022, which accrue in the 2022/23 season.

c) **Marketing revenue**
The balance of this item relates to the amounts received by the Club under business agreements entered into before June 30, 2022, which accrue in the 2022/23 season.

d) **Competition revenue**
The balance of this item relates to the amounts received or invoiced by the Club prior to June 30, 2022, which accrue in the 2022/23 season.

16. TAXATION

The breakdown of tax assets is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
VAT and similar taxes refundable	-	-
Recoverable taxes	-	-
Other receivables from public administrations (Note 8.2)	**-**	**-**
Withholdings and payments on account	-	2,085
Current tax assets (note 8.2)	**-**	**2,085**
Deferred tax assets for deductible temporary differences	40,481	7,324
Tax credits	6,733	24,492
Deferred tax assets (non-current assets)	**47,214**	**31,816**

The breakdown of tax liabilities is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
VAT payable	10,500	17,097
Personal income tax payable	3,483	3,155
Corporate income tax payable (non-resident income tax)	33	156
Corporate income tax payable (IRCM)	-	-
Local income tax payable	2,212	2,230
Social security payable	907	848
Other payables to public administrations (Note 14.3)	**17,135**	**23,486**
Current tax liabilities (Note 14.3)	**18,594**	**-**
Liabilities arising from taxable temporary differences	34,493	32,621
Deferred tax liabilities	**34,493**	**32,621**

The Club is current with all its tax obligations and has no past-due amounts with the taxation authorities, or agreements with the taxation authorities for deferring any payments.

Accordingly, all amounts recognized under tax liabilities at the end of the reporting period are the result of applying ordinary tax regulations:

- VAT payable: balance payable for transactions in the month of June, with settlement on July 30.
- Personal income tax payable: balance payable for transactions in the month of June, with settlement on July 20.
- Local income tax payable: expense accrued from January to June for local taxes, mainly regarding property and business taxes, with settlement in November.
- Social Security payable: balance payable for Social Security obligations in the month of June, with settlement on July 30.
- Liabilities arising from taxable temporary differences: the balance of corporate income tax to be settled by deferred payments, in accordance with tax deferral regulations (e.g. reinvestment of profits, accelerated depreciation).

16.1 CALCULATION OF INCOME TAX EXPENSE

In accordance with tax legislation, profits are subject to a 25% tax rate on taxable profit at each Group company, since the Group did not file consolidated tax as at June 30, 2022. However, certain reductions to taxable profit or to tax expense may be applied.

The reconciliation of net income and expense with taxable profit (tax loss) in the provision for income tax recognized at the end of each period is as follows:

FY 2021/22

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	12,936	-
Income tax		
Continuing operations	7,263	-
Income and expense for the year before tax	**20,199**	**-**
Permanent differences	**19,662**	**-**
Temporary differences		
Originating in the current year	74,846	-
Originating in prior years	53,196	-
	128,042	
Reduction of taxable profit arising from the recapitalization reserve	**(3,958)**	**-**
Utilization of tax losses	**(38,248)**	**-**
TAXABLE PROFIT (TAX LOSS FOR THE PERIOD)	**125,697**	**-**

FY 2020/21 (RMCF)

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	874	-
Income tax		
Continuing operations	865	-
Income and expense for the year before tax	**1,739**	**-**
Permanent differences	**16,088**	**-**
Temporary differences		
Originating in the current year	(78,172)	-
Originating in prior years	6,551	-
	(71,621)	**-**
Reduction of taxable profit arising from the recapitalization reserve	**-**	**-**
TAXABLE PROFIT (TAX RESULT FOR THE YEAR)	**(53,794)**	**-**

Reconciliation of income tax expense/(income) recognized and the result of multiplying total recognized income and expenses by the applicable tax rate, differentiating the amount reported in the income statement, is as follows:

FY 2021/22

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	20,199	-
Permanent differences	19,662	-
	39,861	-
Effective tax rate	25%	-
Theoretical tax charge	**9,965**	**-**
Tax credits	**(3,216)**	**-**
Adjustments to income tax for assessments	**536**	**-**
Capitalization reserve	**(22)**	**-**
EFFECTIVE INCOME TAX EXPENSE	**7,263**	**-**

FY 2020/21 (RMCF)

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	1,739	-
Permanent differences	16,088	-
	17,827	-
Effective tax rate	25%	-
Theoretical tax charge	**4,457**	**-**
Deductions	**(3,584)**	**-**
Capitalization reserve	**(8)**	**-**
EFFECTIVE INCOME TAX EXPENSE	**865**	**-**

The breakdown of income tax expense/(income) is as follows:

FY 2021/22

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	20,308	-
Changes in deferred taxes		
Tax losses utilized	9,562	-
Unused tax credits and other tax relief	7,229	-
Utilization of capitalization reserve	968	-
Changes in deferred tax assets for deductible temporary differences	(33,157)	-
Changes in deferred tax liabilities for deductible temporary differences	1,921	-
Grants, donations and bequests received	-	(48)
Double taxation deductions generated and utilized in the year	671	-
Adjustment to prior year income tax	(239)	-
Total income tax expense	**7,263**	**(48)**

FY 2020/21 (RMCF)

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	-	-
Changes in deferred taxes		
Recognized tax losses	(13,448)	-
Adjustment of prior year tax losses	831	-
Unused tax credits and other tax relief	(3,584)	-
Unused capitalization reserve	(8)	-
Changes in deferred tax assets for deductible temporary differences	6,007	-
Adjustment of prior year deductible temporary differences	(831)	-
Changes in deferred tax liabilities for taxable temporary differences	11,898	-
Grants, donations and bequests received	-	(48)
Effective income tax expense	**865**	**(48)**

The calculation of income tax recoverable or payable is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Current tax	(20,308)	-
Withholdings	471	367
Payments on account	1,243	1,718
Current tax assets/(liabilities)	**(18,594)**	**2,085**

16.2 DEFERRED TAX ASSETS AND LIABILITIES

The movements in the items composing "Deferred tax assets" and "Deferred tax liabilities" are as follows:

FY 2021/22

€ THOUSAND	CHANGES REFLECTED IN			
	INCLUSION OF RMCF BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	5,680	33,501	-	39,181
Amortization and depreciation	1,644	1,842	-	3,486
Tax credits				
Tax credits and tax relief	5,933	(5,415)	-	518
Double taxation deductions	1,814	(1,814)	-	-
Tax credit for capitalization reserve (Note 16.3)	968	(968)	-	-
Carry forward of unused tax losses	15,777	(9,562)	-	6,215
	31,816	**15,398**	**-**	**47,214**
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,566	(83)	-	2,483
Deferred capital gains due to deferred payment	27,546	2,032	-	29,578
Free depreciation	929	(29)	-	900
Grants (Note 6.4)	1,330	-	(48)	1,282
Other	250	-	-	250
	32,621	**1,920**	**(48)**	**34,493**

FY 2020/21 (RMCF)

€ THOUSAND	CHANGES REFLECTED IN			
	OPENING BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	9,639	(3,959)	-	5,680
Amortization and depreciation	2,861	(1,217)	-	1,644
Tax credits				
Tax credits and tax relief	2,349	3,584	-	5,933
Double taxation deductions	1,204	610	-	1,814
Tax credit for capitalization reserve (Note 16.3)	960	8	-	968
Carry forward of unused tax losses	3,160	12,617	-	15,777
	20,173	**11,643**	**-**	**31,816**
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,648	(82)	-	2,566
Deferred capital gains due to deferred payment	15,531	12,015	-	27,546
Free depreciation	964	(35)	-	929
Grants (Note 6.4)	1,378	-	(48)	1,330
Other	250	-	-	250
	20,771	**11,898**	**(48)**	**32,621**

- **Deferred tax assets - Unused tax credits**

The Group has double taxation deductions from withholdings on income from abroad. There are no time limits on the recovery of these withholdings through income tax, although they may not exceed 50% of the tax expense of each year.

Meanwhile, at the end of each reporting period, the Group recognizes tax credits and relief to the extent that it is probable that sufficient taxable profit will be available against which they can be utilized. There is no time limit on recognizing these credits, although there are certain limits depending on the type of credit:

- Credits for investment in R&D - Cannot exceed 25% of the tax expense adjusted for double taxation deductions.
- Credits for contributions to not-for-profit organizations - Subject to two limits. They may not exceed 10% of taxable profit and they may not exceed 25% of the tax expense adjusted for double taxation deductions.

The movement in unused tax credits and deductions is as follows:

€ THOUSAND	INCLUSION OF RMCF BALANCE	ARISING DURING THE YEAR	DECREASES	CLOSING BALANCE
Double taxation deductions	1,814	671	(2,485)	-
Deductions for R&D expenditure	2,433	1,884	(4,317)	-
Deductions for contributions to not-for-profit organizations	3,500	1,332	(4,314)	518
Tax credits and tax relief	**5,933**	**3,216**	**(8,631)**	**518**

- **Deferred tax assets – Carry forward for unused tax losses**

In the two preceding financial years, the Club obtained tax losses totaling €63,106 thousand, mostly due to changes in deductible temporary differences. The Club recognized the tax credit from those tax losses for a cumulative amount of €15,777 thousand since they may be offset with taxable profits obtained in future periods.

There is no time limit on the carry forward of unused tax losses, although there is an annual limit. For the Club, this limit is 25% of taxable profit before the reduction of the capitalization reserve, as it is an undertaking with over €60,000 thousand of annual revenue.

In the current period, after obtaining taxable profit, the Group utilized €38,248 million of tax losses, reducing the tax credit by €9,562 thousand.

- **Deferred tax liabilities – deferral for reinvestment**

These liabilities result from the tax treatment applicable to capital gains on certain transfers of players' federative rights, as well as on merchandising, internet, image and distribution rights transferred and on a portion of the land at the Club's former sporting complex, whose recognition in taxable profit has been deferred.

The aforementioned tax treatment consisted of applying the tax credit for reinvestment of extraordinary gains provided for in article 21 of the CIT Law (Law 43/1995, of December 27) to the gains generated from FY 1996/97 to FY 2001/02 on the disposal of certain assets, thereby acquiring a commitment to reinvest the full sale proceeds at some point within the period elapsing between the year prior to the sale and the three years following it. These gains were reinvested in player federative rights, other intangible assets and items of property, plant, and equipment, as well as financial assets.

The total amount of deferred income in accordance with article 21 of the CIT Law, the recognition method and the amounts already reinvested and pending reinvestment are set out in the following table (€ thousand):

JUNE 30, 2022

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/1997	Player federative rights	8,084	11,239	11,239	8,084	-	2006/2007	Sevenths
1997/1998	Player federative rights	3,865	5,421	5,421	3,865	-	2007/2008	Sevenths
1998/1999	Player federative rights	14,135	17,159	17,159	14,135	-	2008/2009	Sevenths
1999/2000	Player federative rights	20,358	25,142	25,142	20,358	-	2009/2010	Sevenths
2000/2001	Other rights	115,995	117,197	117,197	115,995	-	2010/2011	Sevenths
2000/2001	Player federative rights	24,523	25,243	25,243	24,523	-	2010/2011	Sevenths
2001/2002	Land	203,443	204,142	204,142	203,443	-	2011/2012	Sevenths
2001/2002	Land	15,714	15,768	15,768	5,781	9,933	2011/2051	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**396,184**	**9,933**		
Deferred tax (25%)						**2,483**		

JUNE 30, 2021 (RMCF)

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/1997	Player federative rights	8,084	11,239	11,239	8,084	-	2006/2007	Sevenths
1997/1998	Player federative rights	3,865	5,421	5,421	3,865	-	2007/2008	Sevenths
1998/1999	Player federative rights	14,135	17,159	17,159	14,135	-	2008/2009	Sevenths
1999/2000	Player federative rights	20,358	25,142	25,142	20,358	-	2009/2010	Sevenths
2000/2001	Other rights	115,995	117,197	117,197	115,995	-	2010/2011	Sevenths
2000/2001	Player federative rights	24,523	25,243	25,243	24,523	-	2010/2011	Sevenths
2001/2002	Land	203,443	204,142	204,142	203,443	-	2011/2012	Sevenths
2001/2002	Land	15,714	15,768	15,768	5,452	10,262	2011/2051	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**395,855**	**10,262**		
Deferred tax (25%)						**2,566**		

These gains have been included in taxable profit as a general rule in seven equal parts from year three, except where the proceeds were reinvested in fixed assets, in which case the income is included in taxable profit in the tax periods in which the related assets are depreciated.

- **Deferred tax liabilities – Deferral of capital gains due to deferred payment**

In FY 2009/10, and in accordance with article 19.4 of Legislative Royal Decree 4/2004 of the Consolidated Text of the Spanish Corporate Income Tax Law (TRLIS in Spanish), the Group decided to recognize, for tax purposes, the capital gains on asset transfers in transactions involving deferred payment based on the collections carried out

This gave rise to a deferred tax liability amounting to €16,404 thousand in the year ended June 30, 2022 (2021: €19,617 thousand) related to the deferred capital gains during the year, and the cancellation of €14,372 thousand from collection of deferred capital gains from the previous year (2021: €7,602 thousand).

- **Deferred tax liabilities - free depreciation**

Pursuant to Royal Decree Law 13/2010, of December 3, on measures designed to boost competitiveness, effective for financial years beginning on or after January 1, 2011, the Club

availed for the first time in FY 2011/12 the free depreciation of its investments in the new property, plant and equipment and investment properties covered under this law, and is not required to maintain employment, which was a condition in the previous regulation. Free depreciation generated a deferred tax amounting to €1,533 thousand in FY 2011/12.

In FY 2021/22, a total of €29 thousand was canceled (2021: €35 thousand) related to the accounting depreciation of the assets to which free depreciation was applied.

16.3 CAPITALIZATION RESERVE

In accordance with Article 25 of Corporate Income Tax (CIT) Law 27/2014, of November 27, taxpayers that pay tax at the rate provided in sections 1 to 6 of Article 29 of the CIT will be eligible for a reduction in taxable profit of 10% of the increase in capital and reserves provided the following conditions are met:

a) The increase in capital and reserves must be maintained for a period of five years from the end of the tax period to which the reduction relates, except in the event of tax losses.

b) The amount of the reduction must be appropriated to a reserve, which must appear on the face of the balance sheet as a separate heading and will be non-distributable for the aforementioned time period.

In no circumstance may the reduction in taxable profit exceed 10% of taxable profit for the tax period prior to the reduction and the integration referred to in section 12 of article 11 of the CIT and prior to the offset of tax losses.

To comply with its requirements, the Club set aside the related reserve within the term provided for in company law for the approval of the consolidated financial statements (see Note 2.4).

16.4 OTHER INFORMATION

- **Tax assessments 2010- 2014**

In January 2016, tax assessments were signed under protest relating to personal income tax, non-resident income tax, value added tax and corporate income tax for 2010 to 2014. The Club was notified in May 2016 of the resolutions regarding final settlement, for €10.8 million. The assessments arose due to discrepancies regarding the tax treatment of payments made by the Club for services rendered and invoiced to the Club by agents. The Spanish tax authorities considered that these payments were made on behalf of players where a relationship was deemed to exist between the agent and player. The Club expressed its disagreement and filed appeals with the Central Economic Administrative Tribunal (TEAC). However, in keeping with criteria of maximum prudence, the Club recognized the entire expense and paid the amount of the assessments in the year ended June 30, 2016.

In January 2017, the Club was notified of the commencement of penalty proceedings regarding the 2010- 2014 assessments, even those the inspections did not uncover any indications that the Club had committed an offense. The proceedings concluded with a €6.4 million settlement agreement. The Club expressed its disagreement and filed appeals with the Central Economic Administrative Tribunal (TEAC). Nevertheless, in keeping with criteria of maximum prudence the Club paid the entire amount of those assessments in 2016/17, although this did not affect accounting profit that year since it was recognized against provisions already set aside at the end of 2015/16.

The TEAC rejected all the claims, so the Club has filed the administrative appeals before the National Court of Administrative Appeals against the decisions handed down. At the date of authorization for issue of the accompanying consolidated financial statements, a ruling on the appeals was still pending, except for VAT, which was rejected in June the previous year, for which the Club began the procedures during the current year to file an administrative appeal with the Supreme Court before the legal deadline.

- **Complementary tax self-assessments in 2016 of personal income tax withholding, non-resident income tax and VAT for 2015**

As a result of the tax assessments, the Club decided, in keeping with the principle of prudence and to avoid penalties, to make additional self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2011 to 2014. Specifically, it filed additional self-assessments in July and October 2016 for personal income tax, VAT and non-resident income tax for 2015 for a total of €6.1 million. As explained, the Club disagrees with the criterion used by the Tax

Agency in the assessments, challenging in 2016 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid.

All the requests for rectification of self-assessments of personal income tax and non-resident income tax, and part the self-assessments of VAT, for a total of €5.7 million, were absorbed under the framework of the 2014-January 2016 inspection discussed below and rejected through the settlement agreements of the inspection. Of the remaining requests for rectification of VAT self-assessments, €0.4 million were appealed by the Club before the TEAC after rejection by the Tax Agency, but they were ruled against by that court in January 2020. The Club filed administrative appeals with the National Court in May 2020, which were dismissed in June of the previous year. The Club began the procedures during the current year to file an appeal against this ruling with the Supreme Court before the legal deadline.

In keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years.

- **Tax assessments 2014-January 2016**

On July 22, 2016, the Club was notified of the commencement of a tax audit of corporate income tax for the tax period from July 1, 2014 to June 30, 2016 on the enforcement procedure for state aid in relation to the European Commission's decision of July 4, 2016 regarding alleged state aid granted to four Spanish football clubs, including Real Madrid Club de Fútbol, for applying legislation to this type of entity that, for tax purposes, includes a lower tax rate (see Note 13.4.3).

The tax audit began on October 25, 2016, and subsequently expanded to include the following taxes:

ITEM	PERIOD
Income tax	7/2014 to 6/2015
Value added tax	7/2014 to 6/2015
Withholding/payments on account of personal income tax	2015 and January 2016
Withholdings on account of non-resident tax	2015 and January 2016

Therefore, the aforementioned tax audits of income tax for the 7/1/2014 to 6/30/2015 period regarding the enforcement of state aid were replaced by the new tax audits.

In January 2017, the Club signed assessments under protest for the taxes and periods indicated. As with the previous tax audits for the 2010-2014 period, this amount was due to discrepancies in the tax treatment of payments made by the Group for services rendered and invoiced to the Club by agents. After the end of FY 2016/2017, the final settlement agreements in relation to these assessments for personal income tax, VAT and non-resident income tax for €1.2 million were issued. They did not have any impact on accounting profit for FY 2016/17 as they were recognized with a charge to provisions already set aside at the end of FY 2015/16.

The Club filed appeals before the TEAC for the settlement agreements indicated (€1.2 million) and the rejection of the request for reimbursement of the complementary settlements for 2016 indicated above (€5.7 million), which were dismissed by that court. The Club filed an administrative appeal before the National Court of Administrative Appeals. In June of the previous year, the Club received rulings against its appeals regarding the VAT self-assessment and in the current year began the procedures to file an appeal against these rulings with the Supreme Court before the legal deadline. The rest of the appeals are pending resolutions as at the date of authorization for issue of these consolidated financial statements.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State Aid and issued a resolution on the final settlement of 2014/15 income tax, resulting in a refund of €193 thousand to the Club. The assessments do not affect, in any significant way, the amount that the Club estimated as the damage incurred for the different tax treatment relating to the aforementioned European Commission case. The Club filed appeals with the TEAC for which, at the date of authorization for issue of the accompanying consolidated financial statements, no ruling had been issued.

• **Complementary tax self-assessments filed in January 2017 for personal income tax withholding for 2016 and VAT for 2015/16**

Again, in keeping with the same principle of prudence explained regarding the complementary tax self-assessments of 2016 and to avoid additional penalties, the Club made additional self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2011 to 2014 and 2015 to 2016. Specifically, it filed additional self-assessments in January 2017 for a total of €1 million. As explained, the Club disagrees with the criterion used by the Tax Agency in the assessments, challenging in 2017 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid. The Tax Agency rejected all the requests and the TEAC rejected the related appeals, prompting the Club to file additional administrative appeals with the National Court. As in previous years, in June of the previous year, the Club received rulings against its appeals regarding the VAT self-assessment and in the current year began the necessary procedures to file an appeal against these rulings with the Supreme Court before the legal deadline. The rest of the appeals are pending resolution as at the date of authorization for issue of these consolidated financial statements.

Again, in keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years.

• **Complementary tax self-assessments filed subsequently for personal income tax withholding and VAT to December 2018**

Using the same criteria as before, for tax self-assessments not filed before the tax inspections for 2010 to 2014 and 2015 to 2016 had concluded, the Club followed the administrative criterion set out in the settlement agreements. However, given the dispute with the administrative criterion, it requested rectification to the assessments and reimbursement of amounts paid. Specifically, for the tax self-assessments up to December 2018 for which the request for rectification was submitted in 2019, the Club had paid, and is therefore claiming reimbursement of, a total amount of €33.4 million.

Regarding the resolution of these claims, €18 million was included in the new tax inspection commenced in July 2019, as explained below. The remaining €15.4 million has been appealed before the TEAC.

Again, in keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years.

• **Tax assessments July 2015 - June 2018**

On July 12, 2019, the Club was notified of the commencement of inspections for a number of taxes and tax periods. On September 6, 2019, it was notified of a change in the extension of certain tax periods. Accordingly, the taxes and taxes periods under inspection are:

ITEM	PERIOD
Income tax	7/2015 to 6/2018
Value added tax	7/2015 to 6/2018
Withholding/payments on account of investment income	7/2015 to 6/2018
Withholding/payments on account of personal income tax	2/2016 to 6/2018
Withholdings on account of non-resident tax	2/2016 to 6/2018

The inspection concluded in December 2021 with signing of the assessments relating to all taxes in agreement, for which the Club paid €2,200 thousand.

The only area of dispute and adjustment related to payments to agents. No adjustments were made to refunds or payments in any other of the Club's tax returns related to the rest of its activities since the inspection found them to be in compliance.

In tax assessments signed in agreement between with the taxation authorities and the Club, and in relation to agency contracts arising from new additions as of April 1, 2015, the effective date of the RFEF agent regulations (Reglamento de Intermediarios), it was considered that when a professional agent or intermediary who is the player's agent is involved, the agent has defended both the Club's and the player's interests equally (50/50 basis), giving rise to the related tax treatment of payments made by the Club to the agent.

The Club always bases its actions on the principle of tax legality, irrespective of ongoing legal proceedings related to previous years. Therefore, it has signed these assessments in agreement to obtain equality and legal certainty going forward by eliminating litigation with the taxation authorities regarding the tax treatment afforded to payments to agents.

- **Other information**

Under prevailing tax regulations, tax returns may not be considered final until they have either been inspected by the tax authorities or until the four-year inspection period has expired. Therefore, after the end of the tax inspection described above, as at June 30, 2022, the Club was open to inspection of income tax (personal income tax withholding and non-resident income tax) and VAT from July 2018 and of corporate income tax as of FY 2018/19.

Regarding these years, the Club considers that there are no material contingencies that could arise from future tax inspections.

17. REVENUE AND EXPENSES

17.1 OPERATING INCOME

The accompanying income statement includes the following items:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Revenue	712,875	648,355
Other operating income	6,903	1,334
Grants (Note 12)	192	192
Provision surpluses (Note 13.1 and 13.2)	1,558	3,098
Total operating income before disposals	**721,528**	**652,979**
Gains/(losses) on disposal and other (Note 17.5)	**378,716**	**105,964**
TOTAL OPERATING INCOME	**1,100,244**	**758,943**

"Revenue" includes the amount of subsidies from the Professional Football League and the Spanish Professional Football Association for maintenance of stadium access points and the share of football pool revenue, amounting to €432 thousand (2021: €314 thousand).

"Gains/(losses on disposal and other" includes the gains or losses on the disposals of players and, in the current reporting period, the portion of the gain accrued during the year from the Sixth Street/Legends agreement (Note 17.5).

- **Revenue**

Breakdown of the Group's consolidated revenue from continuing operations by business category, geographical market and the timing of revenue recognition:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
By operating segment:		
La Liga revenue	34,149	-
King's Cup (Copa de S.M. El Rey) revenue	1	-
Spanish Super Cup revenue	8,009	6,800
Champions League revenue	140,868	94,503
European Super Cup revenue	-	-
FIFA Club World Cup revenue	-	-
Revenue from friendly matches	393	-
Basketball competitions revenue	5,402	611
Other revenue	10,589	14,923
Total box office and competition revenue	**199,411**	**116,837**
Total revenue from membership fees and season tickets	**37,398**	**8,413**
Total stadium revenue	**6,989**	**1,170**
Total broadcasting revenue	**178,940**	**207,709**
Revenue from store sales	25,886	8,940
Revenue from sponsorships and licenses	231,283	278,484
Advertising revenue	1,284	1,239
Other revenue	31,684	25,563
Total commercialization and advertising revenue	**290,137**	**314,226**
TOTAL REVENUE	**712,875**	**648,355**

The increase in box office and competition revenue was due primarily to the impact on box office revenue of public attendance to the stadium and the recognition, not on a straight-line basis, of certain revenue during the first half of the financial year from participation in competition that was accrued in full as at June 30, 2022. This accrual policy has no impact on the total calculation for the year.

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
By geographical market:		
Spain	419,133	363,073
Other	293,742	285,282
	712,875	**648,355**

JUNE 30, 2022

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	43,751	60,551	104,302
International and friendly matches	132,436	7,057	139,493
Broadcasting revenue	-	178,940	178,940
Marketing revenue	31,558	258,582	290,140
	207,745	**505,130**	**712,875**

JUNE 30, 2021 (RMCF)

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	668	9,589	10,257
International and friendly matches	106,419	9,744	116,163
Broadcasting revenue	-	207,690	207,690
Marketing revenue	16,735	297,510	314,245
	123,822	**524,533**	**648,355**

- **Contract balances**

The disclosure of balances of contracts with customers relative to the timing of revenue recognition is as follows:

JUNE 30, 2022

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**19,250**	**19,250**
Trade receivables (Note 8.2)	15,680	33,493	49,173
Other receivables from sports entities (Note 8.2)	4,903	10,144	15,047
Current contract assets	**20,583**	**43,637**	**64,220**
TOTAL CONTRACT ASSETS	**20,583**	**62,887**	**83,470**

JUNE 30, 2021 (RMCF)

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**-**	**-**
Trade receivables (Note 8.2)	9,599	38,556	48,155
Other receivables from sports entities (Note 8.2)	2,761	11,293	14,054
Current contract assets	**12,360**	**49,849**	**62,209**
TOTAL CONTRACT ASSETS	**12,360**	**49,849**	**62,209**

The movement during the year in contract liabilities and the offsetting entries recognized in revenue:

FY 2021/22

€ THOUSAND	INCLUSION OF RMCF BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	70,059	-	-	(23,035)	47,024
	70,059	**-**	**-**	**(23,035)**	**47,024**
Current accruals					
Membership fees, ticket sales and stadium revenue	25,015	73,097	(56,598)	2,157	43,671
International and friendly matches	-	69,090	(69,090)	-	-
Broadcasting revenue	2,440	168,876	(171,064)	-	252
Marketing revenue	30,730	108,947	(153,823)	51,070	36,924
	58,185	**420,010**	**(450,575)**	**53,227**	**80,847**

FY 2020/21 (RMCF)

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	47,798	70,148	-	(47,887)	70,059
	47,798	**70,148**	**-**	**(47,887)**	**70,059**
Current accruals					
Membership fees, ticket sales and stadium revenue	29,480	10,777	(15,242)	-	25,015
International and friendly matches	3,728	78,475	(82,203)	-	-
Broadcasting revenue	25,993	155,639	(179,192)	-	2,440
Marketing revenue	25,129	107,357	(149,643)	47,887	30,730
	84,330	**343,968**	**(418,000)**	**47,887**	**58,185**

- **Agreements in force**

1. Real Madrid and Germany multinational enterprise Adidas had maintained a strategic alliance for over 30 years through a successful sponsorship arrangement. During this time, through successive renewals, the agreement has gradually improved in terms of guaranteed minimums and percentage of royalties. The latest extension was signed in May 2019, effective in full as of July 1, 2020 and ending on June 30, 2028. It represented a marked increase in the Club's sponsorship revenue.

2. On June 27, 2020, with economic effect from July 1, 2020, the Club entered into a new agreement with Legends Hospitality España, S.L.U. for management of the exploitation rights for sports material and licensed products in physical stores and on-line sales. This agreement is designed to drive business in the retail area and reinforce its management control mechanisms.

Legends manages the activities, acting in its own name and on behalf of the Club in accordance with the Club's instructions and guidelines. The Club recognizes the revenue, cost of sales and inventories arising from the activities, which do not have a significant impact on the net profit from the agreement.

3. In the 2012/13 season, a sponsorship agreement was signed with Emirates Spain Branch for the 2013/14, 2014/15, 2015/16, 2016/17 and 2017/18 seasons entailing higher income than the previous sponsor's contract. This agreement was renewed during the 2016/17 season and extended to the end of the 2021/22 season, with an increase in guaranteed income for Real Madrid.

This agreement was renewed during the current season and extended to the end of the 2025/26 season.

Therefore, amid the reigning economic uncertainties, the Club locks in revenue from the two main sponsors of its jerseys for the coming years.

4. An agreement became effective in 2017/18 (see Note 3.20) subject to the growth and development of sponsorship revenue for an initial period of four years, with possibility of extension by one or two year in accordance with the level of achievement of certain economic terms. The agreement covers all territories and sponsorship categories, except sports and commercial sponsorships of jerseys and Stadium and training fields naming rights.

This agreement was renegotiated in FY 2019/20, resulting in an increase in income and an extension of the potential years of validity to up to nine years.

5. In the 2016/17 season, once the individual contracts entered into by the clubs concluded, Royal Decree Law 5/2015, of April 30, governing joint exploitation of audiovisual rights of professional football competitions (first and second Spanish football divisions, the King's Cup and the Spanish Super Cup) became fully effective.

The legislation establishes a joint revenue-sharing scheme based on category (first or second division), performance and social acceptance, measured by membership fees and average box office revenue, and the share of the contribution to the generation of income from the marketing of TV broadcasts.

It also establishes a mandatory contribution system (expenditure in accordance with income obtained) to sustain other football categories and associations, and to promote sports in general.

6. During the current year, an agreement was entered into with Delantero Inversiones y Operaciones S.L.U., a subsidiary of US investment firm Sixth Street, and Legends, company specialized in stadium management and premium experiences for sports organizations and organization of major events. The agreement includes the transfer of management of the operation of certain new businesses of the Santiago Bernabéu Stadium, based on forecasts for new cash flow generation, with the objective of elevating the Santiago Bernabéu Stadium as a unique venue and a worldwide benchmark for leisure and entertainment.

As part of the long-term partnership, Real Madrid will receive approximately €360 million to be invested across any of the Club's activities. Through this alliance, Sixth Street acquires the right to participate in the operation of certain new businesses of the Santiago Bernabéu Stadium for 20 years. In addition, Legends will contribute its experience and knowledge in the operation of large stadiums and leisure centers, allowing for the optimization of the management of the Santiago Bernabéu Stadium.

The transformation of the Santiago Bernabéu Stadium will be a turning point in the history of Real Madrid. This alliance with Sixth Street and Legends, world leaders in their respective disciplines, will be fundamental in providing unique experiences in a stadium where multiple events can

be hosted throughout the year. This agreement strengthens our goal of continuing to significantly increase the stadium's revenues from both sporting and other types of events.

17.2 RAW MATERIALS AND OTHER CONSUMABLES USED

The detail of consumption of raw materials and other consumables during the year is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Sports materials used		
Purchases	5,313	10,075
Change in inventories	1,209	(3,434)
Other consumables used		
Purchases	24,486	11,825
Change in inventories	(3,230)	558
Total cost of sales	**27,778**	**19,024**

The breakdown of purchases by geographic area is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Spain	29,713	21,847
Intra-EU	86	53
Total	**29,799**	**21,900**

17.3 PERSONNEL EXPENSES

The breakdown of "Personnel expenses" is as follows:

FY 2021/22

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	338,574	1,860	19,160	35,113	486	861	396,054
First football team staff who cannot be registered	2,568	-	3,000	658	180	-	6,406
Second football team players and coaching staff	7,286	-	-	-	427	-	7,713
Lower division football team players and coaching staff	6,462	-	303	20	1,356	1,813	9,954
Players and women's team coaching staff	2,025	-	47	-	380	19	2,471
Non-sports personnel	48,435	-	298	-	5,479	842	55,054
Total football	**405,350**	**1,860**	**22,808**	**35,791**	**8,308**	**3,535**	**477,652**
Basketball players and coaching staff	31,737	573	2,900	2,700	416	825	39,151
Non-sports basketball personnel	1,946	-	-	150	131	-	2,227
Total basketball	**33,683**	**573**	**2,900**	**2,850**	**547**	**825**	**41,378**
TOTAL PERSONNEL EXPENSES	**438,645**	**2,433**	**26,096**	**38,641**	**8,855**	**4,360**	**519,030**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	338,574	1,860	19,160	35,113	486	861	396,054
Staff who cannot be registered in the LNFP	50,078	573	6,250	3,378	2,759	2,657	65,695
Total sports personnel expenses	**388,652**	**2,433**	**25,410**	**38,491**	**3,245**	**3,518**	**461,749**

FY 2020/21 (RMCF)

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	297,600	1,625	900	610	429	766	301,930
First football team staff who cannot be registered	1,613	-	550	-	176	-	2,339
Second football team players and coaching staff	6,785	-	-	-	434	-	7,219
Lower division football team players and coaching staff	6,309	-	1	-	1,227	1,311	8,848
Players and women's team coaching staff	1,701	-	-	-	335	-	2,036
Non-sports personnel	43,415	-	31	-	5,478	517	49,441
Total football	**357,423**	**1,625**	**1,482**	**610**	**8,079**	**2,594**	**371,813**
Basketball players and coaching staff	27,351	529	-	-	454	797	29,131
Non-sports basketball personnel	1,867	-	-	-	146	-	2,013
Total basketball	**29,218**	**529**	**-**	**-**	**600**	**797**	**31,144**
TOTAL PERSONNEL EXPENSES	**386,641**	**2,154**	**1,482**	**610**	**8,679**	**3,391**	**402,957**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	297,600	1,625	900	610	429	766	301,930
Staff who cannot be registered in the LNFP	43,759	529	551	-	2,626	2,108	49,573
Total sports personnel expenses	**341,359**	**2,154**	**1,451**	**610**	**3,055**	**2,874**	**351,503**

The following table presents the total sports personnel expenses based on the budget preparation guidelines of the clubs, as well as the LPF's public limited sports companies (Sociedades anónimas deportivas or "SADS").

FY 2021/22

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	396,054	155,434	55,366	(2,720)	604,134
Staff who cannot be registered in the LNFP	65,695	8,327	1,411	(2,562)	72,871
Total sports personnel expenses	**461,749**	**163,761**	**54,777**	**(5,282)**	**677,005**

FY 2020/21 (RMCF)

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	301,930	155,684	13,039	(7,940)	462,713
Staff who cannot be registered in the LNFP	49,573	2,778	209	626	53,186
Total sports personnel expenses	**351,503**	**158,462**	**13,248**	**(7,314)**	**515,899**

17.4 OTHER OPERATING EXPENSES

- **Losses, impairment and changes in trade provisions**

The breakdown of "Losses, impairment and changes in trade provisions" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Impairment of "trade receivables" (Note 8.2)	3,503	2,244
Losses on "trade receivables"	7	182
Reversal of impairment of "trade receivables" (Note 8.2)	(79)	(2,665)
Utilization of allowance for impairment of "trade receivables" (Note 8.2)	(7)	(182)
Impairment of "Current receivables from sports entities" (Note 8.2)	3	-
Reversal of impairment on "Current receivables from sports entities" (Note 8.2)	(28)	(29)
Provision for inventory write-downs	-	292
Total losses, impairment and changes in trade provisions	**3,399**	**(158)**

- **Other operating expenses**

The breakdown of "Other operating expenses" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
External services	135,716	85,305
Taxes	4,583	4,420
Transport	9,164	4,732
Player transfer and acquisition expenses	907	1,853
Other operating expenses	135,854	77,645
Total other operating expenses	**286,224**	**173,955**

"Other operating expenses" includes the mandatory contributions regulated by Royal Decree 5/2015 (see Note 17.1.6) and provisions for certain expenses not attributable to other items.

The breakdown of "External services" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Leases of assets (Note 6.3)	2,559	2,310
Other leases, royalties and other services	44,557	27,892
Repairs and maintenance	25,336	15,287
Professional services	50,923	29,948
Insurance premiums	4,305	4,699
Advertising, publicity and public relations	3,726	3,479
Utilities	4,310	1,690
Total external services	**135,716**	**85,305**

"Other leases, royalties and other services" includes, inter alia, operating fees, TV production expenses, catering, hostess and event expenses, and costs of editing and mailing publications.

Most operating expense items rose from the year before as activity picked back up after falling sharply because of the pandemic. Nevertheless, the Club is pressing on with its savings plan for all areas.

Fees paid for audit and other review and assurance engagements provided to the Group by the audit firm are as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Audit	188	141
Review and assurance work	47	52
Total services	**235**	**193**

Meanwhile, fees paid in FY 2021/22 for other services provided by companies in the audit firm's international network amounted to €450 thousand (2021: €20 thousand).

17.5 IMPAIRMENT AND GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS

The breakdown of "Impairment and gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)" is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Change in impairment and losses on sports intangible assets (Notes 4.1 and 4.2)	(60,874)	16,476
Change in impairment and losses on property, plant and equipment (Note 6)	60	-
Change in impairment and losses on investment properties (Note 7)	-	(9)
Total change in impairment and losses	**(60,814)**	**16,467**
Gains/(losses) on disposal of sports intangible assets (Note 4.3)	62,383	105,549
Gains/(losses) on disposal of non-sports intangible assets	-	3
Gains/(losses) on disposal of property, plant and equipment	(14)	412
Gains on transfer of rights	316,347	-
Gains on disposal and other	**378,716**	**105,964**
TOTAL IMPAIRMENT, GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS AND OTHER EXCEPTIONAL GAINS/(LOSSES)	**317,902**	**122,431**

"Gains on transfer of rights" relates to the portion of the gain accrued in the year from the Sixth Street/Legends agreement (see Note 17.1.6).

17.6 FINANCE INCOME AND EXPENSES

The breakdown of finance income and expenses is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Finance income from marketable securities and other financial instruments.		
Interest on term and other deposits	5	-
Exchange gains	107	20
Unrealized exchange gains	296	10
Other finance income	274	427
Finance income on remeasurement of financial assets (Note 8.1)	466	568
	1,148	**1,025**
Capitalization of borrowing costs (Note 6.4)	**14,749**	**8,704**
Finance expenses		
Bank service fees	-	-
Exchange losses	81	141
Unrealized exchange losses	19	61
Loan interest costs	18,630	12,441
Finance expenses on remeasurement of financial assets (Notes 14.1 and 15)	265	513
	18,995	**13,156**

"Loan interest costs" included the interest expenses on financing of the Santiago Bernabéu Stadium remodeling project (Note 6.1). In according with accounting standards, these costs are recognized in the balance sheet under "Capitalization of borrowing costs" (see Note 6.4).

17.7 FOREIGN CURRENCY TRANSACTIONS

Transactions carried out in currencies other than the euro are as follows:

FY 2021/22

€ THOUSAND

SHORT-TERM PURCHASES OF FIXED ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	584	USD	4,893	USD	651
GBP	-	GBP	369	GBP	664
JPY	-	JPY	-	JPY	2
CHF	-	CHF	-	CHF	2
SAR (Saudi riyals)	-	SAR (Saudi riyals)	-	SAR (Saudi riyals)	17
	584		**5,262**		**1,336**

FY 2020/21 (RMCF)

€ THOUSAND

SHORT-TERM PURCHASES OF FIXED ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	-	USD	4,480	USD	162
GBP	-	GBP	114	GBP	368
CHF	-	CHF	-	CHF	3
SAR (Saudi riyals)	-	SAR (Saudi riyals)	-	SAR (Saudi riyals)	140
	-		**4,594**		**673**

17.8 CONSOLIDATED PROFIT OR LOSS BY GROUP COMPANIES

The contribution by company to the Group's consolidated profit or loss was as follows:

€ THOUSAND	6/30/2022
Real Madrid Club de Fútbol	533
Real Madrid Estadio, S.L.	12,403
Real Madrid Beijing Co, Ltd	-
Profit/(loss) for the year	**12,936**

18. RELATED PARTY TRANSACTIONS

Related parties with which the Group carried out transactions in the year ended June 30, 2022, and the nature of the relationship, are as follows:

	NATURE OF THE RELATIONSHIP
Board of Directors	Directors
Senior management	Directors
Real Madrid Foundation	Shared directors between the Foundation and the Club

18.1 BOARD OF DIRECTORS AND SENIOR MANAGEMENT

The members of the Board of Directors and those holding other management positions at the Club, both those serving at the date of authorization for issue of the annual consolidated financial statements and former members, did not undertake any transactions other than in connection with the ordinary course of the Club's business.

The Club's policy is to arrange third-party liability insurance of Club directors for damages caused by acts or omission in the discharge of their directorships. The amount paid in the year ended June 30, 2022 was €162 thousand (2021: €28 thousand).

1. Director compensation

The members of the Board of Directors did not accrue any compensation for serving as directors.

At June 30, 2022 and 2021, the Club had no obligations with former or current members of the Board of Directors in respect of pensions or life insurance, nor had it extended any guarantees on their behalf.

2. Identification of and total compensation paid to senior management

In the year ended June 30, 2022, there were 49 senior executives (2021: 48), of which 45 continued to hold their directorships at June 30, 2022 (2021: 44).

Total compensation paid to executives in the year ended June 30, 2022 was €24,381 thousand (2021: €24,191 thousand).

The members of the Board of Directors at June 30, 2022 were as follows:

Chairman:
Florentino Pérez Rodríguez

1st Vice-Chairman:
Fernando Fernández Tapias

2nd Vice-Chairman:
Eduardo Fernández de Blas

3rd Vice-Chairman:
Pedro López Jiménez

Secretary:
Enrique Sánchez González

Board members:

Santiago Aguado García
Jerónimo Farré Muncharaz
Enrique Pérez Rodríguez
Manuel Cerezo Velázquez
José Sánchez Bernal
Gumersindo Santamaría Gil
Raúl Ronda Ortiz
José Manuel Otero Lastres
Nicolás Martín-Sanz García
José Luis del Valle Pérez
Catalina Miñarro Brugarolas
Manuel Torres Gómez

18.2 REAL MADRID FOUNDATION

The Real Madrid Foundation's governing body is its Board of Trustees. According to the Foundation's bylaws, the Foundation's trustees include, among others, the members of the Board of Directors of Real Madrid Club de Fútbol.

The members of the Board of Trustees do not earn any compensation for their seats on this board.

There are commitments with the Foundation regarding contributions to fund the sustainability of the Foundation and the pursuit of its activities. Contributions in the year ended June 30, 2022 amounted to €3,962 thousand (2021: €2,871 thousand).

19. NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

Real Madrid has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity.

Financial instrument activity exposes the Club to credit, market, and liquidity risk.

19.1 CREDIT RISK

Credit risk is the risk that a Club counterparty will not meet its contractual obligations, i.e. the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

The maximum exposure to credit risk is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Non-current investments		
Non-current receivables from sports entities (Note 8.1)	55,539	55,889
Non-current trade receivables (Note 8.1)	19,250	-
Other receivables (Note 8.1)	3,596	1,999
Other financial assets (Note 8.1)	481	342
Trade and other receivables		
Trade receivables (Note 8.2)	49,174	48,155
Current receivables from sports entities (Note 8.2)	50,303	97,214
Other financial assets (Note 8.2)	52,920	11,973
Receivables from public administrations (Note 8.2)	23,526	25,611
Cash and cash equivalents (Note 10)	773,416	266,474
	1,028,205	**507,657**

For the purposes of credit risk management, the Club differentiates between financial assets arising from operating activities and those arising from investing activities.

- **Operating activities**

The Club has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls.

Initial measurement and authorization is based on a hierarchical credit limit authorization system. Subsequent control is automated through a system of regular warnings managed by the Club's IT system and supervised at the corresponding management levels.

The breakdown, by counterparty, of credit risk concentration of current and non-current "Receivables from sports entities", "Non-current trade receivables" and "Trade receivables" is as follows:

FY 2021/22

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than €1,000 thousand	30	240,036
With a balance of between €1,000 thousand and €500 thousand	11	7,801
With a balance of between €500 thousand and €200 thousand	14	4,978
With a balance of between €200 thousand and €100 thousand	23	3,176
With a balance of less than €100 thousand	118	2,835
Impairment		(19,824)
		239,002

FY 2020/21 (RMCF)

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than €1,000 thousand	31	228,672
With a balance of between €1,000 thousand and €500 thousand	9	6,892
With a balance of between €500 thousand and €200 thousand	12	4,335
With a balance of between €200 thousand and €100 thousand	19	2,733
With a balance of less than €100 thousand	109	2,197
Impairment		(16,396)
		228,433

The breakdown of these balances by age is as follows:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Not due	**172,036**	**165,145**
Past due, but not impaired		
Less than 30 days	20,208	12,950
Between 30 and 60 days	4,061	8,188
Between 60 and 90 days	603	2,158
Between 90 and 120 days	406	937
Over 120 days	41,688	39,055
	66,966	**63,288**
Doubtful receivables	**19,824**	**16,396**
Impairment	**(19,824)**	**(16,396)**
	239,002	**228,433**

Balances past due but not impaired include the debt with the Madrid City Council for the Las Tablas proceedings (see Note 13.4.2).

The Club, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In addition, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees.

- **Investing activities**

The Club's investment policies are established by its Finance and Administration Department to make investments under the following guidelines:

- They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity.

- Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited.

- Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, be concentrated in certain highly solvent institutions.

- Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required.

- The Club's power of attorney policy dictates the parameters for the use of joint and several signatures based on amount.

19.2 MARKET RISK

- **Interest rate risk**

Interest rate risk is the potential loss arising from fluctuations in the fair value or future cash flows from assets or liabilities and to changes in the discount rates used to determine the carrying amounts of assets, especially player values.

Regarding players and estimates of their value in use, the Group performs the analysis and considers the circumstances set out in Note 3.6 when assessing potential impairment losses.

Moreover, as explained in Note 14, at June 30, 2022 the Group had several loans and credit facilities with different financial institutions, mostly with long-term maturities, in addition to short-term credit facilities. The nominal amount of outstanding principal at June 30, 2021 was €152,976 thousand (2021: €155,000 thousand). Virtually the entire amount is at a fixed rate of interest. No amounts had been drawn down on the credit facilities, arranged at floating rates, as at either June 30, 2022 or June 30, 2021.

Also, during the year the Group made its third (€200,000 thousand) and fourth (€225,000 thousand) drawdowns on the loan to fund the stadium remodeling project, thereby drawing down the final amount of the facility of €800,000 thousand (2021: €375,000 thousand). The interest rate on this loan is fixed (see Note 6.1).

- **Inflation**

Inflation and supply chain impacts of the armed conflict in Ukraine:

- Given its cost structure, the Group has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Group's total expenses. Moreover, the part of the inflation-induced increase in expenses will be offset by corresponding increases in certain revenue items.

- Supply chain disruptions have also not had any material impact on either the stadium remodeling project or the Group's operations.

19.3 LIQUIDITY RISK

Liquidity risk is the risk that the Club will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. The Club's objective is to maintain sufficient available funds. Club policies establish the minimum liquidity levels required at all times.

The undiscounted contractual maturity schedule of financial liabilities is as follows:

FY 2021/22

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	23,644	14,712	114,789	-	153,145
Other financial liabilities	-	-	-	-	-
Suppliers of fixed assets	88,377	4,725	21,654	180	114,936
Payables to sports entities for player transfers	11,796	-	11,609	-	23,405
Other financial liabilities	-	-	110,226	690,057	800,283
Trade and other payables	271,642	60,000	-	-	331,642
	395,459	**79,437**	**258,278**	**690,237**	**1,423,411**

FY 2020/21 (RMCF)

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	275	2,024	152,676	-	154,975
Other financial liabilities					
Suppliers of fixed assets	57,087	-	9,781	307	67,175
Payables to sports entities for player transfers	63,937	-	-	-	63,937
Other financial liabilities	-	-	41,964	333,036	375,000
Trade and other payables	193,668	3,385	-	-	197,053
	314,967	**5,409**	**204,421**	**333,343**	**858,140**

However, the key metric in determining liquidity risk is the net balance between receivables and payables.

The table below summarizes the maturity profile of the Club's financial assets:

FY 2021/22

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	TOTAL
Trade receivables (*)	49,174	-	19,250	68,424
Receivables from sports entities	48,414	1,889	55,539	105,842
Other financial assets (**)	18,306	34,614	4,077	56,997
Receivable from public administrations	-	23,526	-	23,526
	115,894	**60,032**	**78,866**	**254,789**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

FY 2020/21 (RMCF)

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	TOTAL
Trade receivables (*)	48,145	10	-	48,155
Receivables from sports entities	88,816	8,398	55,889	153,103
Other receivables (**)	10,323	1,650	2,341	14,314
Receivable from public administrations	381	25,230	-	25,611
	147,665	**35,288**	**58,230**	**241,183**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

As explained in Note 14.4 Working capital, a significant portion of the balance of "Trade and other payables" is recurring, i.e. renewed annually due to the intrinsic nature of Group companies' business operations.

Payment commitments to suppliers of fixed assets and sports entities for player transfers are amply covered by cash inflows to be received in coming years through operating income for the year, as well as by available cash and the credit lines discussed in Note 14.

19.4 INFORMATION REGARDING DEFERRED PAYMENTS TO SUPPLIERS IN COMMERCIAL TRANSACTIONS

The table below provides information on the average payment period to suppliers in commercial transactions in accordance with the Resolution of January 29, 2016 of the Spanish Institute of Accounting and Accounts Auditing regarding disclosures in the notes to annual consolidated financial statements:

€ THOUSAND	6/30/2022	6/30/2021 (RMCF)
Days		
Average supplier payment period	49	51
Ratio of transactions paid	43	49
Ratio of transactions outstanding	58	58
(€ thousand)		
Total payments made	121,081	158,454
Total payments outstanding	80,159	38,395

20. OTHER INFORMATION

20.1 STRUCTURE OF PERSONNEL

Club employees by category are as follows:

FY 2021/22

	NUMBER OF EMPLOYEES AT JUNE 30, 2022			AVERAGE NUMBER OF EMPLOYEES IN THE PERIOD	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	39	6	45	46	-
Middle managers	21	16	37	40	-
Players and coaching staff	400	34	434	428	1
General staff	161	140	301	316	5
Laborers	33	3	36	37	2
Permanent seasonal	22	3	25	27	1
	676	**202**	**878**	**894**	**9**

FY 2020/21 (RMCF)

	NUMBER OF EMPLOYEES AT JUNE 30, 2021			AVERAGE NUMBER OF EMPLOYEES IN THE PERIOD	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	38	6	44	45	-
Middle managers	21	16	37	35	-
Players and coaching staff	393	28	421	377	1
General staff	159	134	293	295	5
Laborers	33	4	37	37	2
Permanent seasonal	26	3	29	30	-
	670	**191**	**861**	**819**	**8**

20.2 ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Club has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results. Consequently, the notes to the accompanying financial statements do not include specific environmental disclosures.

20.3 CONTROL RATIOS ON SPORTS ORGANIZATIONS

Sports Law 10/1990, of October 15, grants professional leagues exclusive jurisdiction over the guardianship, control, and economic supervision of its associates. The National Professional Football League has carried out the above functions through governing and management bodies, in general, and the Economic Control Committee, in particular, in accordance with Article 41.4 b) of this law, and the bylaws and Book X of the General Regulations of the Spanish Professional Soccer League (LFP).

In this regard, via its governing bodies, the LFP has set out a number of supervisory and economic-financial control standards applicable to Clubs and SADs participating in professional and national competitions organized by the LFP in conjunction with the RFEF.

The main ratios established for the LFP budgetary control, taking 2022/2023 as T, are discussed below.

According to article 24 of the budget preparation guidelines of clubs and SADs, a club/SAD is considered to have complied with acceptable financial ratios when it also meets the following two ratios:

1. Indicators included in the LFP's Economic Control Regulations

- **Breakeven point indicator**

The breakeven point for profit or loss is the difference between relevant income and expenses, adjusted, where appropriate, by any qualifications quantified in the auditor's report. The total breakeven point for profit or loss is the sum of the breakeven points for profit or loss of each accounting period in the period monitored; i.e. T, T-1 and T-2, where T is the annual accounting period for which the audited financial statements were requested.

€ THOUSAND	6/30/2022	6/30/2021	6/30/2020
Relevant income (*)	1,160,483	933,065	908,095
Relevant expenses (*)	1,002,730	745,036	793,191
Breakeven point (+ surplus - deficit)	157,753	188,029	114,904
Total breakeven point	**460,686**		
Required breakeven point	>0		
	COMPLIES		

(*) Adjusted for COVID impact.

The calculation of relevant income and the reconciliation of relevant income with the accompanying financial statements is provided below:

€ THOUSAND	T	T-1	T-2
	6/30/2022	6/30/2021	6/30/2020
Relevant income			
Revenue	712,875	648,355	692,546
Other operating income	6,903	1,334	22,157
Grants recognized in the income statement	192	192	192
Provision surpluses	1,558	3,098	-
Gains on disposal of player registrations	66,208	118,797	103,388
Gain on disposal of property, plant and equipment/investment property	-	415	13
Gains on disposal of intangible assets	316,347	-	-
Finance income	15,897	9,729	6,215
Less: Income from youth member activities	(36)	-	(37)
Less: Women's football income	(1,439)	(394)	-
Less: Basketball income	(17,290)	(11,153)	(14,463)
Less: Proceeds from disposal of property, plant and equipment/investment property	-	(415)	(13)
Less: Non-monetary financial income	(14,749)	(8,704)	(2,143)
Total relevant income	**1,086,466**	**761,254**	**807,855**
Plus: COVID impact	73,950	176,595	101,534
Less: COVID impact on basketball income	67	(4,784)	(1,294)
Total relevant income adjusted for COVID impact	**1,160,483**	**933,065**	**908,095**
Income per financial statements			
Total operating income (Note 17.1)	1,100,244	758,943	816,118
Total finance income (Note 17.6)	15,897	9,729	6,215
Total income per financial statements	**1,116,141**	**768,672**	**822,333**
Difference	**44,342**	**164,393**	**85,762**
Reconciling items:			
Income from youth member activities	(36)	-	(37)
Women's football income	(1,439)	(394)	-
Basketball income	(17,290)	(11,153)	(14,463)
Proceeds from disposal of property, plant and equipment/investment property	-	(415)	(13)
Net losses on disposals	3,839	13,248	2,178
Non-monetary financial income	(14,749)	(8,704)	(2,143)
COVID impact	73,950	176,595	101,534
Adjustment for COVID impact on basketball	67	(4,784)	(1,294)
Total reconciling items:	**44,342**	**164,393**	**85,762**

The calculation of relevant expenses and the reconciliation of relevant expenses with the accompanying financial statements is provided below:

€ THOUSAND	T	T-1	T-2
	6/30/2022	6/30/2021	6/30/2020
Relevant expenses			
Cost of sales/materials	27,778	19,024	21,543
Employee benefits expense	519,030	402,957	411,043
Other operating expenses	289,623	173,797	232,200
Depreciation and amortization	179,702	174,466	176,503
Write-down and losses on disposal of player registrations	64,699	(3,228)	(23,847)
Impairment losses and derecognitions of other intangible assets, property, plant and equipment, and investment property	14	9	456
Finance and dividend costs	18,995	13,156	4,762
Less: Non-identifiable youth activity expenses	(7,269)	(6,483)	(7,257)
Less: Expenses from community development activities	(3,962)	(2,882)	(5,873)
Less: Depreciation/write-down of other intangible assets, property, plant and equipment, and investment property	(15,940)	(16,012)	(17,771)
Less: Cost directly attributable to the construction of property, plant, and equipment	(14,749)	(8,704)	(2,143)
Less: Women's football expenses	(4,754)	(3,384)	-
Less: Other basketball expenses	(47,933)	(29,538)	(40,327)
Total relevant expenses	**1,005,234**	**713,178**	**749,289**
Less: COVID impact	(3,154)	33,450	44,707
Plus: COVID impact on basketball income	-	(1,592)	(805)
Plus: COVID impact on Foundation income	650	-	-
	650	-	-
Total relevant expenses adjusted for COVID impact	**1,002,730**	**745,036**	**793,191**
Expenses per the financial statements			
Cost of sales	27,778	19,024	21,543
Sports and non-sports personnel expenses	519,030	402,957	411,043
Other operating expenses	289,623	173,797	232,200
Depreciation and amortization	179,702	174,466	176,503
Impairment and losses	60,814	(16,467)	(25,569)
Finance expenses	18,995	13,156	4,762
Total expenses per financial statements	**1,095,942**	**766,933**	**820,482**
Difference	**(93,212)**	**(21,897)**	**(27,291)**
Reconciling items:			
Non-identifiable youth activity expenses	(7,269)	(6,483)	(7,257)
Expenses from community development activities	(3,962)	(2,882)	(5,873)
Depreciation/write-down of other intangible assets, property, plant and equipment, and investment property	(15,940)	(16,012)	(17,771)
Reversal of write-downs of property, plant and equipment	60	-	-
Women's football expenses	(4,754)	(3,384)	-
Basketball expenses	(47,933)	(29,538)	(40,327)
Net losses on disposals of player registrations	3,839	13,248	2,178
Costs attributable to the construction of property, plant, and equipment	(14,749)	(8,704)	(2,143)
COVID impact	(3,154)	33,450	44,707
Adjustment for COVID impact on basketball	-	(1,592)	(805)
Adjustment for COVID impact on Foundation	650	-	-
Total reconciling items:	**(93,212)**	**(21,897)**	**(27,291)**

- **First football team personnel expenses indicator**

When the total annual amount of personnel expenses associated with Clubs' and SADS' first football team staff, players and coaches exceeds 70% of relevant income for the season, as defined in the LFP's Economic Control Regulations, this is considered to be an indication of a possible future economic-financial imbalance.

€ THOUSAND	6/30/2022	6/30/2021
First football team personnel expenses	404,967	307,006
Relevant income	1,086,466	761,254
First football team personnel expenses indicator	**37%**	**40%**
Required first football team personnel expenses indicator	<70%	<70%
	COMPLIES	**COMPLIES**

The calculation and reconciliation of relevant income is the same as the calculation of the breakeven point above:

The reconciliation of first football team personnel expenses and total personnel expenses is provided below:

€ THOUSAND	6/30/2022	6/30/2021
First football team players and coaching staff	396,054	301,930
First football team staff who cannot be registered	6,406	2,339
Non-sports personnel related to the first football team	2,507	2,737
Total first football team personnel expenses	**404,967**	**307,006**
Youth football team players and coaching staff	17,667	16,067
Women's football team players and coaching staff	2,471	2,036
Basketball players and coaching staff	41,378	31,144
Non-sports personnel not related to the first football team	52,547	46,704
Total personnel expenses	**519,030**	**402,957**

- **Net debt/relevant income ratio**

When net debt at June 30 of each sports season exceeds 100% of the entity's relevant income for that season, this is considered be indicative of a possible future economic-financial imbalance, as defined in Regulations.

According to regulation definitions, the amount of net debt corresponds to the sum of net debt for club transfers (i.e.

net of receivables and payables for player transfers), net debt from loans (i.e. bank overdrafts and borrowings, loans from owners and related parties, advanced payments to be accrued in a period of more than one year, and finance leases less cash, cash equivalents and non-current investments) plus payables to suppliers of fixed assets. Net debt does not include trade or other payables. Also excluded is the amount of investments in property, plant and equipment for the construction, refurbishment, renovation or substantial upgrade to sports facilities that meet certain conditions and adjustment as set out in regulations.

€ THOUSAND	6/30/2022	6/30/2021
Total net debt	(220,994)	46,421
Relevant income	1,086,466	761,254
Net debt/relevant income ratio	**(20.3%)**	**6.1%**
Required net debt/relevant income ratio	<100%	<100%
	COMPLIES	**COMPLIES**

The breakdown of net debt is as follows:

€ THOUSAND	6/30/2022	6/30/2021
Non-current bank borrowings	114,789	152,676
Non-current payables to sports entities	11,609	-
Other non-current payables	822,117	385,088
Non-current advances received	47,024	70,059
Current bank borrowings	38,356	2,299
Current payables to sports entities	11,796	63,937
Other current payables	93,102	57,087
Total payables and borrowings	**1,138,793**	**731,146**
Cash and cash equivalents	773,316	266,474
Current receivables from transfers	35,256	83,160
Non-current receivables from transfers	55,539	55,889
Total reconciling asset items:	**864,111**	**405,523**
Cumulative investment in stadium remodeling	537,778	279,202
Adjustment factor	0.92	1
Adjustment for investments in stadium remodeling	**495,676**	**279,202**
TOTAL NET DEBT	**(220,994)**	**46,421**

- **Sustainable net debt ratio**

When relevant debt at June 30 of season T exceeds €30,000 thousand and is seven times greater than relevant profit T and T-1 (T being the season of the reporting period), this is considered to be indicative of a potential economic-financial imbalance.

Net debt is net debt less investment in property, plant and equipment or intangible assets to build, upgrade or renovate sports facilities.

Relevant profit is calculated as the difference between the relevant income and expenses calculated for breakeven excluding the impact of COVID.

€ THOUSAND	6/30/2022	6/30/2021	6/30/2020
Net debt	(220,994)	46,421	240,588
Relevant income	1,086,466	761,254	807,855
Relevant expenses	1,005,233	713,178	749,289
Relevant profit	81,233	48,076	58,566
Average relevant profit T/T-1	64,655	53,321	83,065
Net debt/relevant profit ratio	**(3.40)**	**0.87**	**2.90**
Required ratio	< 7	< 7	< 7
	COMPLIES	**COMPLIES**	**COMPLIES**

2. Ratios necessary to join the LFP as an affiliate

The LFP's bylaws state that the following ratios must be met in order to join as an affiliate. The amounts required for the Club's registration for season T relate to:

Balance sheet figures: data at December T-1

Revenue: data at June T-2

- **Ratio 1**

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2022/2023	2021/2022
Non-current liabilities (*)	321,588	283,204
Current liabilities	335,845	390,532
Less: Deferred tax liabilities	(26,738)	(32,865)
Less: Cash and cash equivalents	(258,122)	(211,746)
Less: Receivables from sports entities (**)	(112,340)	(145,435)
Less: Adjustment investment in stadium remodeling (***)	(421,018)	(190,150)
I. Total adjusted liabilities T-1	(160,785)	93,540
Revenue T-2	648,355	692,546
COVID adjustment T-2	176,595	101,534
II. Adjusted revenue T-2	824,950	794,080
Ratio 1 (I/II)	**(0.19)**	**0.12**
Required ratio 1	<2.55	<2.85
	COMPLIES	**COMPLIES**

(*) Payables falling due on or after June 30 of T+4 are not included.
(**) Receivables from sports entities due to transfers/assignments to non-current and current.
(***) Investment x adjustment coefficient:
T 22/23: 421,018 x 1= 421,018
T 21/22: 190,150 x 1= 190,150

- **Ratio 2**

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2022/2023	2021/2022
Current liabilities	335,845	390,532
Less: Cash and cash equivalents	(258,122)	(211,746)
Less: Payables to sports entities (*)	(56,275)	(91,046)
Less: Investments in stadium remodeling (**)	(252,611)	(114,090)
I. Total adjusted current liabilities T-1	(231,163)	(26,350)
Revenue T-2	648,355	692,546
COVID adjustment T-2	176,595	101,534
II. Adjusted revenue T-2	824,950	794,080
Ratio 2 (I/II)	**(0.28)**	**(0.03)**
Total Ratio 2 required	<0.8	<1.1
	COMPLIES	**COMPLIES**

(*) Receivables from sports entities due to transfers/assignments to current.
(**) Investment x adjustment coefficient:
T 22/23: 421,018 x 0.6 = 252,611
T 21/22: 190,150 x 0.6 = 114,090

21. EVENTS AFTER THE REPORTING PERIOD

No other significant events occurred between the end of the reporting period and the date of authorization for issue of these consolidated financial statements that could result in a restatement or require additional disclosures.

22. INCOME STATEMENT BY ANALYTICAL SEGMENT

€ THOUSAND	MEN'S FOOTBALL	WOMEN'S FOOTBALL	BASKETBALL	TOTAL
Membership fees, ticket sales and stadium revenue	100,432	58	4,007	104,497
Revenue from international and friendly matches	140,777	959	426	142,162
Broadcasting revenue	174,553	300	4,087	178,940
Marketing revenue	287,038	121	8,770	295,929
Total operating income (before disposal of non-current assets)	**702,800**	**1,438**	**17,290**	**721,528**
Cost of sales	(26,645)	(413)	(720)	(27,778)
Sports and non-sports personnel expenses	(474,997)	(2,656)	(41,377)	(519,030)
Operating expenses	(206,876)	(1,588)	(8,716)	(217,180)
Provision for liabilities and charges	(72,443)	-	-	(72,443)
Gains/(losses) on disposal of non-current assets	375,731	-	2,985	378,716
Impairment/derecognition of non-current assets	(60,814)	-	-	(60,814)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**236,756**	**(3,219)**	**(30,538)**	**202,999**
Depreciation and amortization	**(179,035)**	**(97)**	**(570)**	**(179,702)**
Operating profit/(loss)	**57,721**	**(3,316)**	**(31,108)**	**23,297**
Finance income				1,148
Capitalization of borrowing costs				14,749
Finance expenses arising on implied cost of deferred payment on player acquisitions				(265)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses				(3,981)
Capitalized finance costs on the stadium loan				(14,749)
Net finance income/(expense)				**(3,098)**
Profit before tax				**20,199**
Income tax expense				(7,263)
Profit after tax				**12,936**

23. BUDGET OUT-TURN FOR THE 2021/2022 SEASON

€ THOUSAND	BUDGET*	OUT-TURN	VARIANCE
Membership fees, ticket sales and stadium revenue	85,535	104,497	18,962
Revenue from international and friendly matches	98,594	142,162	43,568
Broadcasting revenue	186,538	178,940	(7,598)
Marketing revenue	324,864	295,929	(28,935)
Total operating income (before disposal of non-current assets)	**695,531**	**721,528**	**25,997**
Cost of sales	(19,554)	(27,778)	(8,224)
Sports and non-sports personnel expenses	(401,439)	(519,030)	(117,591)
Operating expenses	(199,154)	(217,180)	(18,026)
Provision for uncollectible receivables, and for liabilities and charges	-	(72,443)	(72,443)
Gains/(losses) on disposals of non-current assets	108,086	378,716	270,630
Impairment/derecognition of non-current assets	-	(60,814)	(60,814)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**183,469**	**202,999**	**19,530**
Depreciation and amortization	**(176,932)**	**(179,702)**	**(2,770)**
Operating profit/(loss)	**6,537**	**23,297**	**16,760**
Finance income	508	1,148	640
Capitalization of borrowing costs	13,955	14,749	794
Finance expenses arising on implied cost of deferred payment on player acquisitions	(200)	(265)	(65)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses	(4,101)	(3,981)	120
Capitalized finance costs on the stadium loan	(13,955)	(14,749)	(794)
Net finance income/(expense)	**(3,793)**	**(3,098)**	**695**
Profit/(loss) before tax	**2,744**	**20,199**	**17,455**
Income tax expense	(1,686)	(7,263)	(5,577)
Profit after tax	**1,058**	**12,936**	**11,878**

* The budget corresponds to Real Madrid Club de Fútbol since at the date of approval the Real Madrid Estadio subsidiary was not in operation. Therefore, there was no consolidated budget.
The differences between the Club's and the Group's data for the various recurring income and expense items are insignificant.

Variance:
Positive: higher revenue, lower expense.
Negative: lower revenue, higher expense.

The main differences vis-à-vis the budget are discussed below:

The first division football team won the Champions League, La Liga and Spain's Super Cup trophies in the 2021/22 season. The first division basketball team won the Spanish Liga ACB, was EuroLeague runner up and Spain's Super Cup champion. None of these sporting achievements was budgeted -the budget had Real Madrid reaching the quarterfinals of the Champions League- resulting in higher-than-budgeted revenue, especially stadium and international match revenue, as well as higher-than-budgeted personnel expenses due to sports personnel bonuses, operating expenses due to the larger number of matches played and, particularly, expenses related to the Champions League final and title.

The COVID-19-related health crisis continued to have a significant impact on revenue in 2021/22. However, the financial impact is gradually diminishing, especially in stadium now that spectators are allowed back in. On the sales front, merchandising activity picked back up gradually, driven also by sports achievements. The pandemic led to a decline in sponsorship contract wins, but this year began with a gradual recovery, although prices and the pace of order intake felt the effects of the economic situation on several economic sectors. The COVID-19 impact resulted in nearly €90 million of lost revenue in the year. Meanwhile, hefty losses sustained by most European clubs hindered player transfers considerably and caused prices to plunge. As a result, gains on player transfers recognized by the Club in FY 2021/22 were 40% lower than those of pre-pandemic levels.

Moreover, restrictions caused from remodeling works impacted stadium revenue.

While the war in Ukraine caused inflation to rise, its impact on revenue was insignificant. On the cost side, while it did result in energy inflation, increases in costs for services and contributions to charity, so far the rise has not been significant relative to total expenses.

Against this backdrop, Club management remained focused on cost containment and actions to enhance performance and business development in all areas. Highlights include the unbudgeted capital gain realized during the year from the Sixth Street/Legends agreement, driving an improvement in gains on disposals of non-current assets.

The Club recognized provisions for liabilities and charges that were not included in the budget and resulted in higher expenses in both personnel expenses and the amount of provisions for liabilities and charges and impairment losses on assets.

As a result of the above, the Club reported operating income of €722 million and EBITDA of €203 million, €26 million and €20 million, respectively, above budget. The Club reported EBITDA of €180 million in the year ended June 30, 2021 and €177 million in the year ended June 30, 2020. Therefore, in the three years affected by COVID-19, despite lost revenue EBITDA was higher than in FY 2018/19 (€176 million), before the onset of the pandemic. This is a testament to the Club's operational efficiency and ability to respond by taking measures to mitigate those losses.

The Club reported profit for the year of €13 million, topping the budget by €12 million after deducting amortization and depreciation charges and net financial expense, which were in line with the budget, and income tax expense. Income tax expense is obtained by applying the nominal 25% tax rate to accounting profit adjusted for non-deductible expenses in accordance with tax legislation less the amount of applicable tax credits.

With this performance, the Club managed to stay in the black in all three financial years affected by the pandemic, reporting a profit in both FY 2019/20 (€313 thousand after tax) and FY 2020/21 (€874 thousand after tax). It was one of only a handful of Europe's major clubs not to sustain losses in those two financial years; according to a UEFA study, cumulative operating losses of European clubs between FY 2019/20 and FY 2020/21 amounted to nearly €6 billion.

The Club has been profit-making in the last 21 years, enabling it to build up equity of €546 million as at June 30, 2022.

AUTHORIZATION FOR ISSUE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND MANAGEMENT REPORT FOR THE YEAR ENDED JUNE 30, 2022

In a meeting held on July 18, 2022, the members of the Board of Directors of Real Madrid Club de Fútbol authorized for issue the consolidated financial statements and management report for the financial year ended June 30, 2022, which consist of the documents preceding this certification.

CHAIRMAN

Florentino Pérez Rodríguez

VICE-CHAIRMANS

Fernando Fernández Tapias (*)
Eduardo Fernández de Blas
Pedro López Jiménez

SECRETARY

Enrique Sánchez González

BOARD MEMBERS

Santiago Aguado García
Jerónimo Farré Muncharaz (*)
Enrique Pérez Rodríguez
Manuel Cerezo Velázquez (*)
José Sánchez Bernal
Gumersindo Santamaría Gil
Raúl Ronda Ortiz
José Manuel Otero Lastres (**)
Nicolás Martín-Sanz García
José Luis del Valle Pérez
Catalina Miñarro Brugarolas
Manuel Torres Gómez (*)



(*) p.p. Chairman Florentino Pérez Rodríguez's signature
(**) Enrique Sánchez González, as Secretary to the Board of Directors of Real Madrid Club de Fútbol, hereby certifies that the member of the Board of Directors expressed a vote in favor of authorizing for issue the financial statements and management report for the year ended June 30, 2022, having attended the meeting of the Board of Directors held on July 18, 2022, at which these documents were authorized for issue, remotely (video conference).

AUDIT REPORT

Ernst & Young, S.L.
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INDEPENDENT AUDITOR'S REPORT

Translation of a report and financial statements originally issued in Spanish. In the event of discrepancy, the Spanish-language version prevails

To the General Assembly of Delegated Members of

Opinion

We have audited the consolidated financial statements of REAL MADRID CLUB DE FÚTBOL (the "Entity") and Subsidiaries (the "Group"), which comprise the balance sheet at June 30, 2022, the income statement, the statement of changes in equity, the statement of cash flows and the notes thereto, all of which consolidated, for the year then ended.

In our opinion, the accompanying consolidated financial statements give a true and fair view, in all material respects, of the consolidated equity and consolidated financial position of the Group at June 30, 2022, and the results of its operations and cash flows for the year then ended, in accordance with the applicable financial reporting framework (identified in Note 2 of the consolidated notes) and, in particularly, the accounting principles and policies contained therein.

Basis for opinion

We carried out our audit in accordance with Spanish standards on auditing. Our responsibilities under those standards are further described in the *"Auditor's responsibilities for the audit of the consolidated financial statements"* section.

We are independent from the Group in conformity of ethical requirements, including independence, which are applicable to an audit of consolidated financial statements in Spain according to what is required by Spanish standards on auditing. In these regards, we have neither provided services different to audit of financial statements nor any situation or circumstance has concurred that, according to the aforementioned standards, had affected the necessary independence in a way it had been jeopardized.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Domicilio Social: C/ Raimundo Fernández Villaverde, 65. 28003 Madrid - Inscrita en el Registro Mercantil de Madrid, tomo 9.364 general, 8.130 de la sección 3ª del Libro de Sociedades, folio 68, hoja nº 87.690-1, inscripción 1ª. Madrid 9 de Marzo de 1.989. A member firm of Ernst & Young Global Limited.

Key audit matters

Key audit matters are those matters that, in our professional judgment, represent the most significant risk of material misstatement in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Classification and valuation of intangible fixed assets and non-current assets held for sale

Description

In its consolidated balance sheet as of June 30, 2022, the Group recognized sports intangible assets, net of amortization and impairment, of 293 million euros related to the acquisition of player transfer rights and the related costs, which are amortized in a straight-line basis. The relevant information regarding such intangible fixed assets is described in Notes 3.1 and 4 to the consolidated financial statements.

Additionally, the Group recognized sports intangible assets related to the acquisition of player transfer rights and the related costs, net of amortization and impairment, in the heading "Non-current assets held for sale", of 22 million euros, linked to football players of the first team, for which the Group has an active sales plan and such plan is highly likely to occur in the short term. The relevant information regarding these non-current assets held for sale is described in Notes 3.5 and 4 to the consolidated financial statements.

The review of the aforementioned headings is a key audit matter as it involves significant judgment on the part of the Group's management when analyzing, according to the circumstances of each asset, its proper classification as intangible fixed assets or as a non-current asset held for sale and any evidence of impairment at the end of the year, as described in Notes 2.3, 3.1, 3.5 and 3.6 to the consolidated financial statements.

Our response

As part of our audit work, we reviewed the procedures performed by the Group when capitalizing, amortizing, and identifying possible impairment, as well as assessing the reasonableness of the assumptions and sources used to reach conclusions. In addition, we reviewed the disclosures included in the notes to the accompanying the consolidated financial statements required by the financial information framework applicable to the Group.

Accrual of current and non-current liabilities

Description

On a recurring basis, the Group receives considerable amounts in the year in broadcasting revenue, membership fees and season tickets, marketing and sponsorship contracts, and friendly matches, considered prepaid income as they are accrued in subsequent reporting periods (the following year in most cases), as described in Notes 3.18 and 15 to the consolidated financial statements. The Group recognizes the amounts related to this prepaid income under "Non-current accruals" and "Current accruals," as appropriate, on the liability side of the consolidated balance sheet at June 30, 2022.

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The appropriate accounting recognition of these accruals was a key matter for our audit given the variety of items and terms in the underlying agreements, requiring a detailed and case-by-case analysis of each. As part of our audit engagement, we reviewed the procedures followed by the Group and analysed the main agreements in order to determine whether the approach was applied on a consistent basis and to determine the reasonableness of the calculations made.

Our response

As part of our audit work, we reviewed the procedures and analyzed the main contracts in order to determine the consistency of the methodology applied and the reasonableness of the calculations made. In addition, we reviewed the disclosures included in the notes to the accompanying consolidated financial statements required by the financial information framework applicable to the Group.

Measurement and recognition of agreements related to the transfer of the ESB business management contract

Description

As explained in Notes 17.1 and 17.5 to the accompanying consolidated financial statements, the Group signed an agreement with an investment firm which governs, among other activities, the transfer of the management business relating to a number of activities in the Santiago Bernabéu Stadium (ESB) for the next 20 years. As a result of this agreement, the Group recognized, among other items, a net capital gain amounting to €316 million under "Impairment, gains/(losses) on disposal of non-current assets - Gains/(losses) on disposal and other - Gains on transfer of rights" in the accompanying consolidated income statement for the 2021/22 financial year.

Given that the contracts governing the aforementioned transaction are complex in nature and for significant amounts, we determined them to be a key audit matter since recognizing them correctly make them susceptible to material misstatement.

Our response

As part of our audit work, we obtained and analyzed all the contracts signed by the parties. We also analyzed how they were measured and recognized by the Group with the collaboration of internal experts, among others. In addition, we reviewed the disclosures included in the notes to the accompanying consolidated financial statements required by the financial information framework applicable to the Group.

Other information: Consolidated management report

The other information involves exclusively the consolidated management report for the year ended June 30, 2022. The consolidated management report is the responsibility of the members of Parent Entity's Board of Directors and is not an integral part of the consolidated financial statements.

Our opinion on the consolidated financial statements does not cover the consolidated management report. In connection with the consolidated management report, our responsibility, as required by auditing standards, is to evaluate and report on whether the consolidated management report is consistent with the consolidated financial statements based on the knowledge obtained from the Group in the course of our audit of the consolidated financial statements, and not include other information obtained as evidence during the audit. It is also our responsibility to evaluate and report on whether the content and presentation of the consolidated management report comply with applicable regulations. If, based on the work we have performed, we conclude that there are material misstatements, we are required to report that fact.

Based on the work performed, in accordance with the preceding paragraph, the information contained in the consolidated management report is consistent with the consolidated financial statements for the year ended June 30, 2022, and its content and presentation comply with applicable regulations.

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Responsibilities of members of Parent Entity's Board of Directors for the consolidated financial statements

Members of Parent Entity's Board of Directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the applicable financial reporting framework (see Note 2), and for such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, members of Parent Entity's Board of Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Spanish standards on auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Spanish standards on auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by members of Parent Entity's Board of Directors.
- Conclude on the appropriateness of members of Parent Entity's Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

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We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the significant matters communicated to the members of Parent Entity's Board of Directors, we determine those of most significance in the audit of the financial statements of the current period and are therefore the key audit matters.

We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

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ECONOMIC INFORMATION OF REAL MADRID C.F.

For the year ended June 30, 2022.

BALANCE SHEET AS AT JUNE 30, 2022

ASSETS

€ THOUSAND	NOTES	06.30.22	06.30.21
NON-CURRENT ASSETS		**1,287,657**	**1,128,191**
Sports intangible assets	4	**293,266**	**429,184**
Other non-sports intangible assets	5	**6,848**	**3,177**
Property, plant and equipment	6	**822,397**	**575,405**
Investment properties	7	**11,153**	**11,162**
Non-current financial assets	8.1	**81,501**	**60,575**
Non-current accruals	15.1	**25,137**	**16,734**
Deferred tax assets	16	**47,214**	**31,816**
CURRENT ASSETS		**961,042**	**456,682**
Non-current assets held for sale	4.2	**22,365**	**-**
Inventories	9	**7,746**	**5,725**
Trade and other receivables	8.2	**174,297**	**182,953**
Current accruals	15.1	**2,218**	**1,530**
Cash and cash equivalents	8 y 10	**754,416**	**266,474**
TOTAL ASSETS		**2,248,699**	**1,584,873**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	06.30.22	06.30.21
EQUITY		**534,044**	**533,655**
Capital and reserves	11	**530,200**	**529,667**
Entity's fund		487,517	486,730
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Capitalization reserve		13,325	13,238
Profit for the year		533	874
Grants, donations and bequests received	12	**3,844**	**3,988**
NON-CURRENT LIABILITIES		**1,095,640**	**671,687**
Non-current provisions	13.1	**66,014**	**31,243**
Non-current loans and borrowings	14.1	**948,515**	**537,764**
Bank borrowings		114,789	152,676
Other financial liabilities		833,726	385,088
Deferred tax liabilities	16	**34,087**	**32,621**
Non-current accruals	15.2	**47,024**	**70,059**
CURRENT LIABILITIES		**619,015**	**379,531**
Current provisions	13.2	**70,985**	**970**
Current loans and borrowings	14.2	**143,254**	**123,323**
Bank borrowings		38,356	2,299
Other financial liabilities		104,898	121,024
Trade and other payables	14.3	**323,927**	**197,053**
Current accruals	15.2	**80,849**	**58,185**
TOTAL EQUITY AND LIABILITIES		**2,248,699**	**1,584,873**

INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2022

€ THOUSAND	NOTAS	2021/2022	2020/2021
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and other stadium revenue		104,361	10,257
International and friendly matches		139,492	116,163
Broadcasting		178,940	207,709
Marketing		290,140	314,226
	17.1	**712,933**	**648,355**
Self-constructed property, plant and equipment	17.1	**-**	**-**
Cost of sales			
Raw materials and other consumables used	17.2	**(27,778)**	**(19,024)**
Other operating income	17.1	**6,903**	**1,334**
Sports and non-sports personnel expenses	17.3	**(517,357)**	**(402,957)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	(3,399)	158
Other operating expenses	17.4	(288,144)	(173,955)
		(291,543)	**(173,797)**
Depreciation and amortization	4,5,6,7	**(179,702)**	**(174,466)**
Non-financial and other capital grants	12	**192**	**192**
Provision surpluses	13.1, 13.2	**1,558**	**3,098**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	(60,814)	16,467
Gains/(losses) on disposal and other	17.5	362,367	105,964
		301,553	**122,431**
OPERATING PROFIT/(LOSS)		**6,759**	**5,166**
Finance income			
Marketable securities and other financial instruments	17.6	1,148	1,025
Capitalization of borrowing costs	17.6	14,749	8,704
		15,897	**9,729**
Finance expenses	17.6	**(18,994)**	**(13,156)**
NET FINANCE INCOME/(EXPENSE)		**(3,097)**	**(3,427)**
PROFIT BEFORE TAX		**3,662**	**1,739**
Income tax expense	16.1	**(3,129)**	**(865)**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**533**	**874**
PROFIT FOR THE YEAR		**533**	**874**

BUTGET 2022-2023

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIERIES
CONSOLIDATED BUDGET FOR THE 2022-2023 SEASON

€ THOUSAND	FY 2021/22	BUDGET 2022/23	VAR.
Membership fees, ticket sales and other stadium revenue	104,497	135,260	30,763
Revenue from international and friendly matches	142,162	112,230	(29,932)
Broadcasting revenue	178,940	182,820	3,880
Marketing revenue	295,929	339,338	43,409
Total operating income (before disposal of non-current assets)	**721,528**	**769,648**	**48,120**
Supplies	(27,778)	(28,465)	(687)
Sports and non-sports personnel expenses	(519,030)	(440,912)	78,118
Operating expenses	(217,180)	(246,350)	(29,170)
Provision for uncollectible receivables, and for liabilities and charges	(72,443)	0	72,443
Gains/(losses) on disposals of non-current assets	378,716	98,110	(280,606)
Impairment/derecognition of non-current assets	(60,814)	0	60,814
Profit/(loss) from operating activities before amortization and depreciation (EBITDA)	**202,999**	**152,031**	**(50,968)**
Depreciation and amortization	(179,702)	(144,070)	35,632
Operating profit/(loss)	**23,297**	**7,961**	**(15,336)**
Finance income	1,148	1,314	166
Capitalisation of finance expenses	14,749	18,128	3,379
Finance expenses arising on implied cost of deferred payment on player acquisitions	(265)	(970)	(705)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses	(3,981)	(3,336)	645
Capitalisation of finance expenses arising on the stadium loan	(14,749)	(18,128)	(3,379)
Net finance income/(expense)	**(3,098)**	**(2,992)**	**106**
Ordinary profit/(loss)	**20,199**	**4,970**	**(15,229)**
Taxes	(7,263)	(3,242)	4,021
PROFIT/(LOSS) BEFORE TAX	**12,936**	**1,727**	**(11,209)**

In 2022/23, budgeted revenue totals €769.6 million, an increase of €48.1 million (7%) over last year.

Competition revenue decreases due to budgeting Champions League quarter finals (Champion title in 2021/22). Stadium revenue will increase since spectator capacity restrictions established for the pandemic are not foreseen. Marketing revenue will grow thanks to the gradual recovery of business and sponsorship wins.

Despite this upturn, budgeted revenue is still €52 million lower (6%) when compared to 2019/20, prior to the pandemic, when it totaled €822.1 million.

This is due to the fact that some effects are expected to persist because of the delayed impact of the pandemic-induced economic crisis, as well as economic difficulties brought on by the war in the Ukraine.

In addition, over the course of FY 2022/23 the Club will continue to carry out the works for the stadium remodeling project, which will not be in full operation in terms of generating revenue until the project is completed.

Personnel expenses decrease by €78.1 million over last year, due to changes in contracts and the composition of teams, provisions, and sports achievement bonuses accrued last year.

Supplies and provisions increase €29.9 million due to the growth in both revenue and the Club's heightened activities, as well as the impact of inflation on the cost of external services contracted by the Club to carry out its business activities.

Last year the Club set aside provisions for liabilities and charges. The amount recognized in provisions for liabilities and charges and impairment losses on assets totaled €133.3 million. The 2022/23 budget does not envisage the need to record additional allowances, which explains the decrease in these headings over last year.

The Club's budgeted gains on disposals for 2022/23 is €98.1 million, down €280.6 million, due primarily to the capital gain arising in 2021/22 from the Sixth Street/Legends agreement.

As a result of the above, budgeted EBITDA is €152.0 million (2021/22: €203.0 million).

Budgeted amortization expense is down €35.6 million, due to the evolution in sports personnel.

Financial expenses are budgeted at €3.0 million, in line with last year.

While the works being carried out on the stadium are in their execution phase, the related finance costs are capitalized as an increase in the cost of the investment.

Moreover, the interest rate hikes being implemented have little impact on the Club's finance costs in FY 2022/23 and are expected to be marginal in the future as well, since the loan for stadium remodeling was taken out at a fixed interest rate, as well as practically all the ICO-backed bank loan facilities arranged in 2020 to mitigate the effects of the pandemic. All of this financing is being repaid on schedule.

This left profit before tax at €5.0 million (2019/20: €20.2 million), which, after applying the nominal tax rate of 25% and other tax legislation, reflects after tax profit of €1.7 million (2019/20: 12.9 million).

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIERIES CONSOLIDATED BUDGET BY SPORT SEGMENTS FOR THE 2022-2023 SEASON

€ THOUSAND	MEN'S FOOTBALL	WOMEN'S FOOTBALL	BASKETBALL	TOTAL
Membership fees, ticket sales and other stadium revenue	130,612	113	4,535	135,260
Revenue from international and friendly matches	111,046	584	600	112,230
Broadcasting revenue	178,920	188	3,713	182,820
Marketing revenue	329,229	601	9,509	339,338
Total operating income (before disposal of non-current assets)	**749,806**	**1,486**	**18,357**	**769,648**
Supplies	(27,292)	(453)	(720)	(28,465)
Sports and non-sports personnel expenses	(405,161)	(3,645)	(32,106)	(440,912)
Operating expenses	(235,217)	(2,484)	(8,649)	(246,350)
Provision for uncollectible receivables, and for liabilities and charges	0	0	0	0
Gains/(losses) on disposals of non-current assets	98,116	0	(6)	98,110
Impairment/derecognition of non-current assets	0	0	0	0
Profit/(loss) from operating activities before amortization and depreciation (EBITDA)	**180,252**	**(5,096)**	**(23,124)**	**152,031**
Depreciation and amortization	(143,454)	(68)	(548)	(144,070)
Operating profit/(loss)	**36,798**	**(5,164)**	**(23,673)**	**7,961**
Finance income				1,314
Capitalisation of finance expenses				18,128
Finance expenses arising on implied cost of deferred payment on player acquisitions				(970)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses				(3,336)
Capitalisation of finance expenses arising on the stadium loan				(18,128)
Net finance income/(expense)				**(2,992)**
Ordinary profit/(loss)				**4,970**
Taxes				(3,242)
PROFIT/(LOSS) BEFORE TAX				**1,727**



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